

COVER SHEET

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S.E.C. Registration Number

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(Company's Full Name)

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(Business Address: No. Street City/Town/Province)

ATTY. AISSA V. ENCARNACION
Corporate Secretary

Contact Person

(632) 8876-4888

Company Telephone Number

1	2	3	1
Month	Day	Fiscal Year	

AFS
FORM TYPE

Month	Annual Year		

Secondary License Type, If Applicable				

Dept. Requiring this Doc.		

NA
Amended Articles Number/Section

Total No. of Stockholders

NA
Domestic

NA
Foreign

To be accomplished by SEC Personnel concerned

File Number									

LCU

Document I.D.									

Cashier

STAMPS

Remarks: Pls. use black ink for scanning purposes

The Philippine Stock Exchange, Inc. and Subsidiaries

Consolidated Financial Statements
December 31, 2020 and 2019
and Years Ended December 31, 2020, 2019
and 2018

and

Independent Auditor's Report



INDEPENDENT AUDITOR'S REPORT

The Stockholders and the Board of Directors
The Philippine Stock Exchange, Inc. and Subsidiaries

Opinion

We have audited the consolidated financial statements of The Philippine Stock Exchange, Inc. and Subsidiaries (the Group), which comprise the consolidated statements of financial position as at December 31, 2020 and 2019, and the consolidated statements of comprehensive income, consolidated statements of changes in equity and consolidated statements of cash flows for each of the three years in the period ended December 31, 2020, and notes to the consolidated financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the consolidated financial position of the Group as at December 31, 2020 and 2019, and its consolidated financial performance and its consolidated cash flows for each of the three years in the period ended December 31, 2020 in accordance with Philippine Financial Reporting Standards (PFRSs).

Basis for Opinion

We conducted our audits in accordance with Philippine Standards on Auditing (PSAs). Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Consolidated Financial Statements* section of our report. We are independent of the Group in accordance with the Code of Ethics for Professional Accountants in the Philippines (Code of Ethics) together with the ethical requirements that are relevant to our audit of the consolidated financial statements in the Philippines, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.



We have fulfilled the responsibilities described in the *Auditor's Responsibilities for the Audit of the Consolidated Financial Statements* section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the consolidated financial statements. The results of our audit procedures, including the procedures performed to address the matter below, provide the basis for our audit opinion on the accompanying consolidated financial statements.

Information Technology Environment Supporting the Trading-related Revenue Process

The Group is highly dependent on the reliability and continuity of its information technology (IT) environment to support the automated data processing of its trading and market-related businesses. The Exchange continuously makes investments to further improve its IT applications and supporting IT infrastructure and IT processes. The IT environment is key to the Exchange's revenue generation and is relied upon for many aspects of its revenue reporting process. We therefore considered the testing of the IT controls over the IT processes as a key audit matter.

Audit Response

We involved our internal specialist in obtaining an understanding of the Exchange's IT environment, which covers the IT applications and supporting IT infrastructure, IT processes and IT personnel. We obtained an understanding of the IT controls over program changes to the IT applications, user access management to the IT applications and databases as well as controls over management of IT operations. To the extent applicable, we performed testing of the operation of the IT controls of the applications supporting the trading-related revenue process. We also tested the trading-related revenue process transaction level controls. We evaluated and considered the results of the testing of controls in the design and extent of our substantive audit procedures.

PFRS 15, Revenue Contracts with Customers on Revenue from Listing Fees

The Exchange applies PFRS 15, *Revenue from Contracts with Customers*, in recognizing revenue from listing fees. Revenue from listing fees is recognized using percentage of hours spent on the relevant activities of the departments performing the listing service over the listed companies' average listing life of fifteen (15) years. We consider the Exchange's revenue recognition of listing fees as a key audit matter because the significant areas of judgement and estimates for the Exchange in the revenue recognition of listing fees are in relation to the identification of performance obligations, the estimation of service period for listing services, and the determination of the timing of when the performance obligation is satisfied.

Refer to Note 3 to the consolidated financial statements for the disclosures related to the Exchange's disclosures on revenue recognition.



Audit Response

We obtained an understanding of the Exchange's process for revenue recognition of listing fees and tested relevant controls. On a sample basis, we reviewed contracts and checked the identification of performance obligations for new listings during the year. We performed test calculation of revenue from listing fees and reviewed the model used to calculate the revenue from listing fees including the period over which revenue is deferred and subsequently amortized and the various inputs to the model such as the average listing life of a listed entity in the stock exchange and hours spent on the relevant activities of the departments performing the listing service.

Other Information

Management is responsible for the other information. The other information comprises the information included in the SEC Form 20-IS (Definitive Information Statement), SEC Form 17-A and Annual Report for the year ended December 31, 2020, but does not include the consolidated financial statements and our auditor's report thereon. The SEC Form 20-IS (Definitive Information Statement), SEC Form 17-A and Annual Report for the year ended December 31, 2020 are expected to be made available to us after the date of this auditor's report.

Our opinion on the consolidated financial statements does not cover the other information and we will not express any form of assurance conclusion thereon.

In connection with our audits of the consolidated financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audits, or otherwise appears to be materially misstated.

Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with PFRSs, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Group's financial reporting process.



Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with PSAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with PSAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.



We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

The engagement partner on the audit resulting in this independent auditor's report is Ms. Mariecris N. Barbaso.

SYCIP GORRES VELAYO & CO.



Mariecris N. Barbaso

Partner

CPA Certificate No. 97101

SEC Accreditation No. 1513-AR-1 (Group A),

November 16, 2018, valid until November 15, 2021

Tax Identification No. 202-065-716

BIR Accreditation No. 08-001998-108-2020,

November 27, 2020, valid until November 26, 2023

PTR No. 8534222, January 4, 2021, Makati City

March 26, 2021



THE PHILIPPINE STOCK EXCHANGE, INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF FINANCIAL POSITION

	December 31	
	2020	2019
ASSETS		
Current Assets		
Cash and cash equivalents (Notes 5 and 7)	P676,122,274	P3,126,031,143
Financial assets at fair value through profit or loss (FVTPL) (Notes 5, 6 and 8)	289,935,759	290,953,477
Financial assets at fair value through other comprehensive income (FVOCI) (Notes 5, 6 and 9)	3,001,494,398	79,721,181
Receivables (Notes 5 and 10)	96,841,898	81,549,026
Other current assets (Note 11)	82,163,498	54,513,233
Total Current Assets	4,146,557,827	3,632,768,060
Noncurrent Assets		
Long-term financial assets at FVOCI (Notes 5, 6 and 9)	617,592,057	549,349,005
Property and equipment (Note 12)	1,252,587,880	1,246,554,610
Investment property (Note 13)	152,097,505	140,311,984
Right-of-use assets (Note 26)	52,221,700	71,062,814
Investment in an associate (Note 14)	287,174,861	267,936,035
Deferred tax assets - net (Note 27)	271,067,225	286,818,612
Pension asset (Note 28)	2,291,514	34,532,611
Other noncurrent assets (Notes 5 and 15)	24,509,284	60,053,157
Total Noncurrent Assets	2,659,542,026	2,656,618,828
	P6,806,099,853	P6,289,386,888
LIABILITIES AND EQUITY		
Current Liabilities		
Accounts payable and other current liabilities (Notes 5, 6 and 16)	P326,425,617	P358,294,220
Current portion of contract liabilities (Note 17)	226,390,321	188,511,980
Income tax payable	60,791,953	74,988,223
Current portion of lease liabilities (Notes 5 and 26)	23,761,395	17,967,558
Deferred fees and others (Note 17)	5,522,952	785,007
Total Current Liabilities	642,892,238	640,546,988
Noncurrent Liabilities		
Contract liabilities - net of current portion (Note 17)	635,781,237	755,310,377
Lease liabilities - net of current portion (Notes 5 and 26)	36,681,293	55,487,835
Pension liability and others (Note 28)	25,987,760	20,709,108
Total Noncurrent Liabilities	698,450,290	831,507,320
Total Liabilities	1,341,342,528	1,472,054,308
EQUITY		
Capital stock (Notes 1, 19 and 33)	85,017,642	85,017,659
Additional paid-in capital (Notes 1, 19 and 33)	3,897,618,538	3,895,526,513
Subscribed capital stock (Notes 19 and 33)	41,539,959	20,514,378
Subscription receivable (Notes 19 and 33)	(26,204,964)	(14,613,074)
Treasury stock (Note 19)	(696,293,587)	(652,740,643)
Retained earnings:		
Unappropriated (Note 19)	1,803,334,481	1,143,520,092
Appropriated (Note 19)	121,000,000	121,000,000
Donated capital (Note 18)	211,597,831	211,597,831
Unrealized gain on financial assets at FVOCI - net (Note 9)	41,663,119	9,188,881
Remeasurement gain (loss) on pension benefits and others - net	(16,179,702)	54,971
Total Equity Attributable to Equity Holders of the Parent Company	5,463,093,317	4,819,066,608
Non-controlling interest	1,664,008	(1,734,028)
Total Equity	5,464,757,325	4,817,332,580
	P6,806,099,853	P6,289,386,888

See accompanying Notes to Consolidated Financial Statements.



THE PHILIPPINE STOCK EXCHANGE, INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME

	Years Ended December 31		
	2020	2019	2018
REVENUES (Note 20)	₱1,314,362,972	₱1,290,949,022	₱1,596,207,481
COST AND EXPENSES			
Cost of services (Note 22)	282,143,101	280,845,554	304,314,046
General and administrative (Note 23)	378,962,221	444,159,283	457,719,388
	661,105,322	725,004,837	762,033,434
OPERATING INCOME	653,257,650	565,944,185	834,174,047
OTHER INCOME (EXPENSES)			
Interest income (Note 21)	132,091,662	216,941,934	139,298,642
Equity in net income of an associate (Note 14)	82,095,920	84,467,273	38,860,417
Mark-to-market gain (loss) on FVTPL (Note 8)	(19,707,225)	11,218,657	(37,018,077)
Interest expense (Note 26)	(4,307,608)	(4,806,013)	–
Dividend income (Note 8)	4,282,302	4,786,569	4,330,027
Gain on sale of property and equipment (Note 12)	293,963	202,132	1,251,639
Others - net (Note 21)	17,969,170	(2,035,448)	1,616,794
	212,718,184	310,775,104	148,339,442
INCOME BEFORE INCOME TAX	865,975,834	876,719,289	982,513,489
PROVISIONS FOR INCOME TAX (Note 27)	209,163,409	197,428,154	255,407,585
NET INCOME	656,812,425	679,291,135	727,105,904
OTHER COMPREHENSIVE INCOME (LOSS)			
Item to be reclassified to profit or loss in subsequent periods:			
Change in the fair value of financial assets at FVOCI (Note 9)	32,474,238	57,895,448	(30,138,657)
Items not to be reclassified to profit or loss in subsequent periods:			
Remeasurement gains (loss) on pension benefits - net (Note 28)	(16,317,579)	(28,327,273)	9,595,330
Share in remeasurement gain on pension benefits of an associate (Note 14)	82,906	4,842,673	851,397
	(16,234,673)	(23,484,600)	10,446,727
	16,239,565	34,410,848	(19,691,930)
TOTAL COMPREHENSIVE INCOME	₱673,051,990	₱713,701,983	₱707,413,974
Net Income Attributable to:			
Equity holders of the Parent Company	₱659,814,389	₱681,125,163	₱727,105,904
Non-controlling interests	(3,001,964)	(1,834,028)	–
	₱656,812,425	₱679,291,135	₱727,105,904
Total Comprehensive Income Attributable to:			
Equity holders of the Parent Company	₱676,053,954	₱715,536,011	₱707,413,974
Non-controlling interests	(3,001,964)	(1,834,028)	–
	₱673,051,990	₱713,701,983	₱707,413,974
Basic Earnings Per Share (Note 29)	₱8.10	₱8.33	₱8.86
Diluted Earnings Per Share (Note 29)	₱8.10	₱8.31	₱8.84

See accompanying Notes to Consolidated Financial Statements.



THE PHILIPPINE STOCK EXCHANGE, INC. AND SUBSIDIARIES

CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY

	Equity Attributable to Equity Holders of the Parent Company											
	Capital Stock (Notes 1 and 19)	Additional Paid-in Capital (Notes 1, 19 and 33)	Subscribed Capital Stock - net of Subscription Receivable (Notes 19 and 33)	Treasury Stock (Note 19)	Retained Earnings			Net Unrealized Gain (Loss) on Financial Assets at FVOCI (Note 9)	Remeasurement Gains (Losses) on Pension Benefits and others - net (Notes 14 and 28)	Total	Non-controlling Interest	Total Equity
					Unappropriated (Note 19)	Appropriated (Note 19)	Donated Capital (Note 18)					
Balances as at January 1, 2020	₱85,017,659	₱3,895,526,513	₱5,901,304	(₱652,740,643)	₱1,143,520,092	₱121,000,000	₱211,597,831	₱9,188,881	₱54,971	₱4,819,066,608	(₱1,734,028)	₱4,817,332,580
Net income	—	—	—	—	659,814,389	—	—	—	—	659,814,389	(3,001,964)	656,812,425
Other comprehensive income (loss)	—	—	—	—	—	—	—	32,474,238	(16,234,673)	16,239,565	—	16,239,565
Total comprehensive income (loss)	—	—	—	—	659,814,389	—	—	32,474,238	(16,234,673)	676,053,954	(3,001,964)	673,051,990
Employee stock purchase plan	(17)	2,092,025	(11,591,890)	—	—	—	—	—	—	(9,499,882)	—	(9,499,882)
Subscription receivable	—	—	21,025,581	—	—	—	—	—	—	21,025,581	—	21,025,581
Acquisition of/ adjustments in treasury stock	—	—	—	(43,552,944)	—	—	—	—	—	(43,552,944)	—	(43,552,944)
Subscription of capital stock attributable to minority interest	—	—	—	—	—	—	—	—	—	—	6,400,000	6,400,000
Balances as at December 31, 2020	₱85,017,642	₱3,897,618,538	₱15,334,995	(₱696,293,587)	₱1,803,334,481	₱121,000,000	₱211,597,831	₱41,663,119	(₱16,179,702)	₱5,463,093,317	₱1,664,008	₱5,464,757,325
Balances as at January 1, 2019, as previously reported	₱85,003,850	₱3,891,433,938	₱3,947,219	(₱68,000,006)	₱1,751,863,349	₱121,000,000	₱447,287,985	(₱48,706,567)	₱23,539,571	₱6,207,369,339	₱—	₱6,207,369,339
Effect of adoption of new standards and other adjustments	—	—	—	—	(777,160,308)	—	—	—	—	(777,160,308)	—	(777,160,308)
Balances as at January 1, 2019, as adjusted	85,003,850	3,891,433,938	3,947,219	(68,000,006)	974,703,041	121,000,000	447,287,985	(48,706,567)	23,539,571	5,430,209,031	—	5,430,209,031
Net income	—	—	—	—	681,125,163	—	—	—	—	681,125,163	(1,834,028)	679,291,135
Other comprehensive income (loss)	—	—	—	—	—	—	—	57,895,448	(23,484,600)	34,410,848	—	34,410,848
Total comprehensive income (loss)	—	—	—	—	681,125,163	—	—	57,895,448	(23,484,600)	715,536,011	(1,834,028)	713,701,983
Employee stock purchase plan	13,809	4,092,575	(4,136,517)	—	—	—	—	—	—	(30,133)	—	(30,133)
Subscription receivable	—	—	6,090,602	—	—	—	—	—	—	6,090,602	—	6,090,602
Cash dividends	—	—	—	—	(747,998,266)	—	—	—	—	(747,998,266)	—	(747,998,266)
Reclassification of donated capital	—	—	—	—	235,690,154	—	(235,690,154)	—	—	—	—	—
Acquisition of treasury stock	—	—	—	(584,740,637)	—	—	—	—	—	(584,740,637)	—	(584,740,637)
Subscription of capital stock attributable to minority interest	—	—	—	—	—	—	—	—	—	—	100,000	100,000
Balances as at December 31, 2020	₱85,017,659	₱3,895,526,513	₱5,901,304	(₱652,740,643)	₱1,143,520,092	₱121,000,000	₱211,597,831	₱9,188,881	₱54,971	₱4,819,066,608	(₱1,734,028)	₱4,817,332,580
Balances as at January 1, 2018	₱73,480,413	₱1,072,514,796	₱5,374,731	(₱68,000,005)	₱1,546,046,556	₱121,000,000	₱586,829,985	(₱18,567,910)	₱13,092,844	₱3,331,771,410	₱—	₱3,331,771,410
Net income	—	—	—	—	727,105,904	—	—	—	—	727,105,904	—	727,105,904
Other comprehensive income (loss)	—	—	—	—	—	—	—	(30,138,657)	10,446,727	(19,691,930)	—	(19,691,930)
Total comprehensive income (loss)	—	—	—	—	727,105,904	—	—	(30,138,657)	10,446,727	707,413,974	—	707,413,974
Employee stock purchase plan	23,437	5,769,858	5,983,718	—	—	—	—	—	—	11,777,013	—	11,777,013
Subscription receivable	—	—	(7,411,230)	—	—	—	—	—	—	(7,411,230)	—	(7,411,230)
Cash dividends	—	—	—	—	(660,831,111)	—	—	—	—	(660,831,111)	—	(660,831,111)
Reclassification of donated capital	—	—	—	—	139,542,000	—	(139,542,000)	—	—	—	—	—
Stock rights offering	11,500,000	2,813,149,284	—	—	—	—	—	—	—	2,824,649,284	—	2,824,649,284
Adjustments	—	—	—	(1)	—	—	—	—	—	(1)	—	(1)
Balances as at December 31, 2018	₱85,003,850	₱3,891,433,938	₱3,947,219	(₱68,000,006)	₱1,751,863,349	₱121,000,000	₱447,287,985	(₱48,706,567)	₱23,539,571	₱6,207,369,339	₱—	₱6,207,369,339

See accompanying Notes to Consolidated Financial Statements.



THE PHILIPPINE STOCK EXCHANGE, INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS

	Years Ended December 31		
	2020	2019	2018
CASH FLOWS FROM OPERATING ACTIVITIES			
Income before income tax	₱865,975,834	₱876,719,289	₱982,513,489
Adjustments for:			
Interest income (Note 21)	(132,091,662)	(216,941,934)	(139,298,642)
Depreciation (Notes 12, 15, 22, 23 and 26)	157,259,282	180,044,687	150,492,584
Equity in net income of an associate (Note 14)	(82,095,920)	(84,467,273)	(38,860,417)
Mark-to-market loss (gain) on financial assets at FVTPL (Note 8)	19,707,225	(11,218,657)	37,018,077
Interest expense	4,308,713	4,806,013	–
Net movements in pension (Note 28)	14,997,567	4,788,047	10,685,417
Dividend income (Note 8)	(4,282,302)	(4,786,569)	(4,330,027)
Amortization of discount or premium (Note 9)	(41,070,476)	1,573,267	1,530,267
Unrealized foreign exchange losses (gains) - net	6,362,118	1,508,012	(988,027)
Share-based payment expense (Note 33)	1,823,088	989,088	327,563
Gain on sale of property and equipment (Note 12)	(293,963)	(202,132)	(1,251,639)
Amortization of computer software (Note 15)	52,822	52,822	1,730,665
Provision (Note 32)	–	–	20,000,000
Recovery of receivables (Note 10)	–	–	(150,000)
Income before working capital changes	810,652,326	752,864,660	1,019,419,310
Changes in operating assets and liabilities:			
Decrease (increase) in:			
Receivables	(15,023,952)	849,140	(6,938,116)
Contract Assets	(262,196)	–	–
Other current assets	(27,388,071)	(4,452,581)	32,147,262
Increase (decrease) in:			
Accounts payable and other current liabilities	(64,875,522)	(2,001,875)	(113,556,347)
Contract liabilities	(81,650,799)	(716,810)	12,241,761
Deferred fees and others	4,737,945	(29,698,020)	9,590,103
Cash generated from operations	626,189,731	716,844,514	952,903,973
Income taxes paid	(201,459,150)	(215,496,303)	(172,382,472)
Interest received	132,091,662	221,448,108	130,084,218
Benefits paid out of the Parent Company's funds	(114,187)	–	(476,012)
Net cash provided by operating activities	556,708,056	722,796,319	910,129,707
CASH FLOWS FROM INVESTING ACTIVITIES			
Dividends received (Notes 8, 10 and 14)	67,222,302	111,622,969	109,123,573
Acquisitions of/additions to:			
Financial assets at FVOCI (Note 9)	(2,993,451,364)	(116,500,000)	–
Property and equipment (Note 12)	(93,684,345)	(81,090,240)	(148,803,553)
Financial assets at FVTPL (Note 8)	(18,689,507)	(19,925,927)	–
Noncurrent assets	17,288,010	(6,371,937)	–
Investment property	(11,785,521)	–	–
Proceeds from maturities/withdrawal/sale/redemption of:			
Financial assets at FVOCI (Note 9)	76,979,811	20,159,265	5,046,881
Property and equipment (Note 12)	906,478	2,398,029	1,280,892
Financial assets at FVTPL	–	–	31,834,018
Contribution on retirement fund (Note 28)	–	(22,077,027)	(20,087,055)
Increase in other noncurrent assets	–	(4,554,184)	(880,165)
Net cash used in investing activities	(2,955,214,136)	(116,339,052)	(22,485,409)

(Forward)



	Years Ended December 31		
	2020	2019	2018
CASH FLOWS FROM FINANCING ACTIVITIES (Note 35)			
Acquisition of treasury stock (Note 19)	(P43,552,944)	(P584,740,637)	P-
Payments of lease liabilities (Note 26)	(17,321,418)	(19,346,724)	-
Share-based payment transactions	9,433,691	4,917,596	4,038,220
Proceeds from subscription of capital stock attributable to non-controlling interest	6,400,000	100,000	-
Dividend payments (Note 19)	-	(747,998,266)	(660,831,111)
Issuance of additional shares (Note 19)	-	-	2,897,999,600
Payment of stock rights offering related expenses	-	-	(73,350,316)
Net cash provided by (used in) financing activities	(45,040,671)	(1,347,068,031)	2,167,856,393
NET INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS	(2,443,546,751)	(740,610,764)	3,055,500,691
EFFECT OF EXCHANGE RATE CHANGES ON CASH AND CASH EQUIVALENTS	(6,362,118)	(1,508,012)	988,027
CASH AND CASH EQUIVALENTS AT BEGINNING OF YEAR (Note 7)	3,126,031,143	3,868,149,919	811,661,201
CASH AND CASH EQUIVALENTS AT END OF YEAR (Note 7)	P676,122,274	P3,126,031,143	P3,868,149,919

See accompanying Notes to Consolidated Financial Statements.



THE PHILIPPINE STOCK EXCHANGE, INC. AND SUBSIDIARIES

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

1. Corporate Information

The Philippine Stock Exchange, Inc. (the Parent Company or the Exchange) was incorporated in the Philippines on July 14, 1992 as a non-stock corporation primarily to provide and maintain a convenient and suitable market for the exchange, purchase and sale of all types of securities and other instruments as defined under the Securities Regulation Code (SRC).

On August 8, 2001, the Parent Company was converted from a non-stock corporation to a stock corporation (demutualization) with an authorized capital stock of ₱36.80 million divided into 36,800,000 shares with a par value of ₱1.00 per share as prescribed by Republic Act (RA) No. 8799 or SRC and pursuant to a conversion plan approved by the Securities and Exchange Commission (SEC).

The salient features of the demutualization plan approved by the SEC on August 3, 2001 include, among others, the following:

- a. Conversion of the Parent Company into a stock corporation by amending its Articles of Incorporation and by-laws;
- b. Subscription of each member of 50,000 shares at ₱1.00 per share. The remaining balance of the Membership Contributions account of ₱277.47 million shall be treated as additional paid-in capital;
- c. Issuance of trading rights to brokers in recognition of the existing seat ownership by the brokers;
- d. Separation of ownership of shares and right to operate as a trading participant in the Exchange. The trading rights shall be transferable without time limitation; and
- e. Imposition of a moratorium on the issuance of the new trading rights.

On December 15, 2003, the Parent Company's shares of stock were listed by way of introduction of its outstanding shares to comply with the requirements mandated by the SRC, particularly the conversion of the Parent Company into a stock corporation.

On January 28, 2004, the Parent Company offered 6,077,505 unissued shares to the private sector as part of its on-going effort to comply with SRC's mandate regarding the ownership of the Exchange (see Note 19). Gross proceeds from the private placement offering amounted to ₱726.26 million, inclusive of additional paid-in capital of ₱720.18 million representing premium over the par value of the common stock. Expenses related to the offering amounting to ₱21.10 million were recorded as a reduction of the additional paid-in capital (see Note 19).

On September 10, 2008, the Parent Company's BOD approved the issuance of the 100% stock dividend declared by the Exchange to stockholders of record as of December 13, 2013. On September 12, 2008, the SEC approved to increase the authorized shares of the Company by 61,000,000 shares. The total number of shares issued in 2008 was 15,177,499 shares (see Note 19).

The total number of shares issued in 2011 was 30,504,363 shares (see Note 19).

On December 10, 2013, the Parent Company's BOD approved the issuance of the 20% stock dividend declared by the Exchange on October 22, 2008 to stockholders of record as of September 26, 2008. On November 14, 2013, the SEC approved to increase the authorized shares of the Company by 22,200,000 shares. The total number of shares issued in 2013 was 12,221,680 shares (see Note 19).



On October 25, 2017, the BOD approved the stock rights offering (SRO) to stockholders of up to 11,500,000 common shares to be issued under terms and conditions as determined by the Exchange. This is part of the compliance plan to align shareholder ownership with the 20% limit set by SRC. The proceeds from the stock rights offering will be used to fund the acquisition of PDSHC and capital requirements of the Exchange (see Note 19).

On February 23, 2018, the price of the Exchange's SRO was determined. The Exchange offered 11,500,000 shares to eligible stockholders of record as of March 1, 2018 at ₱252.00 per rights share. The offer period was from March 12 to 16, 2018. On March 22, 2018, the Exchange successfully listed the 11,500,000 shares in the Philippine Stock Exchange (PSE). Gross proceeds from the stock rights offering amounted to ₱2.90 billion, inclusive of additional paid-in capital of ₱2.89 billion representing premium over the par value of the common stock. Expenses related to the offering amounting to ₱73.35 million were recorded as a reduction of the additional paid-in capital (see Note 19).

On May 4, 2019, the stockholders of the Exchange approved the amendments of the Exchange's articles of incorporation to: (a) include in the secondary purposes, the right to lease, exchange mortgage and to exercise all other rights of ownership over its properties and (b) to create preferred shares by reclassifying 14,000,000 unissued common shares into 14,000,000 preferred shares with par value of ₱1.00 per share. On September 12, 2019, the SEC approved the amendments in the Exchange's articles of incorporation (see Note 19).

Securities Clearing Corporation of the Philippines (SCCP), a 100% owned subsidiary of the Exchange, is a domestic stock corporation organized to carry out and strictly implement the following functions: (1) Delivery-versus-Payment trade settlement; (2) fails management and administration of the Clearing and Trade Guaranty Fund (CTGF); and (3) risk monitoring and management.

To ensure compliance of trading participants, SCCP is authorized by the SEC to impose fines and penalties and other sanctions as approved by SCCP's Board of Directors (BOD).

SCCP was given a temporary license to operate by the SEC and started its commercial operations on January 3, 2000. On January 15, 2002, the SEC approved SCCP's request for a permanent license as a clearing agency subject to its compliance with the requirements of Section 42 of the SRC entitled "Registration of Clearing Agency".

Capital Markets Integrity Corporation (CMIC), a 100% owned subsidiary of the Exchange, is a domestic stock corporation organized on March 14, 2011 to function as the independent audit, surveillance and compliance unit of the Exchange with the authority to adopt, enforce, implement and interpret rules, guidelines and securities laws applicable to the operations and dealings of trading participants and other market participants of the Exchange.

Premier Software Enterprise, Inc. (Premier), an 80% owned subsidiary of the Exchange, is a domestic stock corporation organized on May 16, 2019 to engage in the business of manufacturing, distribution, sales and marketing of all kinds of technology related products and services such as computer hardware, software, internet service providing, voice and data network integration, packet or cell switching technologies, circuit switching technology, information software services, product designing and other information technology applications and services, except telecommunications business.

The registered office address of the Parent Company is 6th to 10th Floors, PSE Tower, 5th Avenue cor. 28th Street, Bonifacio Global City, Taguig City.



Impact of COVID-19

In a move to contain the COVID-19 outbreak, on March 13, 2020, the Office of the President of the Philippines issued a Memorandum directive to impose stringent social distancing measures in the National Capital Region effective March 15, 2020. On March 16, 2020, Presidential Proclamation No. 929 was issued, declaring a State of Calamity throughout the Philippines for a period of six (6) months and imposed an enhanced community quarantine (ECQ) throughout the island of Luzon until April 12, 2020, which was subsequently extended to April 30, 2020 and further extended to May 15, 2020. The ECQ shifted to modified enhanced community quarantine (MECQ) until May 31, 2020 and to general community quarantine (GCQ) for NCR until the first part of the third quarter. On August 4, 2020, NCR was placed back to a stricter MECQ after an appeal made by medical societies due to rising COVID-19 cases. On August 19, 2020, NCR was transitioned back to GCQ after the recommendation of the local authorities.

The uncertainty brought about by the COVID-19 pandemic has impacted the global economy and the performance of ASEAN and global exchanges. In the case of the Exchange, trading was suspended, and the trading floor was closed on March 17 to 18, 2020. Off-trading was enabled, and trading resumed on March 19, 2020. The Exchange was approved by the Inter-Agency Task Force on Emerging Infectious Diseases to resume operations on the condition that the trading floor is closed, and the Exchange operate on a skeletal workforce. The Exchange reopened the trading floor in June 2020. Moreover, the Group implemented measures to address the risks brought by the COVID-19 pandemic. With the continued operations of the Group, Management has assessed that the COVID-19 pandemic did not significantly impact the consolidated financial statements.

Authorization for Issuance of the Consolidated Financial Statements

The accompanying consolidated financial statements were authorized for issuance by the Parent Company's BOD on March 26, 2021.

2. Basis of Preparation, Statement of Compliance, Basis of Consolidation and Changes in Accounting Policies and Disclosures

Basis of Preparation

The consolidated financial statements of the Group have been prepared on a historical cost basis, except for financial assets at fair value through profit or loss (FVTPL) and financial assets at fair value through other comprehensive income (FVOCI) which are measured at fair value. The consolidated financial statements are presented in Philippine peso, which is the Parent Company's functional and presentation currency under Philippine Financial Reporting Standards (PFRS). All values are rounded to the nearest peso, except when otherwise indicated.

The consolidated financial statements provide comparative information in respect of the previous period.

Statement of Compliance

The consolidated financial statements have been prepared in compliance with PFRS.

Basis of Consolidation

The consolidated financial statements comprise the financial statements of the Parent Company and its subsidiaries as at December 31, 2020 and for each of the three years in the period ended December 31, 2020. The financial statements of the subsidiaries are prepared for the same reporting period as the Parent Company, using consistent accounting policies.



Control is achieved when the Parent Company is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee.

Generally, there is a presumption that a majority of voting rights result in control. When the Parent Company has less than a majority of the voting or similar rights of an investee, the Parent Company considers all relevant facts and circumstances in assessing whether it has power over an investee, including:

- The contractual arrangement with the other vote holders of the investee;
- Rights arising from other contractual arrangements; or
- The Parent Company's voting rights and potential voting rights.

The Parent Company re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins when the Parent Company obtains control over the subsidiary and ceases when the Parent Company loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated financial statements from the date the Parent Company gains control until the date the Parent Company ceases to control the subsidiary.

Profit or loss and each component of other comprehensive income (OCI) are attributed to the equity holders of the Parent Company and to the non-controlling interests, even if this results in the non-controlling interests having a deficit balance. When necessary, adjustments are made to the financial statements of subsidiaries to bring their accounting policies into line with the Parent Company's accounting policies. All intra-group assets and liabilities, equity, income, expenses and cash flows relating to transactions between members of the Group are eliminated in full on consolidation.

A change in the ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction. If the Parent Company loses control over a subsidiary, it:

- Derecognizes the assets (including goodwill) and liabilities of the subsidiary;
- Derecognizes the carrying amount of any non-controlling interests;
- Derecognizes the cumulative translation differences recorded in equity;
- Recognizes the fair value of the consideration received;
- Recognizes the fair value of any investment retained;
- Recognizes any gain or loss in profit or loss; and
- Reclassifies the parent's share of components previously recognized in OCI to profit or loss or retained earnings, as appropriate, as would be required if the Group had directly disposed of the related assets or liabilities.

The consolidated financial statements as at December 31, 2020 and 2019 include the accounts of the Parent Company and the following subsidiaries:

Subsidiaries	Principal Activities	Direct Ownership
SCCP	Clearing agency	100.00%
CMIC	Audit and surveillance unit	100.00%
Premier	Software and IT services	80.00%



The principal place of business and country of incorporation of the Parent Company's subsidiaries is the Philippines. The following significant transactions affected the Parent Company's investment in its subsidiaries.

Investment in SCCP

On October 1, 2019, the Parent Company paid its outstanding subscription payable to SCCP amounting to ₱50.00 million. On October 29, 2019, the Parent Company infused additional capital to SCCP amounting to ₱200.00 million. The additional capital will partially fund SCCP's purchase of a new clearing and settlement system.

Investment in Premier

On January 23, 2019, the BOD of the Parent Company approved the incorporation of Premier for the purpose of providing information technology services and developing software solutions with an authorized capital stock of ₱100.00 million out of which ₱50.00 million will be subscribed and paid up.

On April 4, 2019, the Parent Company signed a shareholder's Agreement with the other stockholder of Premier that sets forth the terms and conditions that will govern their relationship with respect to the management and operation of Premier. Under the agreement, the Parent Company has 80% ownership interest in Premier. At various dates in 2019, the Parent Company paid its subscription to Premier totaling to ₱22.00 million.

On May 16, 2019, the SEC approved the incorporation of Premier. On December 26, 2019, Premier obtained its certificate of registration with the Bureau of Internal Revenue.

At various dates in 2020, the Parent Company paid its subscription to Premier totaling to ₱16.00 million. As at December 31, 2020, the remaining subscription payable of the Parent Company amounted to ₱2.00 million.

Changes in Accounting Policies and Disclosures

The accounting policies adopted are consistent with those of the previous financial year, except for the new and amended standards and Philippine Interpretations which were applied starting January 1, 2020. The Group has not early adopted any other standard, interpretation or amendment that has been issued but is not yet effective.

Except as otherwise indicated, the adoption of the following new and amended standards and interpretations did not have any significant impact on the Group's consolidated financial statements:

- Amendments to PFRS 3, *Business Combinations, Definition of a Business*

The amendments to PFRS 3 clarifies that to be considered a business, an integrated set of activities and assets must include, at a minimum, an input and a substantive process that together significantly contribute to the ability to create output. Furthermore, it clarifies that a business can exist without including all of the inputs and processes needed to create outputs. These amendments may impact future periods should the Company enter into any business combinations.



- Amendments to PFRS 7, *Financial Instruments: Disclosures* and PFRS 9, *Financial Instruments, Interest Rate Benchmark Reform*

The amendments to PFRS 9 provide a number of reliefs, which apply to all hedging relationships that are directly affected by the interest rate benchmark reform. A hedging relationship is affected if the reform gives rise to uncertainties about the timing and or amount of benchmark-based cash flows of the hedged item or the hedging instrument.

- Amendments to PAS 1, *Presentation of Financial Statements*, and PAS 8, *Accounting Policies, Changes in Accounting Estimates and Errors, Definition of Material*

The amendments provide a new definition of material that states “information is material if omitting, misstating or obscuring it could reasonably be expected to influence decisions that the primary users of general purpose financial statements make on the basis of those financial statements, which provide financial information about a specific reporting entity.”

The amendments clarify that materiality will depend on the nature or magnitude of information, either individually or in combination with other information, in the context of the financial statements. A misstatement of information is material if it could reasonably be expected to influence decisions made by the primary users.

- Conceptual Framework for Financial Reporting issued on March 29, 2018

The Conceptual Framework is not a standard, and none of the concepts contained therein override the concepts or requirements in any standard. The purpose of the Conceptual Framework is to assist the standard-setters in developing standards, to help preparers develop consistent accounting policies where there is no applicable standard in place and to assist all parties to understand and interpret the standards.

The revised Conceptual Framework includes new concepts, provides updated definitions and recognition criteria for assets and liabilities and clarifies some important concepts.

- Amendments to PFRS 16, *COVID-19-related Rent Concessions*

The amendments provide relief to lessees from applying the PFRS 16 requirement on lease modifications to rent concessions arising as a direct consequence of the COVID-19 pandemic. A lessee may elect not to assess whether a rent concession from a lessor is a lease modification if it meets all of the following criteria:

- The rent concession is a direct consequence of COVID-19;
- The change in lease payments results in a revised lease consideration that is substantially the same as, or less than, the lease consideration immediately preceding the change;
- Any reduction in lease payments affects only payments originally due on or before June 30, 2021; and
- There is no substantive change to other terms and conditions of the lease.

A lessee that applies this practical expedient will account for any change in lease payments resulting from the COVID-19 related rent concession in the same way it would account for a change that is not a lease modification, i.e., as a variable lease payment.

The amendments are effective for annual reporting periods beginning on or after June 1, 2020. Early adoption is permitted.



Future Changes in Accounting Policies

The Group did not early adopt the following new standards, amendments and improvements to PFRS and Philippine Interpretations that have been approved but are not yet effective. The Group does not expect these changes to have a significant impact on its consolidated financial statements unless otherwise indicated.

Effective beginning on or after January 1, 2021

- Amendments to PFRS 9, PFRS 7, PFRS 4 and PFRS 16, *Interest Rate Benchmark Reform - Phase 2*

The amendments provide the following temporary reliefs which address the financial reporting effects when an interbank offered rate (IBOR) is replaced with an alternative nearly risk-free interest rate (RFR):

- Practical expedient for changes in the basis for determining the contractual cash flows as a result of IBOR reform
- Relief from discontinuing hedging relationships
- Relief from the separately identifiable requirement when an RFR instrument is designated as a hedge of a risk component

The Group shall also disclose information about:

- The about the nature and extent of risks to which the entity is exposed arising from financial instruments subject to IBOR reform, and how the entity manages those risks; and
- Their progress in completing the transition to alternative benchmark rates, and how the entity is managing that transition

The amendments are effective for annual reporting periods beginning on or after January 1, 2021 and apply retrospectively, however, the Group is not required to restate prior periods.

The amendments are not expected to have an impact on the consolidated financial statements of the Group.

Effective beginning on or after January 1, 2022

- Amendments to PFRS 3, *Reference to the Conceptual Framework*

The amendments are intended to replace a reference to the Framework for the Preparation and Presentation of Financial Statements, issued in 1989, with a reference to the Conceptual Framework for Financial Reporting issued in March 2018 without significantly changing its requirements. The amendments added an exception to the recognition principle of PFRS 3, *Business Combinations* to avoid the issue of potential 'day 2' gains or losses arising for liabilities and contingent liabilities that would be within the scope of PAS 37, *Provisions, Contingent Liabilities and Contingent Assets* or Philippine-IFRIC 21, *Levies*, if incurred separately.

At the same time, the amendments add a new paragraph to PFRS 3 to clarify that contingent assets do not qualify for recognition at the acquisition date.

The amendments are effective for annual reporting periods beginning on or after January 1, 2022 and apply prospectively.



The amendments are not expected to have an impact on the consolidated financial statements of the Group.

- Amendments to PAS 16, *Plant and Equipment: Proceeds before Intended Use*

The amendments prohibit entities deducting from the cost of an item of property, plant and equipment, any proceeds from selling items produced while bringing that asset to the location and condition necessary for it to be capable of operating in the manner intended by management. Instead, an entity recognizes the proceeds from selling such items, and the costs of producing those items, in profit or loss.

The amendment is effective for annual reporting periods beginning on or after January 1, 2022 and must be applied retrospectively to items of property, plant and equipment made available for use on or after the beginning of the earliest period presented when the entity first applies the amendment.

The amendments are not expected to have an impact on the consolidated financial statements of the Group.

- Amendments to PAS 37, *Onerous Contracts - Costs of Fulfilling a Contract*

The amendments specify which costs an entity needs to include when assessing whether a contract is onerous or loss-making. The amendments apply a “directly related cost approach”. The costs that relate directly to a contract to provide goods or services include both incremental costs and an allocation of costs directly related to contract activities. General and administrative costs do not relate directly to a contract and are excluded unless they are explicitly chargeable to the counterparty under the contract.

The amendments are effective for annual reporting periods beginning on or after January 1, 2022.

The amendments are not expected to have an impact on the consolidated financial statements of the Group.

- *Annual Improvements to PFRSs 2018-2020 Cycle*

- Amendments to PFRS 1, *First-time Adoption of Philippines Financial Reporting Standards, Subsidiary as a first-time adopter*

The amendment permits a subsidiary that elects to apply paragraph D16(a) of PFRS 1 to measure cumulative translation differences using the amounts reported by the parent, based on the parent’s date of transition to PFRS. This amendment is also applied to an associate or joint venture that elects to apply paragraph D16(a) of PFRS 1.

The amendment is effective for annual reporting periods beginning on or after January 1, 2022 with earlier adoption permitted.

The amendments are not expected to have an impact on the consolidated financial statements of the Group.



- Amendments to PFRS 9, *Financial Instruments, Fees in the '10 per cent' test for derecognition of financial liabilities*

The amendment clarifies the fees that an entity includes when assessing whether the terms of a new or modified financial liability are substantially different from the terms of the original financial liability. These fees include only those paid or received between the borrower and the lender, including fees paid or received by either the borrower or lender on the other's behalf. An entity applies the amendment to financial liabilities that are modified or exchanged on or after the beginning of the annual reporting period in which the entity first applies the amendment.

The amendment is effective for annual reporting periods beginning on or after January 1, 2022 with earlier adoption permitted. The Company will apply the amendments to financial liabilities that are modified or exchanged on or after the beginning of the annual reporting period in which the entity first applies the amendment.

The amendments are not expected to have an impact on the consolidated financial statements of the Group.

- Amendments to PAS 41, *Agriculture, Taxation in fair value measurements*

The amendment removes the requirement in paragraph 22 of PAS 41 that entities exclude cash flows for taxation when measuring the fair value of assets within the scope of PAS 41.

An entity applies the amendment prospectively to fair value measurements on or after the beginning of the first annual reporting period beginning on or after January 1, 2022 with earlier adoption permitted.

The amendments are not expected to have an impact on the consolidated financial statements of the Group.

Effective beginning on or after January 1, 2023

- Amendments to PAS 1, *Classification of Liabilities as Current or Non-current*

The amendments clarify paragraphs 69 to 76 of PAS 1, *Presentation of Financial Statements*, to specify the requirements for classifying liabilities as current or non-current. The amendments clarify:

- What is meant by a right to defer settlement
- That a right to defer must exist at the end of the reporting period
- That classification is unaffected by the likelihood that an entity will exercise its deferral right
- That only if an embedded derivative in a convertible liability is itself an equity instrument would the terms of a liability not impact its classification

The amendments are effective for annual reporting periods beginning on or after January 1, 2023 and must be applied retrospectively.

The Group is currently assessing the impact of these amendments on the consolidated financial statements.



- PFRS 17, *Insurance Contracts*

PFRS 17 is a comprehensive new accounting standard for insurance contracts covering recognition and measurement, presentation and disclosure. Once effective, PFRS 17 will replace PFRS 4, *Insurance Contracts*. This new standard on insurance contracts applies to all types of insurance contracts (i.e., life, non-life, direct insurance and re-insurance), regardless of the type of entities that issue them, as well as to certain guarantees and financial instruments with discretionary participation features. A few scope exceptions will apply.

The overall objective of PFRS 17 is to provide an accounting model for insurance contracts that is more useful and consistent for insurers. In contrast to the requirements in PFRS 4, which are largely based on grandfathering previous local accounting policies, PFRS 17 provides a comprehensive model for insurance contracts, covering all relevant accounting aspects. The core of PFRS 17 is the general model, supplemented by:

- A specific adaptation for contracts with direct participation features (the variable fee approach)
- A simplified approach (the premium allocation approach) mainly for short-duration contracts

PFRS 17 is effective for reporting periods beginning on or after January 1, 2023, with comparative figures required. Early application is permitted. However, the standard is not expected to have an impact on the financial statements of the Group.

Deferred effectivity

- Amendments to PFRS 10, *Consolidated Financial Statements*, and PAS 28, *Sale or Contribution of Assets between an Investor and its Associate or Joint Venture*

The amendments address the conflict between PFRS 10 and PAS 28 in dealing with the loss of control of a subsidiary that is sold or contributed to an associate or joint venture. The amendments clarify that a full gain or loss is recognized when a transfer to an associate or joint venture involves a business as defined in PFRS 3. Any gain or loss resulting from the sale or contribution of assets that does not constitute a business, however, is recognized only to the extent of unrelated investors' interests in the associate or joint venture.

On January 13, 2016, the Financial Reporting Standards Council deferred the original effective date of January 1, 2016 of the said amendments until the International Accounting Standards Board (IASB) completes its broader review of the research project on equity accounting that may result in the simplification of accounting for such transactions and of other aspects of accounting for associates and joint ventures. These amendments are currently not applicable to the Group but may apply to future transactions.

3. Summary of Significant Accounting Policies and Financial Reporting

Current versus Noncurrent Classification

The Group presents assets and liabilities in consolidated statement of financial position based on current/noncurrent classification. An asset is current when it is:

- Expected to be realized or intended to be sold or consumed in normal operating cycle;
- Held primarily for the purpose of trading;
- Expected to be realized within twelve months after the reporting period; or



- Cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period.

All other assets are classified as noncurrent.

A liability is current when:

- It is expected to be settled in normal operating cycle;
- It is held primarily for the purpose of trading;
- It is due to be settled within twelve months after the reporting period; or
- There is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period.

The Group classifies all other liabilities as noncurrent.

Deferred tax assets and liabilities are classified as noncurrent assets and liabilities.

Cash and Cash Equivalents

Cash includes cash on hand and in banks. Cash equivalents are short-term, highly liquid investments that are readily convertible to known amounts of cash with original maturities of three months or less from dates of placement and are subject to an insignificant risk of change in value.

Determination of Fair Value

Fair value is the estimated price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability.

The principal or the most advantageous market must be accessible to the Group.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their best economic interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

Assets and liabilities for which fair value is measured or disclosed in the consolidated financial statements are categorized within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

Level 1 - Quoted (unadjusted) market prices in active markets for identical assets or liabilities;



Level 2 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable; and

Level 3 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable.

For assets and liabilities that are recognized in the consolidated financial statements on a recurring basis, the Group determines whether transfers have occurred between levels in the hierarchy by re-assessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

The Group determines the policies and procedures for both recurring and non-recurring fair value measurements. For the purpose of fair value disclosures, the Group has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy.

The Group recognizes transfers into and transfers out of fair value hierarchy levels by re-assessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) as at the date of the event or change in circumstances that caused the transfer.

Recognition, Measurement, Derecognition, and Impairment of Financial Instruments

Date of Recognition. The Group recognizes a financial asset or a financial liability in the consolidated statements of financial position when it becomes a party to the contractual provisions of the instrument. Purchases or sales of financial assets that require delivery of assets within a time frame established by regulation or convention in the market place (regular way trades) are recognized on the trade date, i.e., the date that the Group commits to purchase or sell the asset.

Initial Recognition and Measurement. Financial assets are classified, at initial recognition, as financial assets measured at amortized cost, FVTPL and FVOCI. All financial assets are recognized initially at fair value plus, in the case of financial assets not recorded at FVTPL, transaction costs that are attributable to the acquisition of the financial asset.

Purchases or sales of financial assets that require delivery of assets within a time frame established by regulation or convention in the market place (regular way trades) are recognized on the trade date, i.e., the date that the Group commits to purchase or sell the asset.

Financial liabilities are classified, at initial recognition, as financial liabilities at FVTPL, loans and borrowings or as derivatives designated as hedging instruments in an effective hedge, as appropriate. All financial liabilities are recognized initially at fair value and in the case of loans and borrowings, inclusive of directly attributable transaction costs (referred to herein as “debt issue costs”).

The Group has no financial liabilities at FVTPL as at December 31, 2020 and 2019.

Subsequent Measurement. For purposes of subsequent measurement financial assets are classified in three categories:

- Financial assets at FVTPL

Financial assets at FVTPL comprise of quoted equity instruments which the Group has not irrevocably elected, at initial recognition or transition, to classify at FVOCI.



The Group has no financial asset designated at FVTPL on initial recognition.

As at December 31, 2020 and 2019, the Group has financial assets classified as financial assets at FVTPL (see Note 8).

- Financial Assets at Amortized Cost

This category includes financial assets: (a) which are held within a business model whose objective is to hold financial assets in order to collect contractual cash flows; and (b) which contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

As at December 31, 2020 and 2019, this category includes cash and cash equivalents, receivables, deposits in bank and refundable security deposits (see Notes 7, 10, 11 and 15).

- Financial Assets at FVOCI

Financial Assets at FVOCI with recycling

This category includes financial assets: (a) which are held within a business model in which assets are managed to achieve a particular objective by both collecting contractual cash flows and selling financial assets; and (b) which contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

As at December 31, 2020 and 2019, this category includes investments in government securities and corporate bonds (see Note 9).

Financial Assets at FVOCI without recycling

Financial assets at FVOCI comprise of unquoted equity instruments which the Group has irrevocably elected, at initial recognition, to classify at FVOCI.

The Group has no financial asset designated at FVOCI as at December 31, 2020 and 2019.

- Financial liabilities

For purposes of subsequent measurement, financial liabilities are classified either as financial liabilities at FVTPL or financial liabilities at amortized cost.

After initial recognition, interest bearing loans and borrowings are subsequently measured at amortized cost using the EIR method.

Debt issue costs are amortized over the life of the debt instrument using the EIR method. Debt issue costs are netted against the related loans and borrowings allocated correspondingly between the current and noncurrent portion.

Gains and losses are recognized in the profit or loss when the liabilities are derecognized, as well as through the amortization process.

As at December 31, 2020 and 2019, this category includes accounts payable and other current liabilities (excluding payable to government agencies) and lease liabilities (see Notes 16 and 26).



Derecognition of Financial Assets and Financial Liabilities

Financial Assets. An entity shall derecognize a financial asset when, and only when:

- the contractual rights to the cash flows from the financial asset expire; or
- the Group transfers the contractual rights to receive the cash flows of the financial asset or retains the contractual rights to receive the cash flows of the financial assets, but assumes a contractual obligation to pay the cash flows to one or more recipients in an arrangement where:
 - a. the Group has no obligation to pay amounts to the eventual recipients unless it collects equivalent amounts from the original asset. Short-term advances by the entity with the right of full recovery of the amount lent plus accrued interest at market rates do not violate this condition;
 - b. the Group is prohibited by the terms of the transfer contract from selling or pledging the original asset other than as security to the eventual recipients for the obligation to pay them cash flows; and
 - c. the Group has an obligation to remit any cash flows it collects on behalf of the eventual recipients without material delay. In addition, the entity is not entitled to reinvest such cash flows, except for investments in cash or cash equivalents during the short settlement period from the collection date to the date of required remittance to the eventual recipients, and interest earned on such investments is passed to the eventual recipients.

When the Group transfers a financial asset, it evaluates the extent to which it retains the risks and rewards of ownership of the financial asset. The transfer of risks and rewards is evaluated by comparing the Group's exposure, before and after the transfer, with the variability in the amounts and timing of the net cash flows of the transferred asset. The Group has retained substantially all the risks and rewards of ownership of a financial asset if its exposure to the variability in the present value of the future net cash flows from the financial asset does not change significantly as a result of the transfer. The Group has transferred substantially all the risks and rewards of ownership of a financial asset if its exposure to such variability is no longer significant in relation to the total variability in the present value of the future net cash flows associated with the financial asset.

Financial Liabilities. A financial liability is derecognized when the obligation under the liability is discharged or cancelled or expires. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as the derecognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognized in profit or loss.

Impairment of Financial Assets

The Group's accounting for impairment losses for financial assets uses a forward-looking ECL approach. ECL is based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows the Group expects to receive. For cash in bank and cash equivalents, the Group has applied the General Approach and has calculated ECL based on 12-month ECL. For trade receivables, deposits and other current receivables, the Group has applied the simplified approach and has calculated ECL based on lifetime ECL. For debt financial assets at FVOCI, the Group has applied the General Approach and has calculated ECL based on either the 12-month ECL or lifetime ECL, if SICR is established. The Group takes into consideration the



Group's historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment.

Definition of Default and Credit-impaired Financial Assets. The Group defines a financial instrument as in default, which is fully aligned with the definition of credit-impaired, when it meets one or more of the following criteria:

- *Quantitative Criteria.* For trade receivables and all other financial assets subject to impairment, default occurs when the receivable becomes 90 days past due.
- *Qualitative Criteria.* The counterparty meets unlikelihood to pay criteria, which indicates the borrower is in significant financial difficulty. These are instances where:
 - a. The counterparty is experiencing financial difficulty or is insolvent;
 - b. The counterparty is in breach of financial covenant(s);
 - c. An active market for that financial assets has disappeared because of financial difficulties;
 - d. Concessions have been granted by the Group, for economic or contractual reasons relating to the counterparty's financial difficulty;
 - e. It is becoming probable that the counterparty will enter bankruptcy or other financial reorganization; or
 - f. Financial assets are purchased or originated at a deep discount that reflects the incurred credit losses.

The criteria above have been applied to all financial instruments held by the Group and are consistent with the definition of default used for internal credit risk management purposes. The default definition has been applied consistently to the ECL models throughout the Group's expected loss calculation.

Incorporation of Forward-looking Information. The Group incorporates forward-looking information into both its assessment of whether the credit risk of an instrument has increased significantly since its initial recognition and its measurement of ECL. To do this, the Group has considered a range of relevant forward-looking macro-economic assumptions for the determination of unbiased general industry adjustments and any related specific industry adjustments that support the calculation of ECLs.

Based on the Group's evaluation and assessment and after taking into consideration external actual and forecast information, the Group considers two or more economic scenarios and the relative probabilities of each outcome. External information includes economic data and forecasts published by governmental bodies, monetary authorities and selected private-sector and academic institutions.

The Group has identified and documented key drivers of credit risk and credit losses of each portfolio of financial instruments and, using an analysis of historical data, has estimated relationships between macro-economic variables and credit risk and credit losses. The Group considers macro-economic factors such as GDP growth rates and inflation rates of selected countries in its analysis.

Predicted relationship between the key indicators and default and loss rates on portfolios of financial assets have been developed based on analyzing historical data over the past 5 years. The methodologies and assumptions including any forecasts of future economic conditions are reviewed regularly.

The Group has not identified any uncertain event that is relevant to its assessment of the risk of default occurring on the financial instrument.



Determining the Stage for Impairment. At each reporting date, the Group assesses whether there has been a significant increase in credit risk for financial assets since initial recognition by comparing the risk of default occurring over the expected life between the reporting date and the date of initial recognition. The Group considers reasonable and supportable information that is relevant and available without undue cost or effort for this purpose. This includes quantitative and qualitative information and forward-looking analysis.

Exposures that have not deteriorated significantly since origination, or where the deterioration remains within the Group's investment grade criteria are considered to have a low credit risk. The provision for credit losses for these financial assets is based on a 12-month ECL. The low credit risk exemption has been applied on debt investments that meet the investment grade criteria of the Group from the time of origination.

An exposure will migrate through the ECL stages as asset quality deteriorates. If, in a subsequent period, asset quality improves and also reverses any previously assessed significant increase in credit risk since origination, then the loss allowance measurement reverts from lifetime ECL to 12-months ECL.

Grouping of Instruments for Losses Measured on Collective Basis. For expected credit loss provisions modelled on a collective basis, a grouping of exposures is performed on the basis of shared risk characteristics, such that risk exposures within a group are homogeneous. In performing this grouping, there must be sufficient information for the Group to be statistically credible. Where sufficient information is not available internally, the Group has considered benchmarking internal/external supplementary data to use for modelling purposes. The characteristics and any supplementary data used to determine groupings are outlined below.

Trade receivables - Groupings for collective measurement:

- a. Trading Participants
- b. Listed Companies
- c. Data Vendors

The following credit exposures are assessed individually:

- All Stage 3 assets, regardless of the class of financial assets
- The cash and cash equivalents, investment in debt securities and other long-term investments, and other financial assets

Write-off Policy. The financial exposures of the Group are written-off based on Management's decision of whether receivables from counterparties are still collectible or not.

Other Current Assets

Other current assets include prepaid expenses which are expenses paid in advance and recorded as asset before they are utilized; and security deposits, which are given to the lessor for the faithful compliance of all the Group's obligations under the lease contract and are refundable when the lease expires. The security deposits are initially recognized at present value and subsequently accreted to principal values at effective yields in profit or loss.

Value-added Tax (VAT)

Revenue, expenses and assets are recognized, net of the amount of VAT. The net amount of VAT recoverable from, or payable to, the taxable authority is included as part of "Other current assets" or "Accounts payable and other current liabilities" accounts in the consolidated statement of financial position.



Property and Equipment

Property and equipment is stated at cost less accumulated depreciation and any impairment in value.

The initial cost of property and equipment comprises its purchase price and any directly attributable costs in bringing the asset to its working condition and location for its intended use. Expenditures incurred after the property and equipment have been put into operation, such as repairs and maintenance, are charged against current operations.

Depreciation is calculated using the straight-line method over the following estimated useful life of the depreciable assets:

Land rights	25 years
Buildings	25 years
Building improvements	10 years
Trading system equipment	3 to 7 years
Computer hardware and peripherals	3 to 5 years
Transportation equipment	3 to 5 years
Office furniture, fixtures, communication equipment and others	2 to 5 years

The residual values, useful lives and methods of depreciation are reviewed at each financial year-end, and adjusted prospectively, if appropriate.

Fully depreciated assets are retained in the accounts until these are no longer in use and no further depreciation is credited or charged to current operations.

An item of property and equipment is derecognized upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on derecognition of the asset, calculated as the difference between the net disposal proceeds and the carrying amount of the asset, is included in the profit or loss in the year the asset is derecognized.

Construction in progress represents assets under construction and is stated at cost less any impairment in value. This includes the cost of construction and other direct costs. Construction in progress is not depreciated until such time that the relevant assets are completed and readily for use.

Investment Property

Investment property is held by the Group for capital appreciation and rental income purposes. Investment property is measured initially at cost, including transaction costs, less accumulated depreciation and accumulated impairment in value. The carrying amount includes the cost of replacing part of an existing investment property at the time that cost is incurred if the recognition criteria are met and excludes the costs of day-to-day servicing of an investment property.

Investment property is derecognized when disposed of or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal. Any gains or losses on the retirement or disposal of an investment property are recognized in the profit or loss in the year of retirement or disposal.

Transfers are made to (or from) investment property only when there is a change in use. For a transfer from investment property to owner occupied property, the deemed cost for subsequent accounting is the fair value at the date of change in use. If owner-occupied property becomes an investment property, the Group accounts for such property in accordance with the policy stated under property and equipment up to the date of change in use.



Construction in progress classified under investment property are carried at cost and transferred to the related investment property account when the construction and related activities to prepare the property for its intended use are complete, and the property is ready for occupation. Construction-in-progress is not depreciated until such time that the relevant assets are completed and are ready for use.

Computer Software

Costs associated with developing or maintaining computer software programs are recognized as expense when incurred. Costs that are directly associated with identifiable and unique software controlled by the Group and will generate economic benefits exceeding costs beyond one year, are recognized as intangible assets.

Computer software development costs recognized as assets are measured on initial recognition at cost. Following initial recognition, computer software development costs are amortized using the straight-line method over their estimated useful life, but not exceeding a period of seven (7) years.

The amortization period and amortization method for computer software are reviewed at least at the end of each reporting period.

An intangible asset is derecognized upon disposal (i.e., at the date the recipient obtains control) or when no future economic benefits are expected from its use or disposal. Any gain or loss arising upon derecognition and asset is included in the profit or loss.

Investment in an Associate

An associate is an entity over which the Group has significant influence. Significant influence is the power to participate in the financial and operating policy decisions of the investee, but is not control or joint control over those policies.

The considerations made in determining significant influence are similar to those necessary to determine control over subsidiaries. The Group's investment in an associate is accounted for under the equity method.

Under the equity method, investment in an associate is initially recognized at cost. The carrying amount of the investment is adjusted to recognize changes in the Group's share in the net asset of the associate since the acquisition date. Goodwill relating to the associate is included in the carrying amount of the investment and is not tested for impairment individually.

Profit or loss reflects the Parent Company's share in the result of operations of the associate. Any change in OCI of those investees is presented as part of the Group's OCI. In addition, where there has been a change recognized directly in the equity of the associate, the Group recognizes its share in any changes and discloses this, when applicable, in the consolidated statement of comprehensive income.

The aggregate of the Group's share of profit or loss of an associate is shown on the face of the consolidated statement of comprehensive income outside operating profit and represents profit or loss after tax and non-controlling interests in the subsidiaries of the associate. If the Group's share of losses of an associate equals or exceeds its interest on the associate, the Group discontinues recognizing its share of further losses.

The financial statements of the associate are prepared for the same reporting date as the Group. The accounting policies of the associate conform to those used by the Group for like transactions and events in similar circumstances.



After application of the equity method, the Group determines whether it is necessary to recognize an impairment loss on its investment in its associate. At each reporting date, the Group determines whether there is objective evidence that the investment in the associate is impaired. If there is such evidence, the Group calculates the amount of impairment as the difference between the recoverable amount of the associate and its carrying value, and then recognized the loss as “Equity in net income of an associate” account in the consolidated statement of comprehensive income.

Upon loss of significant influence over the associate, the Group measures and recognized any retained investment at its fair value. Any difference between the carrying amount of the associate upon loss of significant influence and the fair value of the retained investment and proceeds from disposal is recognized in the consolidated statement of comprehensive income.

Impairment of Nonfinancial Assets

The carrying values of property and equipment, investment property, right-of-use assets, computer software, and investment in an associate are reviewed for impairment when events or changes in circumstances indicate that the carrying value may not be recoverable. If any such indication exists, and if the carrying value exceeds the estimated recoverable amount, the assets are written down to their recoverable amounts. The recoverable amount of the asset is the greater of fair value less costs to sell or value in use. The fair value less costs to sell is the amount obtainable from the sale of an asset in an arm’s-length transaction between knowledgeable, willing parties, less costs of disposal. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. Impairment losses are recognized in profit or loss in those expense categories consistent with the function of the impaired asset.

An assessment is made at each reporting date as to whether there is any indication that previously recognized impairment loss may no longer exist or may have decreased. If such indication exists, the recoverable amount is estimated. A previously recognized impairment loss is reversed only if there has been a change in the estimates used to determine the asset’s recoverable amount since the last impairment loss was recognized. If that is the case, the carrying amount of the asset is increased to its recoverable amount. That increased amount cannot exceed the carrying amount that would have been determined, net of depreciation and amortization, had no impairment loss been recognized for the asset in prior years. Such reversal is recognized in the profit or loss. After such a reversal, the depreciation or amortization charge is adjusted in future periods to allocate the asset’s revised carrying amount, less any residual value, on a systematic basis over its remaining useful life.

Deferred Fees and Others

Deferred fees and others include deferred output VAT which is reported as output VAT upon collection of related receivable and fees for the Bull Run and other sponsorship events which are collected but not yet earned as at reporting date.

Capital Stock and Additional Paid-in Capital

Capital stock is measured at par value for all shares issued. Incremental costs incurred directly attributable to the issuance of new shares are shown in equity as a deduction from proceeds, net of tax. Proceeds and/or fair value of considerations received in excess of par value, if any, are recognized as additional paid-in capital stock.

Subscribed Capital Stock / Subscription Receivable

Subscribed shares are the shares of stock that will be issued upon completion of an installment purchase contract with an investor. Subscribed shares are presented net of subscription receivable.



Treasury Shares

The Parent Company's own equity instruments which are acquired (treasury shares) are deducted from equity and accounted for at cost. No gain or loss is recognized in the profit or loss on the purchase, sale, issue or cancellation of the Parent Company's own equity instruments. Any difference between the carrying amount and the consideration, if reissued, is recognized in additional paid-in capital.

Retained Earnings

Retained earnings represent accumulated earnings, net of dividends declared and the cumulative effect of the retrospective application of change in accounting policy.

Donated Capital and Donation Income

Donations received, other than those contributions from equity participants, are recognized as income on the date of donation. Donations in kind are recognized at the fair value of asset received. Donated capital becomes available for dividend declaration when all conditions or restrictions are met such that the asset received will be for the exclusive use of the Exchange for at least a period of five (5) to ten (10) years from the date of the occupancy or turnover of the asset.

Dividends on Common Shares

Dividends on common shares are recognized as a liability and deducted from equity when approved by the BOD of the Parent Company. Dividends for the year that are approved after the reporting date are dealt with as an event after the reporting date.

Employee Stock Purchase Plan

All regular employees in good standing are granted options to purchase shares, subject to restrictions, terms and conditions provided in the Employee Stock Purchase Plan (ESPP). ESPP is considered an equity-settled transaction.

The cost of equity-settled transactions is measured by reference to the fair value at the date on which these are granted. The fair value is determined using the quoted market price at the time of payment.

The cost of equity-settled transactions is recognized with a corresponding increase in the equity, over the period in which the performance and/or service conditions are fulfilled, ending on the date on which the relevant employees become fully entitled to the award (vesting date). The cumulative expense recognized for equity-settled transactions at each reporting date until the vesting date reflects the extent to which the vesting period has expired and the Group's best estimate of the number of equity instruments that will ultimately vest. The amount reflected in the profit or loss represents the movement in cumulative expense recognized as at the beginning and end of the period. No expense is recognized for awards that do not ultimately vest.

Revenue Recognition

The following is a description of the principal activities separated by reportable segments from which the Group generates its revenue.

Listing-related revenues mainly pertain to fees from approved applications for Initial Public Offering (IPO) and additional listings in the PSE Main and Small, Medium and Emerging boards. The Exchange also recognizes annual fees for maintenance of listings which are directly affected by the change in number of shares and market price.



Listing-related Fees (applicable starting January 1, 2019 upon Adoption of PFRS 15 on Listing fees)

Filing Fees. Effective March 22, 2019, the Exchange issued a new framework for listing applications. Based on the revised rules, the Exchange's processing fees shall be removed and filing fees shall be paid in full upon filing of the applications for IPO and additional listings with the Exchange. The filing fees are non-refundable and are computed and billed based on (%) of market capitalization.

Revenue is recognized using percentage of hours spent on the relevant activities of the departments performing the listing service over the listed companies' average listing life of fifteen (15) years.

Listing-related Fees (applicable starting January 1, 2018 upon Adoption of PFRS 15 including the availment of relief granted by the SEC on listing fees)

Processing Fees. These are non-refundable upfront fees paid to administer the requirements of the applying customer before the approval to listing. Revenue is recognized upon receipt of the payment and services are rendered on a period of 20-30 days. The Parent Company recognizes processing fees at point in time upon the receipt of payment from customers.

Initial Listing Fees. These are income from approved applications of IPO and computed based on percentage (%) of market capitalization. Initial listing fee shall be paid as soon as practicable which in no case shall be later than 15 calendar days from the receipt of approval. Following the requirements of PFRS 15 on listing fees, the revenue is recognized over time based on the duration of the customer's listing life. However, the application of this requirement was deferred for a period of one (1) year (see Note 2). As a result of the deferral, in 2018, the revenue from initial listing fees is recognized upon the listing of the new securities issued by the applicant.

Additional Listing Fees. These are income from issuances of new voting shares to any party by a listed customer. Such transactions may include private placements, share swaps, property-for-share swaps, or conversion of securities into equity. Following the requirements of PFRS 15 on listing fees, the revenue is recognized over time based on the duration of the customer's listing life. However, the application of this requirement was deferred for a period of one (1) year (see Note 2). As a result of the deferral, in 2018, the revenue from additional listing fees is recognized upon the listing of the additional securities issued by the applicant.

Listing Maintenance Fees. These are annual fee paid by listed customer based on percentage of market capitalization. The revenue is earned by means of providing ongoing market access and maintenance of the listing (for example, maintaining technology, regulatory oversight and general operation). Revenue is recognized over-time by spreading out through the year.

Service-related Fees (applicable starting beginning January 1, 2018 upon Adoption of PFRS 15)

Service fees are revenue from services provided by Subsidiaries (SCCP and CMIC). These include Settlement and Clearing Services from SCCP; Seminars and Management Services from CMIC.

Settlement and Clearing Fee. These are income from services provided to clearing members that includes risk management functions during the settlement and clearing process of any eligible trades. Revenue from these services is recognized at a point in time.



Management Fee. Management fee is collected against failed Trading Participants (TP) in exchange of management services to facilitate settlement and liquidation of Customers' claims. Revenue from these services shall be recognized over-time based on five (5)-year minimum period from the date of take-over of the TP's book.

Seminar Fee. These are income from seminars and trainings conducted for the TP. Revenue is recognized when services are rendered.

Trading-related Fees (applicable starting January 1, 2018 upon Adoption of PFRS 15)

Trading related fees are revenues that are directly affected by the trading volume of the Exchange for the period. These include Transaction/Block Sales, Data Feed and Subscription Fees.

Transaction Fees. These are revenues billed based on 0.005% of the peso value of the volume of the buying and selling of shares of stocks by Investors to Trading Participants/Brokers of the Parent Company. Revenue is recognized at point in time once the trading transaction is completed.

Block Sales. These revenue pertain to income computed from 0.005% of the peso value of the volume of the block sale transactions. Block sales are pre-arranged stock transactions by and among the broker dealers' clients or among two brokers representing their clients whose trading transactions do not go below ₱20.0 million. Revenue is recognized at point in time once the block sale transaction is completed.

Data Feed Fees. This revenue account consists of subscription and data feed fees paid by the data feed customers for the access to market data other than those basic information posted in the Exchange's disclosure website. Revenue is recognized over time on a monthly basis.

Subscription Fees. These are fees paid by the Trading Participants to allow them to transact in trading activities with the PSE through access in different PSE trading sites and facilities. Revenue is recognized over the period covered by the subscription.

Contract Balances

- *Trade Receivables.* A receivable represents the Group's right to an amount of consideration that is unconditional (i.e., only the passage of time is required before payment of the consideration is due).
- *Contract Assets.* A contract asset is the right to consideration in exchange for goods or services transferred to the customer. If the Group performs by transferring goods or services to a customer before the customer pays consideration or before payment is due, a contract asset is recognized for the earned consideration that is conditional.
- *Contract Liabilities.* A contract liability is the obligation to transfer goods or services to a customer for which the Group has received consideration or an amount of consideration is due from the customer. If a customer pays consideration before the Group transfers goods or services to the customer, a contract liability is recognized when the payment is made or the payment is due, whichever is earlier. If the revenue recognized which is determined based average period of listing is lower than the amount collected as of date arising from the contract with the customer, a contract liability is recognized for the difference.



Expense Recognition

Expenses are recognized in the profit or loss when a decrease in future economic benefit related to a decrease in an asset or an increase in a liability has arisen that can be measured reliably. Expenses are recognized in the profit or loss on the basis of a direct association between the costs incurred and the earning of specific items of income; on the basis of systematic and rational allocation procedures when economic benefits are expected to arise over several accounting periods and the association with income can only be broadly or indirectly determined; or immediately when an expenditure produces no future economic benefits or when, and to the extent that, future economic benefits do not qualify, cease to qualify, for recognition in the consolidated statements of financial position as an asset.

Costs of Services. Costs of services constitute expenses that arise in the course of the ordinary activities of the Group and recognized as expenses once incurred. These normally include costs related to the performance and delivery of services to customers.

General and Administrative Expenses. General and administrative expenses constitute costs of administering the business and are recognized as expenses once incurred.

Pension and Other Post-employment Benefits

The Parent Company has a funded noncontributory defined benefit retirement plan while SCCP has unfunded noncontributory defined benefit retirement plans. CMIC does not have an established retirement plan and only conforms to the minimum regulatory benefit under the Retirement Pay Law (RA 7641). The retirement fund of the Parent Company is being administered by its trustees. The Group's retirement cost is actuarially determined using the projected unit credit method. This method reflects services rendered by employees to the date of valuation and incorporates assumptions concerning employees' projected salaries.

Defined Benefit Plan. The net defined benefit liability or asset is the aggregate of the present value of the defined benefit obligation at the end of the reporting date reduced by the fair value of plan assets (if any), adjusted for any effect of limiting a net defined benefit asset to the asset ceiling. The asset ceiling is the present value of any economic benefits available in the form of refunds from the plan or reductions in future contributions to the plan.

Defined benefit costs comprise the following:

- Service cost;
- Net interest on the net defined benefit liability or asset; and
- Remeasurements of net defined benefit liability or asset.

Service costs which include current service costs, past service costs and gains or losses on non-routine settlements are recognized as expense in profit or loss. Past service costs are recognized when plan amendment or curtailment occurs. These amounts are calculated periodically by independent qualified actuaries.

Net interest on the net defined benefit liability or asset is the change during the period in the net defined benefit liability or asset that arises from the passage of time which is determined by applying the discount rate based on government bonds to the net defined benefit liability or asset. Net interest on the net defined benefit liability or asset is recognized as expense or income in profit or loss.



Remeasurements comprising actuarial gains and losses, return on plan assets and any change in the effect of the asset ceiling (excluding net interest on defined benefit liability) are recognized immediately in OCI in the period in which these arise. Remeasurements are not reclassified to profit or loss in subsequent periods.

Plan assets are assets that are held by a long-term employee benefit fund. Plan assets are not available to the creditors of the Group, nor can these be paid directly to the Group. Fair value of plan assets is based on market price information. When no market price is available, the fair value of plan assets is estimated by discounting expected future cash flows using a discount rate that reflects both the risk associated with the plan assets and the maturity or expected disposal date of those assets (or, if they have no maturity, the expected period until the settlement of the related obligations). If the fair value of the plan assets is higher than the present value of the defined benefit obligation, the measurement of the resulting defined benefit asset is limited to the present value of economic benefits available in the form of refunds from the plan or reductions in future contributions to the plan.

The Group's right to be reimbursed of some or all of the expenditure required to settle a defined benefit obligation is recognized as a separate asset at fair value when and only when reimbursement is virtually certain.

Profit Sharing and Bonus Plans. The Group recognizes a liability and an expense for bonuses and profit-sharing based on a formula that takes into consideration the profit attributable to the Parent Company's shareholders after certain adjustments. The Group recognizes a provision where it is contractually obliged to pay the benefits, or where there is a past practice that has created a constructive obligation.

Employee Leave Entitlements. Compensated absences are recognized for the number of paid leave days (including holiday entitlement) remaining at the end of the reporting date. These are included in "Accounts payable and other current liabilities" account in the consolidated statement of financial position at the undiscounted amount that the Group expects to settle within one year from the end of the reporting date as a result of the unused entitlement. The liability for entitlements expected to be settled beyond one year after the end of the reporting date are recognized under "Pension liability and others" account in the consolidated statement of financial position and measured at the present value of the benefit as at the end of the reporting date.

Termination Benefits. Termination benefits are payable when employment is terminated by the Group before the normal retirement date, or whenever an employee accepts voluntary redundancy in exchange for these benefits. The Group recognizes termination benefits at the earlier of when it can no longer withdraw the offer of such benefits and when it recognizes costs for a restructuring that is within the scope of PAS 37, *Provisions, Contingent Liabilities and Contingent Assets* and involves the payment of termination benefits. In the case of an offer made to encourage voluntary redundancy, the termination benefits are measured based on the number of employees expected to accept the offer. Benefits falling due more than 12 months after the reporting date are discounted to their present value.

Leases (applicable starting January 1, 2019 upon Adoption of PFRS 16)

The Group assesses at contract inception whether a contract is, or contains, a lease. That is, if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

Group as a Lessee. The Group applies a single recognition and measurement approach for all leases, except for short-term leases and leases of low-value assets. The Group recognizes lease liabilities to make lease payments and right-of-use assets representing the right to use the underlying assets.



- *Right-of-use Assets.* The Group recognizes right-of-use assets at the commencement date of the lease (i.e., the date the underlying asset is available for use). Right-of-use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right-of-use assets includes the amount of lease liabilities recognized, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received and estimate of costs to be incurred by the lessee in dismantling and removing the underlying asset, restoring the site on which it is located or restoring the underlying asset to the condition required by the terms and conditions of the lease. Unless the Group is reasonably certain to obtain ownership of the leased asset at the end of the lease term recognized. Right-of-use assets are depreciated on a straight-line basis over the shorter of its estimated useful life and the lease term as follows:

Data recovery sites	3 to 5 years
Office space	6 years

Right-of-use assets are subject to impairment. Refer to the accounting policies in the section on impairment of non-financial assets.

- *Lease Liabilities.* At the commencement date of the lease, the Group recognizes lease liabilities measured at the present value of lease payments to be made over the lease term. The lease payments include fixed payments (including in-substance fixed payments) less any lease incentives receivable, variable lease payments that depend on an index or a rate, and amounts expected to be paid under residual value guarantees. Variable payments that do not depend on an index or a rate are as recognized as expense in the period in which the event or condition that triggers the payment occurs.

In calculating the present value of lease payments, the Group uses its IBR at the lease commencement date because the interest rate implicit in the lease is not readily determinable. After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made. In addition, the carrying amount of lease liabilities is remeasured if there is a modification, a change in the lease term, a change in the in-substance fixed lease payments or a change in the assessment to purchase the underlying asset.

Group as a Lessor. Leases where the Exchange does not transfer to the lessee substantially all the risks and rewards incidental to ownership of an asset are classified as operating leases. Lease income arising is accounted for on a straight-line basis over the lease terms and are recognized as revenue in the statement of comprehensive income due to its operating nature.

Leases (Prior to January 1, 2019)

The determination of whether an arrangement is, or contains a lease is based on the substance of the arrangement at inception date, whether fulfillment of the arrangement is dependent on the use of a specific asset or assets or the arrangement conveys a right to use the asset, even if that right is not explicitly specified in an arrangement.

Group as a Lessee. Leases where the lessor retains substantially all the risks and benefits of ownership of the asset are classified as operating leases. Operating lease payments are recognized as an expense in the statement of comprehensive income on a straight-line basis over the lease term.

Group as a Lessor. Leases where the Exchange does not transfer to the lessee substantially all the risk and benefits of ownership of the asset are classified as operating leases. Operating lease income are recognized as an income in the statement of comprehensive income on a straight-line basis over the lease term.



Income Taxes

Current Income Tax. Current tax assets and liabilities are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted at reporting date.

Deferred Income Tax. Deferred tax is provided, using the balance sheet liability method, on all temporary differences at reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes at the reporting date.

Deferred tax assets are recognized for all deductible temporary differences, carryforward of unused tax credits from excess minimum corporate income tax (MCIT) over regular corporate income tax (RCIT) and net operating loss carry over (NOLCO), to the extent that it is probable that taxable profit will be available against which the deductible temporary differences and carryforward benefits of excess of MCIT over the RCIT and NOLCO can be utilized, except:

- Where the deferred tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit; and
- In respect of deductible temporary differences associated with investments in subsidiaries, associates and interests in joint ventures, deferred tax assets are recognized only to the extent that it is probable that the temporary differences will reverse in the foreseeable future and taxable profit will be available against which the temporary differences can be utilized.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax assets to be utilized. Unrecognized deferred tax assets are reassessed at each reporting date and are recognized to the extent that it has become probable that future taxable profit will allow the deferred tax assets to be recovered.

Deferred income tax liabilities are recognized for all taxable temporary differences, except:

- Where the deferred income tax liability arises from the initial recognition of goodwill of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit; and
- In respect of taxable temporary differences associated with investments in subsidiaries, associates and interests in joint ventures, where the timing of the reversal of the temporary differences can be controlled and it is probable that the temporary differences will not reverse in the foreseeable future.

Deferred tax liabilities are not provided on nontaxable temporary differences associated with investment in subsidiary.

Deferred tax assets and liabilities are measured at the tax rate applicable to the year when the asset is realized or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at reporting date.

Deferred tax assets and deferred tax liabilities are offset if a legally enforceable right exists to set off current tax assets against current tax liabilities and deferred taxes related to the same taxable entity and the same taxation authority.



Income tax relating to OCI is recognized in OCI section of the consolidated statement of comprehensive income.

Foreign Currency-denominated Transactions

Transactions in foreign currencies are recorded using the exchange rate at the date of the transactions. Foreign exchange gains or losses arising from foreign currency-denominated transactions and revaluation adjustments of foreign currency-denominated assets and liabilities are credited to or charged against current operations. Monetary assets and liabilities denominated in foreign currencies are translated using the closing rate prevailing at reporting date. All differences are taken to profit or loss. For income tax purposes, foreign exchange gains and losses are treated as taxable income or deductible expenses when realized.

Earnings Per Share (EPS)

Basic EPS is calculated by dividing the net income for the year attributable to ordinary equity holders of the Parent Company by the weighted average number of common shares outstanding during the year, with retroactive adjustments for any stock dividends declared, if any.

Diluted EPS is calculated by dividing the net income for the year attributable to ordinary equity holders of the Parent Company by the weighted average number of common shares outstanding during the year, adjusted for the effects of potential dilutive shares. Stocks under the ESPP are deemed to have been converted into shares on the date of grant.

Operating Segments

For management purpose, the Group is organized and managed under a single business segment, the equity securities market, which is the basis upon which the Parent Company reports its primary segment information.

Provisions

Provisions are recognized when the Group has a present obligation (legal or constructive) where, as a result of a past event, it is probable that an outflow of assets embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. If the effect of the time value of money is material, provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and, where appropriate, the risks specific to the liability. Where discounting is used, the increase in the provision due to the passage of time is recognized as interest expense. Where the Group expects a provision to be reimbursed, the reimbursement is recognized as a separate asset but only when the receipt of the reimbursement is virtually certain.

Contingencies

Contingent liabilities are not recognized in the consolidated financial statements. These are disclosed in the notes to the consolidated financial statements unless the possibility of an outflow of assets embodying economic benefits is remote. Contingent assets are not recognized in the consolidated financial statements but are disclosed in the notes to the consolidated financial statement when an inflow of economic benefits is probable.

Events after the Reporting Period

Post-year-end events that provide additional information about the Group's financial position at the end of the reporting period (adjusting events) are reflected in the consolidated financial statements. Post-year-end events that are not adjusting events, are disclosed in the notes to the consolidated financial statement when material.



4. Significant Accounting Judgments, Estimates and Assumptions

The preparation of the consolidated financial statements in accordance with PFRS requires the Group to make judgments, estimates and assumptions that affect the reported amounts of assets, liabilities, income and expenses and disclosure of contingent assets and contingent liabilities, at the end of the reporting date. Future events may occur which will cause the assumptions used in arriving at the estimates to change. The effects of any change in estimates are reflected in the consolidated financial statements as these become reasonably determinable.

Judgments and estimates are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be determinable under the circumstances.

Judgments

In the process of applying the Group's accounting policies, management has made the following judgments, apart from those involving estimates and assumptions, which have the most significant effect on the amounts recognized in the consolidated financial statements.

Identifying Performance Obligation for Listing Services. The Exchange provides listing services for approved applications for IPO and additional listings in the PSE Main and Small, Medium and Emerging boards. The Exchange determines that there is one performance obligation in the contract which is the service of being listed in the PSE.

Determination of Lease Term of Contracts with Renewal Options - The Group as a Lessee. As at January 1, 2019, the Group has lease contracts that include renewal options and termination options. The Group applies judgment in evaluating whether it is reasonably certain whether or not to exercise the option to renew or terminate the lease. That is, it considers all relevant factors that create an economic incentive for it to exercise either the renewal or termination. After the commencement date, the Group reassesses the lease term if there is a significant event or change in circumstances that is within its control and affects its ability to exercise or not to exercise the option to renew or to terminate.

The Group included the renewal period of one (1) year as part of the lease term for leases of data recovery sites with shorter non-cancellable period (i.e., 3 to 5 years). The Group typically exercises its option to renew for these leases because there will be a significant negative effect on operations if a replacement asset is not readily available.

Operating Lease Commitments - The Group as Lessee. Prior to January 1, 2019, the Group has entered into a property lease for its condominium units, office space and parking lots as a lessee. The Group has determined, based on evaluation of the terms and condition of the lease agreement, that the significant risks and rewards of ownership of the leased property was retained by the lessor and accounts this lease as operating lease. Other operating leases entered into by the Group include leases of office equipment, which are normally for a period of not more than a year, and/or renewable yearly (see Note 26).

Fair Values of Financial Assets and Liabilities. The Group carries certain financial assets at fair value. Fair value determinations for financial assets are based generally on listed or quoted market prices (see Note 6).



Estimates and Assumptions

The key estimates and assumptions concerning the future and other key sources of estimation uncertainty at reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are discussed below. The Group based its assumptions and estimates on parameters available when the consolidated financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising beyond the control of the Group. Such changes are reflected in the assumptions when these occur.

Estimation of Service Period and Determination of the Timing of Revenue Recognition for Listing Services. Upon adoption of PFRS 15, the Exchange applies judgment and estimates on the identification and timing of satisfaction of performance obligations. The Exchange determines the service period and percentage of services rendered using historical analysis of listing durations and experience. The estimated service period and percentage of services rendered are reassessed at each reporting period to properly reflect the Exchange's best estimate. Listing-related fees are recognized using percentage of hours spent on the relevant activities of the departments performing the listing service over the listed companies' average listing life of fifteen (15) years (see Note 20).

Leases - Estimating the IBR. The Group cannot readily determine the interest in the lease, therefore, it uses its IBR to measure lease liabilities. The IBR is the rate of interest that the Group would have to pay to borrow over a similar term, and with a similar security, the funds necessary to obtain an asset of a similar value to the right-of-use asset in a similar economic environment. The IBR therefore reflects what the Group 'would have to pay', which requires estimation when no observable rates are available (such as for entities that do not enter into financing transactions) or when they need to be adjusted to reflect the terms and conditions of the lease. The Group estimates the IBR using observable inputs (such as market interest rates) when available and is required to make certain entity-specific estimates (such as the entity's stand-alone credit rating).

The Group's lease liabilities amounted to ₱60.44 million and ₱73.46 million as at December 31, 2020 and 2019, respectively (see Note 26).

Impairment of Financial Assets at FVOCI. The Group takes into consideration the Group's historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment in assessing the impairment of its financial assets at FVOCI. For financial debt financial assets at FVOCI, the Group has applied the General Approach and has calculated ECL based on either the 12-month ECL or lifetime ECL, if SICR is established.

There were no provisions for impairment losses on the financial assets at FVOCI for the years ended December 31, 2020 and 2019. The total carrying value of the financial assets at FVOCI amounted to ₱3,619.09 million and ₱629.07 million as at December 31, 2020 and 2019, respectively (see Note 9).

Impairment of Receivables. Allowance for doubtful accounts is maintained at a level considered adequate to provide for potentially uncollectible receivables. The level of allowance is based on the Group's historical credit loss experience and forward-looking factors specific to the debtors and the economic environment that may affect collectability. The Group applies the simplified approach designed to identify potential uncollectible receivables and is performed on a continuous basis throughout the period.

There were no provisions for impairment of receivables for the years ended December 31, 2020 and 2019. The carrying values of receivables amounted to ₱96.84 million and ₱81.55 million as at December 31, 2020 and 2019, respectively (see Note 10).



Recoverability of Property and Equipment, Right-of-use Assets and Investment Properties. The Group performs impairment review of property and equipment, right-of-use assets, and investment properties when certain impairment indicators are present. Determining the fair value of assets, which requires the determination of future cash flows expected to be generated from the continued use and ultimate disposition of such assets, requires the Group to make estimates and assumptions that can materially affect the consolidated financial statements. Future events could cause the Group to conclude that the assets are impaired. Any resulting impairment loss could have a material adverse impact on the Group's financial position and performance.

There were no provisions for impairment of property and equipment, right-of-use assets and investment property for the years ended December 31, 2020 and 2019 (see Notes 12, 13 and 26).

The aggregate carrying values of property and equipment, right-of-use assets and investment property as at December 31 are as follows:

	2020	2019
Property and equipment (see Note 12)	₱1,252,587,880	₱1,246,554,610
Investment property (see Note 13)	152,097,505	140,311,984
Right-of-use assets (see Note 26)	52,221,700	71,062,814

Estimation of Useful Lives of Property and Equipment and Computer Software. The Group estimated the useful lives of its property and equipment and computer software based on the period over which the assets are expected to be available for use. The Group reviews annually the estimated useful lives based on factors that include asset utilization, internal technical evaluation, technological changes, and anticipated use of the assets. A reduction in the estimated useful lives of property and equipment and computer software would increase the recorded depreciation and amortization expense and decrease the related assets.

There were no significant changes in the estimated useful lives of the Group's property and equipment and computer software as at December 31, 2020 and 2019.

Impairment of Investment in an Associate. The Group assesses impairment on its investment in an associate whenever events or changes in circumstances indicate that the carrying amount of an asset may not be recoverable. Among others, the factors that the Group considers important which could trigger an impairment review on its investment in an associate include the following:

- Deteriorating or poor financial condition;
- Recurring net losses; and
- Significant changes with an adverse effect on the technological, market, economic, or legal environment in which the associate operates have taken place during the period, or will take place in the near future.

There was no provision for impairment losses on the investment in an associate for the years ended December 31, 2020 and 2019. The carrying value of the investment in an associate amounted to ₱287.17 million and ₱267.94 million as at December 31, 2020 and 2019, respectively (see Note 14).

Provisions. The Group recognizes a provision for an obligation resulting from a past event when it has assessed that it is probable that an outflow of resources will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. These assessments are made based on available evidence, including the opinion of experts. Future events and developments may result in changes in these assessments which may impact the Group's financial position and performance (see Note 32).



Present Value of Pension Liability and Other Employee Benefits. The present value of the pension obligations depends on a number of factors that are determined on an actuarial basis using a number of assumptions. The assumptions used in determining the net cost for pensions include discount rate and rate of salary increase.

The Group determines the appropriate discount rate at the end of each year. It is the interest rate that should be used to determine the present value of estimated future cash outflows expected to be required to settle the pension obligations. Other key assumptions for pension obligations are based in part on current market conditions.

While it is believed that the Group's assumptions are reasonable and appropriate, significant differences in actual experience or significant changes in assumptions may materially affect the Group's pension obligations.

Employee leave entitlements that is expected to be settled within one year from reporting date is included in "Accounts payable and other current liabilities" account in the consolidated statement of financial position. Otherwise, this is included in "Pension liability and others" account in the consolidated statement of financial position.

The amounts of post-employment benefit obligation and expense and an analysis of the movements in the estimated present value of post-employment benefit obligation, as well as the significant assumptions in estimating such obligation, are presented in Note 28.

Recognition of Deferred Tax Assets. The carrying amount of deferred tax assets is reviewed at each reporting date. Deferred tax assets are recognized for all deductible temporary differences to the extent that it is probable that taxable profit will be available against which the deductible temporary differences can be utilized. The forecasted availability of taxable profit is based on past results and future expectations on revenue and expenses. Significant management judgment is required to determine the amount of deferred income tax assets that can be recognized, based upon the likely timing and level of future taxable profits together with future tax planning strategies.

As at December 31, 2020 and 2019, the Parent Company and CMIC recognized total deferred tax assets amounting to ₱271.07 million and ₱286.82 million, respectively (see Note 27). SCCP's deferred tax asset, which were not recognized due to the use of the Optional Standard Deduction (OSD) method amounted to ₱6.24 million and ₱5.02 million as at December 31, 2020 and 2019, respectively. Premier's unrecognized deferred tax assets amounted to ₱3.12 million and ₱1.56 million as at December 31, 2020 and 2019, respectively (see Note 27).

5. Financial Risk Management Objectives and Policies

The Group's principal financial instruments consist of cash and cash equivalents, financial assets at FVTPL and FVOCI. The main purpose of these financial instruments is to raise finances for the Group's operations. The Group has other financial assets and liabilities such as receivables, refundable security deposits, deposits in bank, accounts payable and other current liabilities excluding payable to government agencies and lease liabilities, which arise directly from its operations. It is the Group's policy not to directly engage in the trading of financial instruments.



The main risks arising from the Group's financial instruments are liquidity risk, credit risk, equity price risk, interest rate risk and foreign currency risk. The Group's BOD, management and the Corporate Governance Officer review and agree on the policies of managing each of these risks as summarized below.

Liquidity Risk

Liquidity risk is the risk that an entity will encounter difficulty in raising funds to meet commitments associated with the financial instruments. Liquidity risk may result from the inability to sell financial assets quickly at their fair values.

The Group seeks to manage its liquidity profile to be able to service its maturing liabilities and to finance capital requirements. The Group maintains a level of cash and cash equivalents deemed sufficient to finance operations. As part of its liquidity risk management, the Exchange regularly evaluates its projected and actual cash flows.

To meet the requirement for liquidity, adequate cash flow is provided for administrative operating expenditures and capital expenses based on projected funding requirements. All excess funds are invested in an organized investment mix of short-term and long-term investments to achieve maximum returns.

The tables below summarize the maturity profile of the financial assets held for liquidity purposes and financial liabilities based on remaining contractual undiscounted payments.

	As at December 31, 2020					
	Within a Year	1–2 Years	More than 2 Years	No Maturity Date	Total	
Financial Assets						
Financial assets at amortized cost:						
Cash and cash equivalents	₱676,052,916	₱–	₱–	₱69,358	₱676,122,274	
Receivables:						
Receivables from:						
Trading participants	69,179,760	–	–	–	69,179,760	
Data vendors	12,693,585	–	–	–	12,693,585	
Listed companies	4,633,906	–	–	–	4,633,906	
Accrued interest receivable	3,887,205	–	–	–	3,887,205	
Receivable from other fund members	1,131,817	–	–	–	1,131,817	
Others	526,899	–	–	–	526,899	
Other noncurrent assets:						
Refundable deposits	–	–	360,426	–	360,426	
Deposits in bank	–	–	344,168	–	344,168	
Financial assets at FVTPL	288,435,759	–	–	1,500,000	289,935,759	
Financial assets at FVOCI:						
Government debt securities -*						
Short-term	2,785,583,573	–	–	–	2,785,583,573	
Long-term	28,964,863	151,861,573	329,693,490	–	510,519,926	
Corporate bonds:*						
Short-term	39,897,679	–	–	–	39,897,679	
Long-term	1,011,581	990,745	20,803,969	–	22,806,295	
	₱3,911,999,543	₱152,852,318	₱351,202,053	₱1,569,358	₱ 4,417,623,272	
Financial Liabilities						
Other financial liabilities -						
Accounts payable and other current liabilities:						
Trade	(₱110,469,661)	₱–	₱–	₱–	(₱110,469,661)	
Due to SEC	(97,970,829)	–	–	–	(97,970,829)	
Accrued expenses**	(81,867,317)	–	–	–	(81,867,317)	
Others	(10,202,884)	–	–	–	(10,202,884)	
	(₱300,510,691)	₱–	₱–	₱–	(₱300,510,691)	

*Including interest.

**Excluding accrued taxes amounting to ₱11.9 million.



	As at December 31, 2019				
	Within a Year	1–2 Years	More than 2 Years	No Maturity Date	Total
Financial Assets					
Financial assets at amortized cost:					
Cash and cash equivalents	₱3,125,959,102	₱—	₱—	₱72,041	₱3,126,031,143
Receivables:					
Receivables from:					
Trading participants	55,060,087	—	—	—	55,060,087
Data vendors	5,743,045	—	—	—	5,743,045
Listed companies	3,809,074	—	—	—	3,809,074
Accrued interest receivable	8,743,921	—	—	—	8,743,921
Receivable from other fund members	1,523,267	—	—	—	1,523,267
Others	6,949,995	—	—	—	6,949,995
Other noncurrent assets:					
Refundable deposits	—	—	324,673	—	324,673
Deposits in bank	—	—	691,717	—	691,717
Financial assets at FVTPL	289,853,477	—	—	1,100,000	290,953,477
Financial assets at FVOCI:					
Government debt securities -*					
Long-term	50,164,998	92,793,826	377,918,588	—	520,877,412
Corporate bonds:*					
Short-term	54,545,946	—	—	—	54,545,946
Long-term	2,956,942	40,423,408	19,547,383	—	62,927,733
	₱3,605,309,854	₱133,217,234	₱398,482,361	₱1,172,041	₱4,138,181,490
Financial Liabilities					
Other financial liabilities -					
Accounts payable and other current liabilities:					
Trade	(₱151,929,554)	₱—	₱—	₱—	(₱151,929,554)
Due to SEC	(83,964,049)	—	—	—	(83,964,049)
Accrued expenses**	(108,686,770)	—	—	—	(108,686,770)
Others	(2,983,206)	—	—	—	(2,983,206)
	(₱347,563,579)	₱—	₱—	₱—	(₱347,563,579)

*Including interest.

**Excluding accrued taxes amounting to ₱11.09 million.

Credit Risk

Credit risk refers to the potential loss arising from any failure by the Group's counterparties to fulfill their contractual obligations, as and when they fall due. The Group's credit exposure arises mainly from receivables from trading participants on clearing related services for securities transactions, membership fees and other fees, receivable from listed companies on listing maintenance fees and receivable from market data vendors for data feed charges. To minimize credit risk, the Group monitors the financial health of clearing participants and takes note of participants with potential default.

The credit risk of the Group's financial assets arises from default of the counterparty with maximum exposure equal to the carrying amounts of these financial instruments. The fair values of these financial instruments are disclosed in Note 6.

Credit Quality of Financial Assets

The credit quality of financial assets is grouped according to stage whose description is explained as follows:

Stage 1 - those that are considered current and up to 30 days past due, and based on change in rating, delinquencies and payment history, do not demonstrate significant increase in credit risk.



Stage 2 - those that, based on change in rating, delinquencies and payment history, demonstrate significant increase in credit risk, and/or are considered more than 30 days past due but does not demonstrate objective evidence of impairment as of reporting date.

Stage 3 - those that are considered in default or demonstrate objective evidence of impairment as of reporting date.

As at December 31, 2020				
	ECL Staging			Total
	Stage 1 12-month-ECL	Stage 2 Lifetime ECL	Stage 3 Lifetime ECL	
Financial assets at amortized cost:				
Cash and cash equivalents*	₱676,052,916	₱–	₱–	₱676,052,916
Receivables:				
Receivables from:				
Trading participants	68,857,581	1,232	320,947	69,179,760
Listed companies	1,896,403	413,225	2,324,278	4,633,906
Data vendors	4,847,572	7,846,013	–	12,693,585
Accrued interest receivable	1,788,189	2,099,016	–	3,887,205
Receivable from other fund members	–	1,131,817	–	1,131,817
Others	287,283	–	239,616	526,899
Other noncurrent assets:				
Refundable deposits	360,426	–	–	360,426
Deposits in bank	–	344,168	–	344,168
Financial assets at FVTPL	289,935,759	–	–	289,935,759
Financial assets at FVOCI:				
Government debt securities-				
Short-term	2,961,801,901	–	–	2,961,801,901
Long-term	387,769,292	–	–	387,769,292
Corporate bonds:				
Short-term	248,506,592	–	–	248,506,592
Long-term	21,008,670	–	–	21,008,670
	₱4,663,112,584	₱11,835,471	₱2,884,841	₱4,677,832,896

*Excluding cash on hand amounting to ₱0.07 million.

As at December 31, 2019				
	ECL Staging			Total
	Stage 1 12-month-ECL	Stage 2 Lifetime ECL	Stage 3 Lifetime ECL	
Financial assets at amortized cost:				
Cash and cash equivalents*	₱3,125,959,102	₱–	₱–	₱3,125,959,102
Receivables:				
Receivables from:				
Trading participants	–	54,739,140	320,947	55,060,087
Listed companies	–	1,484,796	2,324,278	3,809,074
Data vendors	–	5,743,044	–	5,743,044
Accrued interest receivable	–	8,743,921	–	8,743,921
Receivable from other fund members	–	1,523,267	–	1,523,267
Others	–	6,710,379	239,616	6,949,995
Other noncurrent assets:				
Refundable deposits	–	324,673	–	324,673
Deposits in bank	–	691,717	–	691,717
Financial assets at FVTPL	290,953,477	–	–	290,953,477
Financial assets at FVOCI:				
Government debt securities-				
Long-term	492,750,381	–	–	492,750,381
Corporate bonds:				
Short-term	79,721,181	–	–	79,721,181
Long-term	56,598,624	–	–	56,598,624
	₱4,045,982,765	₱79,960,937	₱2,884,841	₱4,128,828,543

*Excluding cash on hand amounting to ₱0.07 million.

The Group does not have any significant exposure to any individual customer or counterparty nor does it have any major concentration of credit risk related to any financial instrument.



In the selection of investment, capital preservation is the primary consideration of the Group. With this objective, funds are basically invested in government bonds and securities and duly registered with the Registry of Scripless Securities under the name of the Group.

The Head of Finance is responsible for the identification of investments that provide a relatively stable rate of return and endorses it to the Treasurer or President for approval. The Group is guided by a BOD who approved investment policy guidelines. Any exemption to the set policy is subject to the approval of the BOD. In addition, on a monthly basis, the Treasurer reports the investment portfolio performance and management's performance associated with the investment portfolio to the BOD.

Market Risk

The Group's market risk (the risk of loss to future earnings, to fair values or to future cash flows that may result from changes in market variables) originates from its holdings of debt and equity securities. The value of a financial instrument may change as a result of changes in equity price, interest rates, foreign currency exchanges rates and other market changes.

Equity Price Risk. The Group's exposure to equity price pertains to its investments in quoted equity shares which are classified under financial assets at FVTPL on the consolidated statements of financial position. Equity price risk arises from the changes in the levels of equity indices and the value of individual stocks traded in the stock exchange.

The Group's policy is to maintain the risk to an acceptable level by monitoring regularly the movement of share prices to determine the impact on its financial position.

The effect on profit or loss (as a result of change in fair value of financial assets at FVTPL as at December 31, 2020 and 2019) due to a possible change in equity indices, based on historical trend, with all other variables held constant is as follows:

	Change in Equity Price	Effect on Profit or Loss/Equity
	<i>(In Millions)</i>	
2020	+2.12%	₱5.34
	-2.12%	(5.34)
2019	+3.45%	₱8.43
	-3.45%	(8.43)

As at December 31, 2020 and 2019, the Group's exposure to equity price risk arising from equity securities investments is minimal.

Fair Value Interest Rate Risk. The Group follows a prudent policy on managing its assets and liabilities so as to ensure that exposure to fluctuations in interest rates are kept within acceptable limits. There are no floating rate financial assets and financial liabilities. Term deposits with banks and debt securities carry fixed rates throughout the period of deposit or placement.



The table below sets forth the sensitivity to a reasonable possible change in interest rates with all other variables held constant, of the Group's equity (through the impact on unrealized gain/loss on fixed rate debt financial assets at FVOCI).

	Effect on Equity	
	2020	2019
	<i>(In Millions)</i>	
Increase (decrease) in interest rates:		
+70 basis points	(P20.44)	(P15.38)
-70 basis points	21.02	16.04

Foreign Currency Risk. Foreign currency risk is the risk that the fair value of future cash flows of a financial instrument will fluctuate because of changes in foreign currency exchange rates. The Group's exposure to foreign currency risks arise primarily from US dollar transactions, mostly from cash and cash equivalents and receivables.

The Group's policy is to maintain foreign currency exposure within acceptable limits. The Group believes that its profile of foreign currency exposure on its assets and liabilities is within conservative limits.

The following table summarizes the exposure to foreign currency exchange risk as at December 31, 2020 and 2019:

	2020		2019	
	In USD	In P	In USD	In P
Financial assets:				
Cash and cash equivalents	\$2,923,333	P140,387,209	\$1,598,818	P80,956,149
Receivables	501,639	24,090,210	547,767	27,736,182
	\$3,424,972	P164,477,419	\$2,146,585	P108,692,331

In translating the foreign currency-denominated monetary assets and liabilities into Philippine peso amounts, the exchange rate used was P48.023 to US\$1.00 and P50.64 to US\$1.00, the Philippine peso to U.S. Dollar exchange rate as at December 31, 2020 and 2019, respectively.

The table below indicates the effect of increase or decrease in US dollar exchange rate on income before income tax to which the Group has substantial exposures on its financial assets. The result calculates the effect of a reasonably possible change in the spot rates, when all other variables are held constant. Negative values in the table reflect a potential reduction in income while a positive amount reflects a potential increase.

2020		2019	
USD Strengthens/ (Weakens)	Effect on Income Before Tax (in millions)	USD Strengthens/ (Weakens)	Effect on Income Before Tax (in millions)
5.16%	P8.48	3.70%	P4.02
(5.16%)	(8.48)	(3.70%)	(4.02)

The increase in P rate as against US\$ rate demonstrates weaker functional currency while the decrease represents stronger Philippine peso value.

There is no other impact on the equity other than those already affecting the consolidated statement of profit or loss.



6. Fair Value Measurement and Hierarchy

The following table sets forth the carrying values and estimated fair values of financial assets, by category and by class, recognized as at December 31, 2020 and 2019:

2020				
	Carrying Value	Quoted Prices in Active Markets (Level 1)	Significant Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Assets measured at fair value -				
Financial assets at FVTPL	₱289,935,759	₱288,435,759	₱1,500,000	₱-
Financial assets at FVOCI:				
Government securities -				
Current	2,961,801,901	-	2,961,801,901	-
Long-term	387,769,292	-	387,769,292	-
Corporate bonds:				
Current	248,506,592	248,506,592	-	-
Long-term	21,008,670	21,008,670	-	-
Other noncurrent assets -				
Refundable deposits	367,340	-	-	367,340
	3,619,453,795	269,515,262	3,349,571,193	367,340
	₱3,909,389,554	₱557,951,021	₱3,351,071,193	₱367,340
Liabilities measured at fair value -				
Noncurrent lease liability	₱ 36,476,098	₱-	₱-	₱ 36,476,098
2019				
	Carrying Value	Quoted Prices in Active Markets (Level 1)	Significant Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Assets measured at fair value -				
Financial assets at FVTPL	₱290,953,477	₱289,853,477	₱1,100,000	₱-
Financial assets at FVOCI:				
Government securities -				
Long-term	492,750,381	-	492,750,381	-
Corporate bonds:				
Current	79,721,181	79,721,181	-	-
Long-term	56,598,624	56,598,624	-	-
Other noncurrent assets -				
Refundable deposits	324,673	-	-	324,673
	629,394,859	136,319,805	492,750,381	324,673
	₱920,348,336	₱426,173,282	₱493,850,381	₱324,673
Liabilities measured at fair value -				
Noncurrent lease liability	₱55,487,835	₱-	₱-	₱55,487,835

For the years ended December 31, 2020 and 2019, there were no transfers made among the three levels in the fair value hierarchy.



Cash and Cash Equivalents, Receivables excluding Advances to Employees, Current portion of Refundable Security Deposits and Deposits in Bank, Accounts Payable, Current portion of Lease Liabilities and Other Current Liabilities excluding Payable to government agencies

The carrying amounts approximate the fair values because of their short-term nature or due to the immaterial effect of discounting when present value of future cash flows from these instruments are calculated.

7. Cash and Cash Equivalents

This account consists of:

	2020	2019
Cash on hand and in banks	₱150,258,948	₱152,227,717
Cash equivalents	525,863,326	2,973,803,426
	₱676,122,274	₱3,126,031,143

Cash in banks earns interest ranging from 0.125% to 0.25% bank deposit rates. Time deposits are made for varying periods with original maturity of three months or less from dates of placement and earn interest rates ranging from 0.10% to 3.5% in 2020, 3.50% to 4.00% in 2019, and 01.50% to 7.00% in 2018.

Interest income earned from cash and cash equivalents amounted to ₱30.16 million, ₱179.64 million and ₱89.60 million in 2020, 2019 and 2018, respectively (see Note 21).

8. Financial Assets at FVTPL

This account consists of quoted equity securities.

The Group entered into an investment management agreement with third party banks for the disposition of its investible funds at the banks' discretion subject to the investment guidelines set by the Parent Company. The funds were invested in traded equity securities.

The fair value of the financial assets at FVTPL as at December 31, 2020 and 2019 amounted to ₱289.94 million and ₱290.95 million, respectively.

Mark-to-market gain (loss) on financial assets at FVTPL amounted to (₱19.71) million, ₱11.22 million and (₱37.02) million in 2020, 2019 and 2018, respectively.

Dividend income earned on financial assets at FVTPL amounted to ₱4.28 million, ₱4.79 million and ₱4.33 million in 2020, 2019 and 2018, respectively.

The fair values of the financial assets at FVTPL have been determined directly by reference to quoted prices in active markets or inputs other than quoted prices that are directly or indirectly observable (see Note 6).



9. Financial Assets at FVOCI

This account consists of:

	2020	2019
Debt securities:		
Government debt securities	₱3,349,571,193	₱492,750,381
Corporate bonds	269,515,262	136,319,805
Total financial assets at FVOCI	3,619,086,455	629,070,186
Less:		
Short-term financial assets at FVOCI	3,001,494,398	79,721,181
Long-term financial assets at FVOCI	₱617,592,057	₱549,349,005

Short-term financial assets at FVOCI as at December 31, 2020 pertain to government securities and corporate bonds with interest rate of 1.038% to 6.5% and will mature in 2021. Short-term financial assets at FVOCI as at December 31, 2019 pertain to corporate bonds with interest rate of 4.16% to 5.10% and will mature in 2020.

Peso-denominated long-term government debt securities and corporate bonds earn annual interest rates ranging from 3.25% to 6.25% in 2020 and 3.25% to 6.5% in 2019. Long-term government debt securities and corporate bonds as at December 31, 2020 will mature in 2022 to 2032. Long-term government debt securities and corporate bonds as at December 31, 2019 will mature starting 2021 to 2032.

Interest income earned from financial assets at FVOCI amounted to ₱101.74 million and ₱36.70 million and ₱49.22 million in 2020, 2019 and 2018, respectively (see Note 21).

The rollforward analysis of the Group's financial assets at FVOCI as at December 31, 2020 and 2019 follows:

	2020	2019
Balance at beginning of year	₱629,070,186	₱476,200,570
Additions	2,993,451,364	116,500,000
Maturities	(76,979,809)	(9,952,565)
Amortization of discount or premium	41,070,476	(1,573,267)
Net change in fair value	32,474,238	57,895,448
Redemption	—	(10,000,000)
Balance at end of year	₱3,619,086,455	₱629,070,186

The movement of net unrealized gain (loss) on financial assets at FVOCI as at December 31, 2020 and 2019 follows:

	2020	2019
Balance at beginning of year	₱9,188,881	(₱48,706,567)
Net change in fair value	32,474,238	57,895,448
Balance at end of year	₱41,663,119	₱9,188,881



10. Receivables

This account consists of:

	2020	2019
Receivables from:		
Trading participants (Note 30)	₱69,179,760	₱55,060,087
Data vendors	12,693,585	5,743,045
Listed companies	4,633,906	3,809,074
Related party (Note 30)	—	4,188,800
Accrued interest receivable (Note 21)	3,887,205	8,743,921
Advances to/receivables from:		
Other fund members	1,131,817	1,523,267
Officers and employees	5,966,595	2,886,125
Others	2,233,871	2,479,548
Total	99,726,739	84,433,867
Less allowance for impairment loss	2,884,841	2,884,841
	₱96,841,898	₱81,549,026

Receivables generally have terms of 30 days, except for the receivables from data vendors which are normally collected within 45 days.

The movements in the allowance for impairment losses follow:

	2020	2019	2018
Balance at beginning of year	₱2,884,841	₱2,884,841	₱3,034,841
Reversal	—	—	(150,000)
Balance at end of year	₱2,884,841	₱2,884,841	₱2,884,841

Reversal of impairment losses is presented under “Others - net” account in profit or loss.

11. Other Current Assets

This account consists of:

	2020	2019
Input VAT - net of noncurrent portion	₱45,837,811	₱29,243,983
Prepaid expenses	36,041,501	25,242,660
Contract assets	262,196	—
Security deposits (Note 26)	21,990	26,590
	₱82,163,498	₱54,513,233

Input VAT, net of noncurrent portion, represents VAT paid to suppliers that can be claimed as credit against the Group’s future output VAT liabilities without prescription.

Prepaid expenses include prepayment of insurance, supplies, real property taxes, membership dues, maintenance and other expenses which are normally incurred within the next financial year.

Contract assets represent the unbilled services of Premier to which are expected to be received within the next financial year.



Security deposit pertains to refundable deposit for the lease of a photocopier which is expected to be received within the next financial year.

12. Property and Equipment

The composition of and movements in property and equipment are as follows:

2020									
	Land Rights	Buildings	Building Improvements	Trading System Equipment	Computer Hardware and Peripherals	Office Furniture, Fixtures and Communication Equipment and Others	Transportation Equipment	New Clearing & Settlement System In-Progress	Total
Cost									
At beginning of year	₱130,779,729	₱1,063,393,450	₱533,856	₱272,711,959	₱ 530,272,366	₱177,665,337	₱21,456,405	₱-	₱2,196,813,102
Additions (Note 17)	-	13,438,005	15,694,078	1,945,688	7,361,817	2,992,607	1,298,214	84,130,502	126,860,911
Disposals	-	-	-	(2,011,684)	(1,432,016)	(29,542)	(669,643)	-	(4,142,885)
Reclassification (Note 15)	-	-	-	-	693,987	(693,987)	-	18,206,934	18,206,934
At end of year	130,779,729	1,076,831,455	16,227,934	272,645,963	536,896,154	179,934,415	22,084,976	102,337,436	2,337,738,062
Accumulated Depreciation									
At beginning of year	130,779,729	88,524,981	53,856	181,570,590	433,578,354	104,163,928	11,587,054	-	950,258,492
Adjustment (Note 13)	-	-	-	26,759	-	(22,867)	-	-	3,892
Depreciation (Notes 21 and 22)	-	41,230,576	738,013	26,283,042	47,107,190	19,475,980	3,583,367	-	138,418,168
Disposals	-	-	-	(1,978,578)	(1,412,503)	(29,542)	(109,747)	-	(3,530,370)
Reclassification (Note 15)	-	-	-	-	45,350	(45,350)	-	-	-
At end of year	130,779,729	129,755,557	791,869	205,901,813	479,318,391	123,542,149	15,060,674	-	1,085,150,182
Net Book Value	₱-	₱947,075,898	₱15,436,065	₱66,744,150	₱57,577,763	₱56,392,266	₱7,024,302	₱102,337,436	₱1,252,587,880

2019									
	Land Rights	Buildings	Building Improvements	Trading System Equipment	Computer Hardware and Peripherals	Office Furniture, Fixtures and Communication Equipment and Others	Transportation Equipment		Total
Cost									
At beginning of year	₱155,690,154	₱1,094,995,731	₱39,335,830	₱268,116,386	₱523,899,771	₱178,332,570	₱21,492,805		₱2,281,863,247
Additions (Note 17)	-	48,397,719	103,081,518	4,595,572	10,427,238	6,529,591	5,939,565		178,971,203
Disposals	-	-	(358,124)	-	(4,054,643)	(7,196,824)	(5,975,964)		(17,585,555)
Reclassification (Notes 13 and 18)	(24,910,425)	(80,000,000)	(141,525,368)	-	-	-	-		(246,435,793)
At end of year	130,779,729	1,063,393,450	533,856	272,711,958	530,272,366	177,665,337	21,456,406		2,196,813,102
Accumulated Depreciation									
At beginning of year	-	111,694,348	39,130,797	152,059,932	379,255,403	91,230,900	11,116,771		784,488,151
Adjustment (Note 13)	124,552,123	-	-	-	-	-	-		124,552,123
Depreciation (Notes 21 and 22)	6,227,606	44,030,634	166,970	29,510,658	58,378,306	20,104,759	4,692,464		163,111,397
Disposals	-	-	(320,103)	-	(4,055,355)	(7,171,731)	(4,222,181)		(15,769,370)
Reclassification (Notes 13 and 18)	-	(67,200,001)	(38,923,808)	-	-	-	-		(106,123,809)
At end of year	130,779,729	88,524,981	53,856	181,570,590	433,578,354	104,163,928	11,587,054		950,258,492
Net Book Value	₱-	₱974,868,469	₱480,000	₱91,141,368	₱96,694,012	₱73,501,409	₱9,869,352		₱1,246,554,610

As at December 31, 2020 and 2019, the Group's acquisition of property and equipment which remains unpaid and is included under "Accounts payable and other current liabilities - Trade" amounted to ₱68.43 million and ₱98.02 million, respectively.

The Group disposed property and equipment with carrying value amounting to ₱0.61 million and ₱1.81 million with related gain on disposal amounting to ₱0.29 million and ₱0.20 million in 2020 and 2019, respectively.

As at December 31, 2020 and 2019, no property and equipment have been pledged as security or collateral for any of the Group's liabilities.



Land Rights. This pertains to shares in a condominium corporation, Tower One and Exchange Plaza Condominium Corporation (TOEPCC) donated to the Parent Company which represents rights and interests in and to the proportionate portion of the parcel of land where the Exchange Plaza is located. Ayala Land, Inc. (ALI) established TOEPCC for the purpose of holding title to the parcel of land where the Exchange Plaza is located and other common areas of the condominium. The donation is divided into two tranches consisting of 120 and 176 shares, each valued at ₱63.12 million and ₱92.57 million, respectively. Such shares were received by the Parent Company on December 29, 1994 for the 120 shares and on January 15, 1995 for the 176 shares and were valued at fair market value of the land at the time of donation.

Building. This includes condominium units at the PSE Tower, Fort Bonifacio Global City and Exchange Plaza, Ayala Triangle, Makati City (see Notes 13 and 18). The condominium units at PSE Tower, Fort Bonifacio Global City were transferred to and accepted by the Exchange on September 22, 2017.

Building Improvements. These pertain to improvements of office units at Exchange Plaza, Ayala Triangle donated by ALI (see Note 13).

Trading System Equipment and New Clearing System. This represents software and hardware costs. Software costs cannot be separately classified as an intangible asset as this is an integral part of the related hardware.

13. Investment Property

On December 12, 2018, the BOD authorized the Exchange's management to lease out the Exchange Plaza and engage, negotiate and discuss with prospective lessees the terms and conditions of the lease beneficial to the exchange.

In April 2019, the Exchange entered into a non-exclusive agreement with Colliers International Philippines, Inc. for the purpose of marketing the leasing out of office units. The broker's commission depends on the term of lease and is payable upon successful execution of lease contract.

In October 2019, the Exchange started its renovation works at the Exchange Plaza with the expected completion of April 2020.

In December 2019, the Exchange is in the process of incorporating PSE Realty, Inc. (PRI), a domestic corporation that will own and manage the real estate assets of the Exchange. As at March 26, 2021, the incorporation of PRI is not yet approved by the SEC.

In 2019, as a result of the revised purpose of Exchange Plaza to be leased out to third parties, management revisited the nature of the unamortized land rights amounting to ₱155.7 million. Based on the deed of donation executed between Ayala Land, Inc. (ALI) and PSE on August 25, 1993, the donation of ALI to PSE constitute the sum of money amounting to ₱80.0 million required to construct the "New Exchange Building" and the rights and interest in and to the proportionate portion of "Condominium Land Parcel (transferred to the condominium corporation)" by virtue of its ownership of the condominium shares with PSE's share computed at ₱155.7 million upon donation.

The ownership of condominium shares (based on net floor area) was only a consequence of the Exchange's ownership of the "New Exchange Building", hence, the "New Exchange Building" and the rights and interest in and to the proportionate portion of "Condominium Land Parcel" should be viewed as one asset at the time of donation, hence should have been subject to depreciation since



1998. In the 2019 consolidated financial statements, management did not restate the comparative 2018 and 2017 balances as the impact is deemed not significant to the consolidated financial statements.

As at December 31, 2019, the Exchange reclassified the land rights, building and building improvements pertaining to the Exchange Plaza amounting to ₱140.31 million from “Property and equipment” account to “Investment property” account in the consolidated statement of financial position as there is a change in use of the property as evidenced by the end of the owner-occupation.

As at December 31, 2020, the renovation works at the Exchange is still on-going. Additions during the year amounted to ₱11.79 million. As at December 31, 2020, the carrying amount of the Exchange’s investment property amounted to ₱152.10 million.

Fair Value of Investment Property. As at December 31, 2020 and 2019, the investment property is still under renovation. Management has determined that the fair value of the investment property under renovation approximates cost, until such time that the fair value of the investment property can be reliably measured once the renovation is completed.

14. Investment in an Associate

This account represents the 20.98% interest in Philippine Dealing System Holdings Corp. (PDSHC), a domestic stock corporation, whose principal activity is to provide platform for the issuance, trading, dealing and exchange of fixed income securities and monetary instruments:

	2020	2019
Acquisition cost	₱137,050,657	₱137,050,657
Accumulated equity in net income of an associate:		
Balance at beginning of year	447,539,900	363,072,627
Share in net income of investee	82,095,920	84,467,273
Balance at end of year	529,635,820	447,539,900
Accumulated equity in other comprehensive gain - remeasurement on pension liability:		
Balance at beginning of year	1,117,362	(3,725,311)
Share in remeasurement gain	82,906	4,842,673
Balance at end of year	1,200,268	1,117,362
Accumulated dividend income:		
Balance at beginning of the year	(317,771,884)	(223,361,884)
Dividends declared during the year	(62,940,000)	(94,410,000)
Balance at end of year	(380,711,884)	(317,771,884)
	₱287,174,861	₱267,936,035



The available financial information of PDSHC follows (in millions):

	2020	2019
Current assets	₱1,362.83	₱1,241.57
Noncurrent assets	170.75	216.73
Current liabilities	179.82	188.15
Noncurrent liabilities	85.49	93.89
Total equity	1,268.27	1,176.26
Net income attributable to:		
Equity holder of the parent company	391.64	401.44
Noncontrolling interest	6.06	6.26
Other comprehensive income (loss)	6.05	(10.37)
Total comprehensive income	397.75	397.34

The reconciliation of the net assets of the associate to the carrying amounts of the interest in this associate recognized in the consolidated statements of financial position as at December 31, 2020 and 2019 follows (in millions):

	2020	2019
Net assets of associate attributable to controlling shareholders	₱1,250.45	₱1,158.75
Proportionate ownership in net assets (20.98%)	262.34	243.11
Goodwill	24.83	24.83
	₱287.17	₱267.94

On August 13, 2014, the Parent Company's BOD authorized the offer to purchase the shareholdings of Banker's Association of the Philippines (BAP) in PDSHC at a total value of ₱2.25 billion.

On October 7, 2014, the Parent Company and BAP agreed on the indicative terms and conditions for the proposed acquisition by the Parent Company of BAP's 28.90% stake in PDSHC.

On May 2, 2015, the Exchange's stockholders approved the increase in the Exchange's shareholdings in PDSHC to at least two-thirds (2/3) of the total issued and outstanding shares of PDSHC using a PDS equity value of ₱2.25 billion.

On May 27, 2015, the Exchange's BOD authorized the availment of a clean term loan in the total amount of ₱1.15 billion from several banks for the purpose of financing the purchase of shares of stock from stockholders of PDSHC. The loan includes a 5-year term, with interest rate based on 5-year PDST R-2 on drawdown and can be released on a staggered basis as the need arises.

On July 22, October 27, November 12 and November 16 of 2015, the Exchange has signed Share Purchase Agreements (SPA) with the BAP, Finex Research and Development Foundation, Inc. (FINEX), Whistler Technology Services, Inc. (WTSI) and Insular Investment Corp. for the proposed purchase by the Exchange of 1,807,094 common shares or 28.91%, 192,776 common shares or 3.08%, 500,000 common shares or 8.00% and 192,776 common shares or 3.0844%, respectively.

On January 26, 2016, the Exchange submitted regulatory requirements to SEC.

On March 28, 2016, the Exchange received SEC En Banc Resolution No. 230, series of 2016, denying the application for exemptive relief by the PSE that was required for the acquisition to be completed. On the same date, BOD of PDSHC declared cash dividends in the amount of ₱18.33 per



share (₱114.59 million) in favor of all stockholders on record as of December 31, 2015 payable on or before April 20, 2016.

On June 15, July 6, August 25, September 26, 2017 and November 8, 2017, the Exchange has signed SPAs with the shareholders of PDSHC, such as BAP, WTSI, Investment House of Association of the Philippines (IHAP) and Philippine American Life and General Insurance Co. (Philam) and FINEX, for the newly proposed purchase by the Exchange of 1,466,800 common shares or 23.47%, 500,000 common shares or 8.00%, 36,446 common shares or 0.58%, 250,000 common shares or 4.00%, and 192,776 common shares or 3.08%, respectively.

On September 13, 2017, the Exchange's BOD authorized the obtainment of a one-year loan in the amount of ₱1.15 billion from several banks for the purpose of financing the purchase of shares of stock from stockholders of PDSHC.

On September 28, 2017, BOD of PDSHC declared cash dividends in the amount of ₱56 per share (₱350.00 million) in favor of all shareholders on record as of June 30, 2017 payable on or before October 15, 2017.

On October 5, 2017, the Exchange entered into a loan agreement with Bank of Commerce amounting to ₱1,000.00 million. As at February 27, 2019, the Exchange has not yet made any drawdown to the loan.

On November 30, 2017, the proposed acquisition of PDHSC was deemed approved by the Philippine Competition Commission.

On January 12 and 15, 2018, the Exchange has signed SPAs with San Miguel Corporation and Tata Consulting Services Asia-Pacific Pte. Ltd. (TCS) for the proposed purchase by the Exchange of 250,000 common shares or 4.00% and 500,000 common shares or 8.00%, respectively.

On June 14, 2018, the BOD of PDSHC declared cash dividends in the amount of ₱96 per share (₱600.00 million) in favor of all shareholders on record as of June 14, 2018 payable on or before June 30, 2018.

On March 31, 2018, the SPAs with BAP, IHAP, Philam, FINEX and SMC were automatically terminated due to the non-satisfaction of closing condition on the target Closing Date. The SPA with TCS automatically lapsed on July 2, 2018.

On October 30, 2019, the BOD of PDSHC declared cash dividends in the amount of ₱72 per share (₱450.00 million) in favor of all shareholders on record as of October 30, 2019 payable on or before November 15, 2019.

On June 25, 2020, the BOD of PDSHC declared cash dividends in the amount of ₱48 per share (₱300.00 million) in favor of all shareholders on record as of May 31, 2020 payable on or before August 7, 2020.



15. Other Noncurrent Assets

This account consists of:

	2020	2019
Input VAT - noncurrent portion	₱22,616,231	₱40,601,078
Computer software - net	1,048,154	6,451,177
Security deposits (Note 26)	367,340	324,673
Deposits in bank	344,168	691,717
Deferred lease asset	79,285	95,410
Advances to suppliers	—	11,834,996
Other investments	54,106	54,106
	₱24,509,284	₱60,053,157

Noncurrent portion of input VAT pertains to deferred VAT that can be claimed as credit against future output VAT from the reporting date without prescription.

The movements in computer software account follow:

	2020	2019
Cost:		
Balance at beginning of year	₱74,601,017	₱68,229,080
Additions	1,021,736	6,371,937
Reclassification (Note 12)	(6,371,937)	—
Balance at end of year	69,250,816	74,601,017
Accumulated amortization:		
Balance at beginning of year	68,149,840	68,097,018
Amortization (Notes 22 and 23)	52,822	52,822
Balance at end of year	68,202,662	68,149,840
Net book value	₱1,048,154	₱6,451,177

The amount of ₱1.02 million included as additions in the “Other noncurrent assets - computer software - net” account pertains to a software that is currently being developed by Premier which is designed with the intention to revolutionize the financial services by providing everyone an opportunity to have a self-service direct market trading platform to invest in the stock market. The mobile trading platform has started its development in the year 2019 and is targeted to be launched in 2021.

On May 15, 2019, the SCCP board approved the award of the new Clearing and Settlement (C&S) System Project to Millennium IT Software (Private) Limited (“Millennium”), the technology arm of the London Stock Exchange Group (LSEG), subject to the completion of the Design Study and the signing of the pertinent contracts.

The scope of work for the Design Study included the following:

- Demonstration of the base product and discussion of the daily full cycle operations;
- Discussion of functional/business requirements and gaps;
- Discussion of non-functional requirements (hardware, 3rd party software, service level); and
- Delivery of the product specifications documents and epics which documents the customizations to be made to address the requirements of SCCP.



The amount of ₱6.37 million included in the “Other noncurrent assets - computer software - net” account pertains to the payment for the design study which was completed in November 2019 when all the final product specifications and epics (customizations) were delivered to SCCP. Thereafter, the consultancy services and the license and maintenance agreements were finalized and signed by the authorized signatories of SCCP and Millennium. The amount of ₱11.83 million which is included in the “Other noncurrent assets - advances to suppliers” account represents payment of the 25% of the onsite and offsite implementation fee as stated under the consultancy services agreement. As at December 31, 2020, these amounts were reclassified under the “Property and equipment” account as management assessed that these costs are integral to the related hardware (see Note 12).

Security deposits are presented at amortized cost, amortization of which is based on EIR method. The difference between the fair value at initial recognition and nominal value of security deposit on leases is charged to “Deferred lease asset” account and amortized on a straight-line basis over the lease term of six (6) years.

Deposits in bank represent the amount deposited by the Parent Company in favor of National Labor Relations Commission (NLRC) in connection with pending labor cases which are still on appeal. Under the Rules of NLRC, the amount may not be withdrawn by the Parent Company until final disposition of the cases.

16. Accounts Payable and Other Current Liabilities

This account consists of:

	2020	2019
Trade (Note 12)	₱110,469,661	₱151,929,554
Due to SEC	97,970,829	83,964,049
Accrued expenses:		
Penalties and taxes (Note 18)	26,729,147	13,723,044
Capital expenditures	22,505,744	—
Occupancy costs	16,589,729	17,881,036
Repairs and maintenance	10,921,342	12,068,148
Professional fees	8,519,786	19,222,188
Utilities, supplies, services and various accrued expenses	8,129,268	19,365,042
Telecommunication	3,546,483	3,346,981
Compensation and other related staff costs	3,070,285	24,722,835
Payable to government agencies	13,487,815	5,515,117
Others	4,485,528	6,556,226
	₱326,425,617	₱358,294,220

Trade, accrued expenses, payable to government agencies and others are noninterest-bearing, except for legal costs, and are normally settled within the next financial year.

Due to SEC represents the amount payable for license fees to operate an exchange imposed under Section 35 of the SRC entitled “Additional Fees of Exchanges”, which are subsequently billed and collected from active trading participants.



17. Contract Liabilities, Deferred Fees and Others

Contract Liabilities

This account consists of:

	2020	2019
Listing fees	₱855,049,158	₱941,726,108
Data feed fees	4,649,185	1,395,356
Management fees	2,473,215	700,893
Total	862,171,558	943,822,357
Less contract liabilities - net of current portion	635,781,237	755,310,377
Total current portion of contract liabilities	₱226,390,321	₱188,511,980

Deferred fees and others

This account consists of:

	2020	2019
Deferred fees	₱1,104,357	₱176,440
Deferred output tax	4,418,595	608,567
	₱5,522,952	₱785,007

Contract liabilities from listing fees, data feed fees and management fees are normally realized within the next financial year. The noncurrent portion of contract liabilities as at December 31, 2020 and 2019 are expected to be realized in 2022 to 2035 and in 2021 to 2034, respectively.

Deferred fees pertain to receipt of payments for Bull Run and other sponsorship events that are expected to be realized within the next reporting period.

18. Donated Capital

As at December 31, 2020 and 2019, this account consists of donations from FBDC amounting to ₱211.6 million.

On November 12, 2002, the Parent Company and FBDC executed a Definitive Agreement with the following salient terms and conditions: (i) the Parent Company agrees to relocate its headquarters, majority of its management offices and its unified trading operations in equity securities for the National Capital Region (NCR) to the Bonifacio Global City; (ii) Crescent West Development Corporation (CWDC) shall be the corporate vehicle to which FBDC shall contribute the land as additional capital and the shares of which shall eventually be donated to the Parent Company; and (iii) the FBDC and the Parent Company agree to develop the land and construct the building that will house the Parent Company's headquarters, majority of its management offices and its unified trading operations in equity securities for the NCR.



Based on such agreement, all outstanding shares of stocks of CWDC shall be donated by FBDC to the Parent Company on the following dates:

<u>Date of Donation</u>	<u>%/Number of Shares to be Donated</u>
January 7, 2005	14.32% or 5,247,419 shares
January 7, 2006	14.28% or 5,232,762 shares
January 7, 2007	14.28% or 5,232,762 shares
January 7, 2008	14.28% or 5,232,762 shares
January 7, 2009	14.28% or 5,232,762 shares
January 7, 2010	14.28% or 5,232,762 shares
January 7, 2011	14.28% or 5,232,762 shares

Following the Definitive Agreement, on January 7, 2006 and 2005, FBDC executed a Deed of Conditional Donation in favor of the Parent Company, which covers the transfer of 5,232,762 shares and 5,247,419 shares of CWDC, respectively, for ₱10.48 million. Such shares received were classified as other investments under “Other noncurrent assets” account in the consolidated statement of financial position.

In June 2007, the donation of all remaining CWDC shares was deferred pending negotiations among the Parent Company, FBDC and ALI for the joint development, pursuant to a Memorandum of Understanding dated April 26, 2007, of an iconic office building in Bonifacio Global City for the relocation of the Parent Company’s headquarters, majority of its management offices and unified trading operations in equities securities for the NCR to the Bonifacio Global City.

On May 3, 2012, the Parent Company, FBDC and ALI executed a Memorandum of Agreement (MOA) for the Parent Company’s acquisition of office units in the West Super Block building developed by FBDC and ALI in Bonifacio Global City. Subject to the fulfillment of certain conditions (including regulatory licenses and execution of the necessary agreements), if the Parent Company proceeds with the acquisition of office units in the West Super Block building, then the Definitive Agreement relating to donation of CWDC shares shall be terminated, and FBDC shall buyback the 10,480,181 CWDC shares that were previously donated to the Parent Company.

On May 19, 2015, a contract to sell was entered into between the Parent Company and FBDC for the purchase by the Parent Company of certain office units in the West Super Block building. On June 30, 2015, in line with the provision of the MOA, the Parent Company sold back the FBDC’s previously donated 10,480,181 shares of CWDC for ₱52.11 million resulting to a gain amounting to ₱41.63 million.

Further, FBDC agreed to donate a portion of the total purchase price of the office units amounting to ₱235.01 million. Total donation, net of related expenses, received by the Parent Company amounted to nil, ₱96.18 million and ₱115.42 million for the years ended December 31, 2017, 2016 and 2015, respectively, which is presented as “Income from donation” account in the consolidated statements of comprehensive income. Consequently, portion of donated capital pertaining to CWDC shares amounting to ₱10.48 million was reclassified to unappropriated retained earnings.

As at December 31, 2016, the total advances amounting to ₱805.37 million, inclusive of the instalment payments made in 2016 was reclassified to property and equipment since the office units have been substantially completed.

The Parent Company has hired various external consultants to conduct project and construction management and quantity surveying services of the fit-out works in the said office units with total project cost of ₱356.84 million. The fit-out works were completed in 2018.



As at December 31, 2018, the Exchange reclassified the donated capital from Philippine Realty & Holdings Corporation (PRHC) amounting to ₱139.54 million to unappropriated retained earnings following the sale of the property in 2017.

As at December 31, 2019, the Exchange reclassified the donated capital from ALI amounting to ₱235.69 million to unappropriated retained earnings following the change in use of the property in view of the end of owner-occupation.

19. Equity

The composition of equity is as follows:

	2020	2019
Common stock - ₱1.00 par value		
Authorized - 120.0 million shares		
Issued - 85,017,642 shares in 2020		
and 85,017,659 in 2019	₱85,017,642	₱85,017,659
Additional paid-in capital in excess of par*	3,897,618,538	3,895,526,513
Subscribed capital stock (Note 33)	41,539,959	20,514,378
Subscription receivable (Note 33)	(26,204,964)	(14,613,074)
	3,997,971,175	3,986,445,476
Treasury stock - 3,513,951 shares in 2020 and		
3,273,954 shares in 2019	(696,293,587)	(652,740,643)
	₱3,301,677,588	₱3,333,704,833

*Including share grants outstanding amounting to ₱4.88 million and (₱0.79) million in 2020 and 2019, respectively.

The following summarizes the information on the Parent Company's registration of securities under the SRC:

Date of SEC Approval	Authorized Shares	No. of Shares Issued	Issue/Offer Price
August 8, 2001	36,800,000	9,200,008	₱31.16
January 28, 2004	—	6,077,505	119.50
September 10, 2008	—	15,177,499	—
September 12, 2008	61,000,000	—	—
June 9, 2011	—	30,504,363	—
November 14, 2013	22,200,000	12,221,680	—
March 22, 2018	—	11,500,000	252.00
ESPP:			
2009		49,358	
2010		50,000	
2011		50,000	
2012		49,397	
2014		50,603	
2015		50,000	
2018		23,437	
2019		13,809	
2020		(17)	
	120,000,000	85,017,642	



The Exchange has a total number of shareholders of 300 and 289 as at December 31, 2020 and 2019, respectively.

On May 4, 2019, the stockholders approved the amendment of the Exchange's articles of incorporation to create preferred shares by reclassifying 14,000,000 unissued common shares into 14,000,000 preferred shares with par value of ₱1.00 per share.

The authorized capital stock of the Exchange will be ₱120.00 million divided into 106,000,000 common shares with par value of ₱1.00 per share or ₱106.00 million and 14,000,000 preferred shares with par value of ₱1.00 per share or ₱14.00 million. The features of the preferred shares are: (a) voting, (b) cumulative in payment of dividends, (c) non-participating in any further dividends, (d) non-convertible to common shares, (e) preference over holders of common shares in the payment of dividends and distribution of corporate assets; holders of preferred shares to be paid in full the issue price (or pro rata if the assets of the corporation are insufficient) in the ease of dissolution and liquidation, (f) redeemable at the option of the BOD beginning the 5th anniversary date and (g) no pre-emptive rights. The terms of issuance of the preferred shares will be determined by the BOD.

On September 12, 2019, the SEC approved the amendments in the Exchange's articles of incorporation.

As at December 31, 2020, there were no issuance of preferred shares.

Retained Earnings

Date of Declaration	Dividends		Record Date	Payment Date
	Per Share	Total Amount		
February 24, 2021 (Note 36)	₱8.00	₱655,138,312	March 22, 2021	April 15, 2021
March 27, 2019	8.80	747,998,266	April 12, 2019	May 10, 2019
January 24, 2018	9.00	660,831,111	February 8, 2018	March 6, 2018

Unappropriated retained earnings include the accumulated equity in net earnings of subsidiaries and associate amounting to ₱676.11 million and ₱557.25 million as at December 31, 2020 and 2019, respectively, that is not available for distribution until such time that the Parent Company receives the dividends from the respective subsidiaries and associate. In addition, the retained earnings of the Parent Company is restricted for the payment of dividends to the extent of ₱696.29 million and ₱652.74 million as at December 31, 2020 and 2019, respectively, representing the cost of shares held in treasury.

In accordance with SEC Memorandum Circular No. 11 issued in December 2008, the Parent Company's retained earnings available for dividend declaration as of December 31, 2020 and 2019 amounted to ₱883.13 million and ₱299.12 million, respectively.

As at December 31, 2020 and 2019, the total appropriated retained earnings of the Parent Company and SCCP is ₱121.00 million. On August 13, 2008, the Parent Company's BOD appropriated ₱68.00 million in connection with its acquisition of treasury shares. In 2007, the Parent Company's BOD appropriated ₱3.00 million to cover potential liability cases filed against the Parent Company, its directors and/or its officers. SCCP restricted retained earnings amounting to ₱50.00 million is for the settlement of trade obligations of defaulting clearing members should the clearing and trade guarantee fund not be enough (see Note 32).



Ownership in the Parent Company

The SRC provides that no industry or business group may beneficially own or control, directly or indirectly, more than 20% of the voting rights of the Parent Company. On August 13, 2007, the SEC imposed on the Parent Company a penalty of ₱101,100 plus a daily fine of ₱100 for every day of delay of compliance because the total trading participant ownership in the Parent Company exceeds the allowable limit. Starting March 2009, the daily fine for every day of delay of compliance is ₱500. As at December 31, 2020 and 2019, the total amount of penalty recognized by the Group under “Accounts payable and other current liabilities - accrued expenses” account in the consolidated statements of financial position amounted to ₱1.64 million (see Note 16). As at January 31, 2021, the brokers’ ownership is at 19.46%.

Stock Rights Offering (SRO)

Refer to Note 1 for the discussion on SRO.

The proceeds from SRO were used for financing of expenditures related to product development and working capital requirements and general corporate purposes from 2018 to 2020.

On December 16, 2020, the Parent Company’s BOD authorized the extension of the timeline for the use of proceeds of the SRO until December 31, 2023.

As at December 31, 2020 and 2019, the balance of the proceeds amounted to ₱1,701.30 million and ₱2,449.82 million, respectively.

Buyback of Common Shares and Creation of Non-voting Preferred Shares

On August 28, 2019, the BOD approved the Exchange’s compliance plan to align shareholder ownership with the 20% limit set by SRC. This is composed of the buyback of common shares from broker shareholders and creation of 2,500,000 preferred shares at ₱1.00 par value with features of (a) non-voting, (b) cumulative in payment of dividends, (c) non-participating in any further dividends, (d) non-convertible and (e) redeemable at the option of the BOD beginning on the third anniversary date.

On October 2, 2019, the Exchange acquired 2,419,965 common shares from broker shareholders at ₱183.93 per share with a total purchase price of ₱445.10 million.

On November 5, 2019, the Exchange acquired 753,983 common shares from broker shareholders at ₱183.93 per share with a total purchase price of ₱138.68 million.

Other costs paid by the Exchange in relation to the acquisition of treasury shares amounted to ₱0.96 million as at December 31, 2019.

On January 23, 2020, the Exchange acquired 240,000 common shares from broker shareholders at ₱181 per share with a total purchase price of ₱43.44 million.

Other costs paid by the Exchange in relation to the acquisition of treasury shares amounted to ₱0.10 million as at December 31, 2020.

Capital Management

The Group’s objectives when managing capital are (a) to safeguard the Group’s ability to continue as a going concern, so that it continues to provide returns for shareholders and benefits for other stakeholders; (b) to support the Group’s stability and growth; and (c) to provide capital for the purpose of strengthening the Group’s risk management capability.

The Group considers all the components of its total equity as capital.



The Group actively and regularly reviews and manages its capital structure to ensure optimal capital structure and shareholder returns, taking into consideration the future capital requirements of the Group and capital efficiency, prevailing and projected profitability, projected operating cash flows, projected capital expenditures and projected strategic investment opportunities. No changes were made in the objectives, policies or processes as at December 31, 2020 and 2019.

The Group adopts a practice of providing shareholders with regular dividends.

20. Revenues

This account consists:

	2020	2019	2018
Listing-related fees:			
Listing	₱345,835,910	₱330,863,391	₱572,908,473
Listing maintenance	247,732,284	253,647,917	263,941,478
Processing	250,000	270,000	1,450,000
Service fees (Note 30)	316,231,905	316,532,108	310,146,965
Trading-related fees:			
Transaction (Note 30)	₱157,322,455	₱152,074,832	₱153,394,901
Data feed	127,065,261	117,635,210	118,769,453
Block sales (Note 30)	19,767,412	25,183,148	20,287,400
Subscription (Note 30)	36,186,932	32,266,872	104,924,249
Other revenues (Note 30)	63,970,813	62,475,544	50,384,562
	₱1,314,362,972	₱1,290,949,022	₱1,596,207,481

Disaggregated Revenue Information

The table below shows the disaggregation of revenues from contracts with customers of the Group by major products/service lines and also includes a reconciliation of the disaggregated revenue with the Group's three strategic divisions for the year ended December 31, 2020, 2019 and 2018:

	December 31, 2020			
	Listing	Trading	Service	Total
Major Product/Service Lines				
Listing filing fees	₱345,835,910	₱—	₱—	₱ 345,835,910
Listing maintenance fees	247,732,284	—	—	247,732,284
Processing fees	250,000	—	—	250,000
Settlement and clearing fee	—	—	316,231,905	316,231,905
Transaction fees	—	157,322,455	—	157,322,455
Data feed fees	—	127,065,261	—	127,065,261
Block sales	—	19,767,412	—	19,767,412
Subscription fees	—	36,186,932	—	36,186,932
Management fee	—	—	239,658	239,658
Others*	30,890,829	—	26,723,897	57,614,726
	₱624,709,023	₱340,342,060	₱343,195,460	₱1,308,246,543
Timing of revenue recognition				
Transferred at a point in time	₱—	₱177,089,867	₱342,955,802	₱520,045,669
Transferred over time	624,709,023	163,252,193	239,658	788,200,874
	₱624,709,023	₱340,342,060	₱343,195,460	₱1,308,246,543

**Excludes rental income of ₱6.12 million as it is out of scope of PFRS 15.



December 31, 2019				
	Listing	Trading	Service	Total
Major Product/Service Lines				
Initial listing fees	₱67,723,516	₱—	₱—	₱67,723,516
Additional listing fees	211,319,010	—	—	211,319,010
Listing filing fees	51,820,864	—	—	51,820,864
Listing maintenance fees	253,647,917	—	—	253,647,917
Processing fees	270,000	—	—	270,000
Settlement and clearing fee	—	—	316,532,108	316,532,108
Transaction fees	—	152,074,832	—	152,074,832
Data feed fees	—	117,635,210	—	117,635,210
Block sales	—	25,183,148	—	25,183,148
Subscription fees	—	32,266,872	—	32,266,872
Management fee	—	—	239,658	239,658
Seminar fee	—	—	471,428	471,428
Others*	23,549,339	—	32,064,575	55,613,914
	₱608,330,646	₱327,160,062	₱349,307,769	₱1,284,798,477
Timing of revenue recognition				
Transferred at a point in time	₱—	₱177,257,980	₱349,068,111	₱526,326,091
Transferred over time	608,330,646	149,902,082	239,658	758,472,386
	₱608,330,646	₱327,160,062	₱349,307,769	₱1,284,798,477

*Excludes rental income of ₱6.15 million as it is out of scope of PFRS 15.

December 31, 2018				
	Listing	Trading	Service	Total
Major Product/Service Lines				
Initial listing fees	₱27,875,185	₱—	₱—	₱27,875,185
Additional listing fees	543,033,288	—	—	543,033,288
Listing maintenance fees	263,941,478	—	—	263,941,478
Processing fees	1,450,000	—	—	1,450,000
Settlement and clearing fee	—	—	310,146,965	310,146,965
Transaction fees	—	153,394,901	—	153,394,901
Data feed fees	—	118,769,453	—	118,769,453
Block sales	—	20,287,400	—	20,287,400
Subscription fees	—	104,924,249	—	104,924,249
Management fee	—	—	718,973	718,973
Seminar fee	—	—	403,750	403,750
Others*	7,519,289	—	38,948,550	46,467,839
	₱843,819,240	₱397,376,003	₱350,218,238	₱1,591,413,481
Timing of revenue recognition				
Transferred at a point in time	₱843,819,240	₱173,682,301	₱349,499,265	₱1,367,000,806
Transferred over time	—	223,693,702	718,973	224,412,675
	₱843,819,240	₱397,376,003	₱350,218,238	₱1,591,413,481

*Excludes rental income of ₱4.79 million as it is out of scope of PFRS 15

The contract liabilities primarily relate to the advance consideration received from customers for which revenue is recognized at certain milestone of completion.



Significant changes in the contract liabilities balances during the period are as follows:

	2020	2019
Beginning balance	₱943,822,357	₱12,241,761
Increases due to cash received, excluding amounts recognized as revenue during the period	266,281,361	342,753,328
Revenue recognized during the period including the contract liability balance at the beginning of the period	(347,932,160)	(343,470,139)
Transition adjustment due to adoption of PFRS 15 on listing fees	—	932,297,407
Ending balance	₱862,171,558	₱943,822,357

21. Other Income (Expenses)

Interest Income

This account consists of interest income from:

	2020	2019	2018
Financial assets at FVOCI (Note 9)	₱101,738,954	₱36,698,776	₱49,223,468
Cash and cash equivalents:			
Time deposits (Note 7)	29,783,813	170,758,548	89,194,574
Cash in banks (Note 7)	375,578	8,881,692	401,472
Financial assets at FVTPL	124,529	587,771	457,271
Other interest income	68,788	15,147	21,857
	₱132,091,662	₱216,941,934	₱139,298,642

Others - net

This account consists of:

	2020	2019	2018
Donation income	₱21,981,000	₱—	₱—
Foreign exchange and others	(4,011,830)	(2,035,448)	1,616,794
	₱17,969,170	(₱2,035,448)	₱1,616,794

Donation income pertains to the cash donations received by the Exchange from PSE Foundation which are solely and specifically for undertaking of philanthropic, charitable, civic, social welfare or eleemosynary nature and cash and in kind donations from Manila Stock Exchange, Foundation, Inc. to partially finance the construction and fit-out of the PSE Museum.



22. Cost of Services

This account consists of:

	2020	2019	2018
Repairs and maintenance	₱112,408,137	₱95,690,280	₱118,519,860
Compensation and other related staff costs (Note 24)	86,813,874	86,954,397	87,742,578
Depreciation (Notes 12 and 15)	71,027,573	86,074,334	80,032,980
Communication	8,181,200	8,043,532	12,377,893
Amortization of computer software (Note 15)	—	—	1,677,844
Others (Note 25)	3,712,317	4,083,011	3,962,891
	₱282,143,101	₱280,845,554	₱304,314,046

23. General and Administrative Expenses

This account consists of:

	2020	2019	2018
Compensation and other related staff costs (Note 24)	₱130,973,163	₱151,398,735	₱143,320,194
Depreciation and amortization (Notes 12, 15 and 26)	86,284,531	94,023,175	70,512,425
Professional fees	69,925,252	76,064,997	69,808,463
Occupancy costs (Note 25)	45,635,383	51,049,815	104,384,174
Taxes and licenses	12,687,919	22,884,411	9,779,955
Communication	5,795,947	5,883,518	1,799,782
Donations and contributions	5,720,272	3,000,000	500,000
Public relations	5,309,163	5,914,234	7,875,054
Office supplies	2,819,707	2,867,202	6,008,393
Trading participants' development	2,345,788	5,216,125	6,016,878
Insurance	2,103,161	1,871,292	1,630,752
Repairs and maintenance	2,058,639	9,742,665	4,658,207
Market development	1,748,936	3,386,755	993,802
Travel and transportation	985,518	2,103,693	4,921,347
Meetings and conferences	491,036	1,224,534	1,300,897
Provision (Note 32)	—	—	20,000,000
Others	4,077,806	7,528,132	4,209,065
	₱378,962,221	₱444,159,283	₱457,719,388



24. Compensation and Other Related Staff Costs

This account consists of:

	2020	2019	2018
Salaries and wages	₱193,710,266	₱210,040,725	₱199,405,343
Pension expense (Note 28)	14,997,567	4,788,046	10,685,417
Other employee benefits	9,079,204	23,524,361	20,972,012
	₱217,787,037	₱238,353,132	₱231,062,772

Other employee benefits include the ESPP expense amounting to ₱1.82 million, ₱0.99 million and ₱0.33 million in 2020, 2019 and 2018, respectively (see Note 33).

25. Occupancy Costs

This account consists of:

	2020	2019	2018
Condominium rent and dues (see Note 26)	₱27,476,890	₱24,338,697	₱72,388,433
Utilities	12,990,176	16,116,769	19,317,301
Security and janitorial services	6,632,770	11,038,626	12,678,440
	₱47,099,836	₱51,494,092	₱104,384,174

26. Leases

The Group as a Lessee

The Group has lease contracts for data recovery sites and office space used in its operations. Leases of data recovery sites have lease terms between 3 and 5 years, while the office space has a lease term of 6 years. The Group's lease contracts for data recovery site will be auto-renewed for one year.

The rollforward analysis of the right-of-use asset is as follows:

	Right-of-Use: Data Recovery Sites	Right-of-Use: Office Space	Total
As at January 1, 2020	₱57,708,043	₱13,354,771	₱71,062,814
Depreciation	(16,551,725)	(2,289,389)	(18,841,114)
Net Book Value	₱41,156,318	₱11,065,382	₱52,221,700

	Right-of-Use: Data Recovery Sites	Right-of-Use: Office Space	Total
As at January 1, 2019	₱74,259,768	₱—	₱74,259,768
Additions	—	13,736,336	13,736,336
Depreciation	(16,551,725)	(381,565)	(16,933,290)
Net Book Value	₱57,708,043	₱13,354,771	₱71,062,814



The following are the amounts recognized in the statement of comprehensive income for the year ended December 31:

	2020	2019
Depreciation expense of right-of-use assets (Notes 22 and 23)	₱18,841,114	₱16,933,290
Interest expense on lease liabilities	4,308,713	4,806,013
Total amount recognized in statement of comprehensive income	₱23,149,827	₱21,739,303

The rollforward analysis of lease liabilities as at December 31 as follows:

	2020	2019
As at January 1	₱73,455,393	₱74,259,768
Additions	—	13,736,336
Interest expense	4,308,713	4,806,013
Payments	(17,321,418)	(19,346,724)
As at December 31	60,442,688	73,455,393
Less current portion of lease liabilities	23,761,395	17,967,558
Lease liabilities - net of current portion	₱36,681,293	₱55,487,835

Shown below is the maturity analysis of the undiscounted lease payments as at December 31, 2020:

	2020	2019
1 year	₱26,835,280	₱21,868,224
More than 1 year to 2 years	21,868,224	21,868,224
More than 2 years to 3 years	12,656,643	21,389,074
More than 3 years to 4 years	2,685,100	12,656,643
More than 5 years	2,398,000	5,083,100

The Exchange as Lessor

The Exchange entered into lease agreements with the trading participants for the lease of trading booths at PSE Tower, Fort Bonifacio Global City. These contracts are renewable on a yearly basis.

Rent income amounted to ₱7.16 million, ₱6.15 million and ₱4.79 million in 2020, 2019 and 2018, respectively (see Notes 20 and 29).

The Exchange as Lessee (Prior to January 1, 2019)

As at August 29, 2017, the Exchange entered into a contract of lease with PRHC covering the lease of condominium units and parking slots at the Philippine Stock Exchange Center in Pasig City. This lease has a term of 18 months starting September 1, 2017 to February 28, 2019 which may be pre-terminated under terms and conditions that are mutually agreed upon by the parties. In April 2018, the contract of lease with PRHC was terminated.

Furthermore, at various dates in 2018, the Exchange entered into lease agreements covering storage room, colocation space and data recovery site. These contracts are renewable on a yearly basis.

Total rental expense amounted to ₱51.35 million for the year ended December 31, 2018 (see Notes 22, 23 and 25).



CMIC as Lessee (Prior to January 1, 2019)

In May 2012, CMIC entered into a lease agreement for its present office space with Ayala Land, Inc. The lease is for a period of five (5) years commencing on May 2, 2012 with an option to renew, subject to the fulfillment of the conditions specified in the lease agreement and under such terms and conditions as may be mutually acceptable to the lessor and the lessee. The lease agreement provides for escalation of rent at a rate of 5% for the second and third year and 10% for the fourth and fifth year. The lease is accounted for on a straight-line method over the term of the agreement.

The lease agreement contains (1) an advanced rental equivalent to three months' rent amounting to ₱0.40 million which shall be applied for the last three months of the lease, subject to adjustment if rent increases; and (2) a refundable deposit at an amount equivalent to three months' rent or ₱0.40 million which shall be refunded at the end of the lease. This refundable deposit is initially recognized at present value and subsequently carried at amortized cost using the effective interest method.

On May 2, 2017, CMIC renewed its lease agreement with Ayala Land, Inc. for a period of one (1) year. On February 19, 2018, the lease agreement for office space with Ayala was terminated. Total rent expense amounted to ₱0.06 million in 2018 (see Notes 22, 23 and 25).

27. Income Tax

The provision for income tax consists of:

	2020	2019	2018
Current:			
RCIT	₱149,423,015	₱145,624,041	₱217,075,013
Final	37,839,865	50,958,815	27,855,186
Deferred	21,900,529	845,298	10,477,386
	₱209,163,409	₱197,428,154	₱255,407,585

The components of the net deferred tax assets are as follows:

	2020			2019		
	PSE	CMIC	Total	PSE	CMIC	Total
Deferred tax assets:						
Contract liabilities	₱257,909,341	₱741,964	₱258,651,305	₱282,517,670	₱282,165	₱282,799,835
Lease liabilities	14,512,484	2,071,687	16,584,171	17,900,171	2,870,162	20,770,333
Provision	3,624,163	—	3,624,163	3,368,901	—	3,368,901
Unamortized past service costs	4,311,580	—	4,311,580	5,380,623	—	5,380,623
Allowance for impairment losses on receivables	865,452	—	865,452	865,452	—	865,452
Long term sick leave	864,277	—	864,277	—	—	—
Accrued expenses	559,466	—	559,466	3,624,163	—	3,624,163
Pension liability	—	945,421	945,421	—	564,675	564,675
	₱282,646,763	₱3,759,072	₱286,405,835	₱313,656,980	₱3,717,002	₱317,373,982
Deferred tax liabilities:						
Unrealized foreign exchange gains	₱12,346,895	₱1,808,057	₱14,154,952	₱161,288	₱—	₱161,288
Right-of-use asset	687,454	—	687,454	17,312,413	2,675,924	19,988,337
Pension asset	459,151	—	459,151	10,359,783	—	10,359,783
Rent receivable - PFRS 9	17,943	19,110	37,053	17,918	28,044	45,962
	13,511,443	1,827,167	15,338,610	27,851,402	2,703,968	30,555,370
	₱269,135,320	₱1,931,905	₱271,067,225	₱285,805,578	₱1,013,034	₱286,818,612

Total movement in net deferred tax asset accounted under OCI for Parent Company and CMIC amounted to ₱6.15 million and ₱10.49 million in 2020 and 2019, respectively (see Note 28).



Optional Standard Deduction (OSD)

Under the OSD method in computing taxable income, corporations may elect a standard deduction in an amount equivalent to 40% of gross income, as provided by law, in lieu of the itemized allowed deductions.

SCCP elected the OSD method in 2020, 2019 and 2018, in computing its taxable income.

The availment of the OSD method also affected the recognition of several deferred tax assets and liabilities. Deferred tax assets and liabilities, for which the related income and expense are not considered in determining gross income for income tax purposes, are not recognized. This is because the manner by which SCCP expects to recover or settle the underlying assets and liabilities, for which the deferred tax assets and liabilities were initially recognized, would not result to any future tax consequence under the OSD method. Meanwhile, deferred tax assets and liabilities, for which the related income and expense are considered in determining gross income for income tax purposes, are recognized only to the extent of their future tax consequence under OSD method. Hence, the tax base of these deferred tax assets and liabilities is reduced by the 40% allowable deduction provided for under the OSD method.

SCCP's deferred tax asset, which were not recognized due to the use of the OSD method amounted to ₱6.24 million and ₱5.02 million as at December 31, 2020 and 2019, respectively.

Premier's deferred tax asset, which were not recognized due to taxable loss amounted to ₱3.12 million and ₱1.56 million as at December 31, 2020 and 2019, respectively.

The reconciliation between the statutory tax rates and the Group's effective tax rates on income before income tax is as follows:

	2020	2019	2018
Provision for income tax at statutory income tax rate	30.00%	30.00%	30.00%
Adjustments for:			
Nontaxable income	(1.48%)	(0.39%)	(0.002%)
Benefit from using OSD	(2.99%)	(2.86%)	(2.49%)
Equity in net income of an associate	(2.84%)	(2.89%)	(1.19%)
Income subjected to final tax	(0.19%)	(1.78%)	(1.55%)
Nondeductible expenses	1.35%	0.24%	1.22%
Movement in unrecognized DTA of a subsidiary	0.30%	0.18%	—
Effective income tax rate	24.15%	22.50%	25.99%

28. Retirement Plan and Other Employee Benefits

Retirement Plan

The Parent Company has a funded noncontributory defined benefit retirement plan while SCCP and CMIC have unfunded noncontributory defined benefit retirement plans. The benefits are accumulated based on years of service and compensation per year of credited service.



The principal actuarial assumptions used in determining retirement liabilities as at December 31, 2020 and 2019 are shown below:

	Parent Company		SCCP		CMIC	
	2020	2019	2020	2019	2020	2019
Discount rate	3.96%	5.61%	3.94%	5.54%	3.82%	5.57%
Future salary increases	5.00%	5.00%	5.00%	5.00%	5.00%	5.00%

The latest actuarial valuation studies of the retirement plan of the Parent Company, SCCP and CMIC were made as at December 31, 2020.

The pension expense included under “Compensation and other related staff costs” account under “Cost of services” and “General and administrative expenses” in the consolidated statements of comprehensive income are as follows:

	2020	2019	2018
Current service cost	₱15,126,970	₱8,722,670	₱12,193,640
Net interest income	(129,403)	(3,934,624)	(1,508,223)
	₱14,997,567	₱4,788,046	₱10,685,417

The component of remeasurements of the Parent Company, SCCP and CMIC in the statements of comprehensive income is as follows:

	2020	2019	2018
Remeasurement gains on pension asset/liability	₱22,466,721	₱38,814,219	₱12,446,684
Tax effect (Note 27)	(6,149,142)	(10,486,946)	(2,851,354)
	₱16,317,579	₱28,327,273	₱9,595,330

The Parent Company’s share in remeasurement loss on pension benefits of the associate is ₱0.83 million, ₱4.84 million and ₱0.85 million in 2020, 2019 and 2018, respectively.

The pension (asset)/ liability included in the consolidated statements of financial position as at December 31, 2020 and 2019 are as follows:

	2020			2019		
	Parent	SCCP	CMIC	Parent	SCCP	CMIC
	Pension Asset	Pension Liability	Pension Liability	Pension Asset	Pension Liability	Pension Liability
Present value of the obligation	₱157,477,456	₱19,955,434	₱3,151,403	₱143,590,199	₱16,115,585	₱1,882,249
Fair value of plan assets	(159,859,714)	—	—	(181,877,263)	—	—
Effect of asset ceiling	90,744	—	—	3,754,453	—	—
	(₱2,291,514)	₱19,955,434	₱3,151,403	(34,532,611)	₱16,115,585	₱1,882,249



Changes in the present value of the consolidated defined benefit obligation are as follows:

	2020			2019		
	Parent Pension Asset	SCCP Pension Liability	CMIC Pension Liability	Parent Pension Asset	SCCP Pension Liability	CMIC Pension Liability
Balance at beginning of year / period	₱143,590,199	₱16,115,585	₱1,882,249	₱83,363,729	₱10,682,672	₱1,046,081
Current service cost	13,713,032	1,091,652	322,286	7,750,580	752,616	219,474
Interest cost on benefit obligation	8,055,410	892,803	104,841	7,152,608	822,566	80,757
Actual benefits paid	(28,885,290)	(114,188)	—	(8,881,911)	—	—
Actuarial gains arising from:						
Changes in financial assumptions	31,631,781	3,934,056	622,972	42,012,587	4,010,138	414,039
Experience adjustments	(10,627,676)	(1,964,474)	82,645	12,192,606	(152,407)	73,234
Changes in demographic assumptions	—	—	136,410	—	—	48,664
Balance at end of year / period	₱157,477,456	₱19,955,434	₱3,151,403	₱143,590,199	₱16,115,585	₱1,882,249

The movements in the fair value of plan assets recognized by the Parent Company follow:

	2020	2019
Balance at beginning of year	₱181,877,263	₱155,165,634
Interest income	9,393,082	13,879,282
Actual benefits paid	(28,885,290)	(8,881,911)
Remeasurement loss	(2,525,341)	(362,769)
Contributions	—	22,077,027
Balance at end of year	₱159,859,714	₱181,877,263

The assets of the Parent Company's retirement plan are being held by a trustee bank pursuant to a trust agreement dated August 10, 2011. The investing decisions of the retirement plan are made by Board of Trustees of the retirement plan.

The following table presents the carrying amounts and estimated fair values of the assets of the Parent Company's retirement plan as at December 31, 2020 and 2019:

	2020		2019	
	Carrying Amount	Fair Value	Carrying Amount	Fair Value
Cash and cash equivalent*	₱1,467,265	₱1,467,265	₱14,989,169	₱14,989,169
Investment in government securities, bonds and other debt instruments	124,730,071	124,730,071	134,571,446	134,571,446
Investment in equity securities	33,038,459	33,038,459	31,466,697	31,466,697
Others	623,919	623,919	1,218,398	1,218,398
	₱159,859,714	₱159,859,714	₱182,245,710	₱182,245,710

*The difference between the plan assets as at December 31, 2019 and retirement fund amounting to ₱0.37 million pertains to additional benefit payments not reflected on the plan assets

The Parent Company's retirement plans' assets and investments consist of the following:

- Cash and cash equivalents include regular savings and time deposits.
- Investment in equity securities consists of listed equity securities.



- Investments in government securities, consisting of retail treasury bonds and fixed rate treasury notes that bear interest ranging from 3.25% to 6.25% in 2020 and 2019 and have maturities from April 2021 to March 2032. In 2019, government securities were composed of fixed-income treasury notes that bear interest ranging from 3.03% to 8.75% that mature in 2020 to 2037.
- Investments in debt and other securities consist of long-term corporate bonds, which bear interest ranging from 4.25% to 5.5% in 2020 that will mature in 2021 to 2026. In 2019, long-term corporate bonds ranged from 4.00% to 6.15% that will mature in 2020 to 2025.
- Other financial assets held by the retirement plan are primarily accrued interest income on cash deposits and debt securities and dividend receivables.

As at December 31, 2020 and 2019, the sensitivity analysis below has been determined by remeasuring the defined benefit obligation at the reporting date after first adjusting one of the current assumptions that was reasonably possible at the valuation date while all other assumptions remained unchanged. It should be noted that the changes assumed to be reasonably possible at the valuation date are open to subjectivity, and do not consider more complex scenarios in which changes other than those assumed may be deemed to be more reasonable.

	Increase (Decrease) in Basis Points	Increase (Decrease) in Defined Benefits Obligation	
		2020	2019
Discount rate	100 (100)	(P23,204,505) 27,739,653	(P18,756,390) 22,290,240
Future salary increases	100 (100)	27,155,434 (23,195,412)	22,198,986 (19,021,230)

To efficiently manage the retirement plan, the Parent Company ensures that the investment positions are managed in accordance with its asset-liability matching strategy to achieve that long-term investments are in line with the obligations under the retirement scheme. This strategy aims to match the plan assets to the retirement obligations by investing in long-term fixed interest securities (i.e., government or corporate bonds) with maturities that match the benefit payments as these fall due and in the appropriate currency. The Parent Company actively monitors how the duration and expected yield of the investments are matching the expected cash outflows arising from the retirement obligations. In view of this, investments are made in reasonably diversified portfolio, such that the failure of any single investment would not have a material impact on the overall level of assets.

A large portion of the plan assets as at December 31, 2020 and 2019 consists of equity and debt securities, although the Parent Company also invests in cash and cash equivalents. The Parent Company believes that debt securities offer the best returns over long-term with an acceptable level of risk. The majority of debt securities are in government securities which have relatively low risk.

There has been no change in the Parent Company's strategies to manage its risks from previous periods.

On the other hand, SCCP's retirement plan is non-contributory and of the final salary defined benefit type. The plan provides a retirement benefit equal to one hundred fifty percent (150%) of the plan salary for every year of credited service. Benefits are paid in lump sum directly by SCCP upon retirement or separation in accordance with the terms of the plan.



Moreover, CMIC does not have an established retirement fund and only conforms to the minimum regulatory benefit under the Retirement Pay Law (RA No. 7641) which is of the defined benefit type and provides a retirement benefit equal to 22.5 days pay for every year of credited service. The regulatory benefit is paid directly by the Company in a lump sum upon retirement.

The maturity profile of undiscounted expected benefit payments from the plan for the next 10 years follows as at December 31, 2020 and 2019:

	2020	2019
More than one year to five years	₱33,984,678	₱34,066,698
More than five years to 10 years	75,147,647	74,932,558
	₱109,132,325	₱108,999,256

The weighted average duration of the defined benefit obligations as at December 31, 2020 are 14.1 years, 14.2 years and 13.2 years for the Parent Company, SCCP and CMIC, respectively.

The weighted average duration of the defined benefit obligations as at December 31, 2019 are 12.6 years, 13.8 years and 12.3 years for the Parent Company, SCCP and CMIC, respectively.

Other Employee Benefits

Other employee benefits pertains to accumulated sick leave entitlement which are expected to be settled beyond one year after the end of the reporting date.

The principal actuarial assumptions used in determining the liabilities for other employee benefits of the Exchange as at December 31, 2020 and 2019 are shown below:

	2020	2019
Discount rate	3.41%	4.65%
Future salary increases	5.00%	5.00%

The latest actuarial valuation study of the other employee benefits of the Exchange were made as at December 31, 2020.

The other employee benefits liabilities included in the consolidated financial position amounted to ₱2.88 million and ₱2.71 million as at December 31, 2020 and 2019, respectively.

As at December 31, 2020 and 2019, the sensitivity analysis below has been determined by remeasuring the defined benefit obligation at the reporting date after first adjusting one of the current assumptions that was reasonably possible at the valuation date while all other assumptions remained unchanged. It should be noted that the changes assumed to be reasonably possible at the valuation date are open to subjectivity, and do not consider more complex scenarios in which changes other than those assumed may be deemed to be more reasonable.

	Increase (Decrease) in Basis Points	Increase (Decrease) in Defined Benefits Obligation	
		2020	2019
Discount rate	100	(₱278,757)	(₱265,766)
	(100)	317,212	303,033
Future salary increases	100	308,956	298,919
	(100)	(277,275)	(267,320)



The maturity profile of undiscounted expected benefit payments from the plan for the next 10 years follows as at December 31, 2020:

More than one year to five years	₱7,967,637
More than five years to 10 years	23,336,363
	<u>₱31,304,000</u>

The weighted average duration of the defined benefit obligation as at December 31, 2020 and 2019 for the Parent Company is 10.6 years and 10.5 years, respectively.

29. Basic/Diluted Earnings Per Share (EPS)

Basic EPS are calculated by dividing the net income for the year attributable to ordinary equity holders of the Parent Company by the weighted average number of ordinary shares outstanding during the year.

Diluted EPS amounts are calculated by dividing the net income attributable to ordinary equity holders of the Parent Company by weighted average number of ordinary shares outstanding during the year plus the weighted average number of ordinary shares that would be issued on conversion of all the dilutive potential ordinary shares (ESPP shares) into ordinary shares.

The following reflects the diluted EPS computations:

	2020	2019	2018
(a) Net income	₱659,814,389	₱681,125,163	₱727,105,904
(b) Weighted average number of shares - basic	81,497,929	81,809,909	82,020,286
Weighted average number of shares outstanding under the ESPP (Note 33)	9,124	153,551	223,736
(c) Adjusted weighted average shares - diluted	81,507,053	81,963,460	82,244,022
EPS:			
Basic (a/b)	₱8.10	₱8.33	₱8.86
Diluted (a/c)	8.10	8.31	8.84

30. Related Party Transactions

Parties are considered to be related if one party has the ability, directly or indirectly, to control the other party or exercise significant influence over the other party in making financial and operating decisions. Parties are also considered to be related if they are subject to common control. Related parties may be individuals or corporate entities. Related parties include trading participants that are stockholders of the Group.

The Group, in its normal course of business, has transactions with related parties.



The details of transactions with related parties are as follows:

Category	Year	Amount/ Volume of Transactions	Outstanding Receivables	Terms	Conditions
Stockholders					
Trading participants -					
Revenues					
Trading-related fees (Notes 10 and 20):					
Transaction	2020	₱157,322,455	₱16,294,643	Collectible monthly	Unsecured; with
	2019	152,074,832	10,498,154	through cash,	impairment in
	2018	153,394,901	11,158,139	noninterest-bearing	2019 and 2018
Block sales	2020	19,767,412	1,043,029	Collectible monthly	Unsecured;
	2019	25,183,148	2,245,537	through cash,	no impairment
	2018	20,287,400	2,392,351	noninterest-bearing	
Subscription	2020	36,186,932	—	Collectible monthly	Unsecured;
	2019	32,266,872	—	through cash,	no impairment
	2018	104,924,249	2,559,024	noninterest-bearing	
Service fees (Notes 10 and 20)	2020	316,231,905	34,827,714	Collectible monthly	Unsecured;
	2019	316,532,108	26,311,158	through cash,	no impairment
	2018	310,146,965	27,752,718	noninterest-bearing	
Other revenues (Notes 10 and 20)	2020	29,355,071	—	Collectible monthly	Unsecured;
	2019	35,106,937	4,188,800	through cash,	no impairment
	2018	41,705,684	13,871,437	noninterest-bearing	
Subsidiary of Associate					
Philippine Dealing and Exchange Corp (PDEX)					
Other revenues (Notes 10 and 20)	2020	1,080,000	—	Collectible monthly,	Unsecured;
	2019	4,188,800	4,188,800	noninterest-bearing	no impairment
Philippine Depository and Trust Corporation (PDTC)					
Other revenues (Notes 10 and 20)	2020	2,764,800	—		
	2019	—	—		
Philippine Security Settlement Corporation (PSSC) (Notes 10 and 20)					
Other revenues (Notes 10 and 20)	2020	475,200	—		
	2019	—	—		

The receivable from trading participants included in the consolidated statements of financial position are gross of allowance for impairment losses as at December 31, 2020 and 2019. The total receivable from trading participants of ₱69.18 million in December 31, 2020 is composed of outstanding related party receivables amounting to ₱52.17 million and SEC fees of ₱17.01 million which is billed by the Group to the trading participants. The total receivable from trading participants of ₱55.06 million in December 31, 2019 is composed of outstanding related party receivables amounting to ₱43.24 million and SEC fees of ₱11.82 million.



Other revenues include trading participants' maintenance fee, recoveries from printing of data transaction report, lease of trading floor, cancellation of matched orders, integration of PDEX's fixed income module in the trading system, and other fees.

Settlement of related party transactions normally occurs in cash.

The Exchange as Trustee of the Philippine Stock Exchange Foundation, Inc. (the Foundation)

On December 10, 2019, the Board of Trustees (BOT) of the Foundation approved the dissolution of the Foundation by shortening its corporate term until January 31, 2020. The BOT also approved that, upon expiration of the Foundation's corporate term, all of the Foundation's assets and properties shall be transferred and conveyed to the Exchange which is hereby appointed as trustee of the Foundation for a period of three years (the 3-year winding up period). During the 3-year winding up period, the Exchange, through its BOD or its duly authorized representative, is authorized to: (1) file, process, and obtain the necessary government or regulatory approvals for the closure and dissolution of the Foundation; (2) prosecute and defend suits by or against the Foundation; (3) manage the remaining assets of the Foundation as the Exchange may deem fit, pending turnover to a foundation of the Exchange's choice dedicated to religious, charitable, scientific, athletic, cultural, or educational purposes; (4) dispose of, convey, or transfer assets of the Foundation exclusively for purposes of paying the Foundation's outstanding liabilities and turning over to a qualified foundation as aforementioned; (5) close the affairs of the Foundation ; and (6) perform all acts and execute all documents, agreements, papers and forms, without need of further approval or action from the Company, as may be necessary to implement the foregoing.

Compensation of Key Management Personnel

Compensation of key management personnel (covering officer positions starting from Assistant Vice President and up) included under "Compensation and other related staff costs" account under "Cost of services" and "General and administrative expenses" in the consolidated statement of comprehensive income is as follows:

	2020	2019	2018
Short-term employee benefits	₱62,577,477	₱64,129,921	₱62,737,834
Post-employment pension and medical benefits	978,003	798,962	3,017,446
Employee stock purchase plan (Notes 24 and 33)	5,828,215	263,250	449,562
	₱69,383,695	₱65,192,133	₱66,204,842

Short-term employee benefits include salaries, paid annual leave, vacation and sick leave, profit sharing and bonuses, and non-monetary benefits.

Approval Thresholds on Related Party Transactions

All potential related party transactions shall be endorsed to the management committee by the user division for proper review, documentation and approval by the relevant authorities except for transactions in the ordinary course of business, employee-related matters, share transactions, funding agreement with CMIC and renewal of an existing contract or agreement with the same terms and conditions. A related party transaction is deemed material if it, individually, or in aggregate over a twelve (12)-month period with the same related party reaches 10% or higher of the total consolidated assets based on the latest audited consolidated financial assets.



31. Operating Segment

The Group has one reportable business segment which is the equity securities market. The equity securities market provides trading, clearing, depository and information services for the equity market. The Group also has one geographical segment and derives all its revenues from domestic operations. The financial information about the sole business segment is presented in the consolidated financial statements.

The management, the chief operating decision maker of the Group, monitors the operating results of its business segment for the purpose of making decisions about resource allocation and performance assessment. The segment performance is evaluated based on operating profit or loss and is measured consistently with the income before income tax in the consolidated financial statements.

32. Provision and Contingencies

Parent Company

Provision. For the year ended December 31, 2018, the Parent Company recorded a provision amounting to ₱20.0 million which pertains to termination benefits payable to employees identified under its organizational streamlining program, the timing of settlement is not yet certain as at December 31, 2018 (see Note 23). In 2019, the Parent Company reclassified the provision to accrued expenses as a result of the finalization of streamlining program (see Note 16). In 2020, the Parent Company settled the termination benefits payable to the employees identified amounting to ₱18.14 million.). In 2020, the Exchange settled the termination benefits payable to the employees identified amounting to ₱18.1 million.

Contingencies. In April 2019, the Parent Company entered into non-exclusive agreement with a real estate agent for the purpose of marketing the leasing out of office units. The agent's commission depends on the term of lease and is payable upon successful execution of lease contract. There are no identified lessee/s as at December 31, 2020 and 2019.

The SCCP, as the central counterparty to stock exchange transactions, has contingent liabilities pertaining to outstanding trades as at December 31, 2020 and 2019. Details of stock exchange transactions outstanding as at reporting dates are as follows:

	2020	2019
Value of shares not yet delivered (net selling)	₱10,927,985,236	₱8,746,748,512
Amount of purchases unpaid (due clearing)	3,236,595,861	3,026,596,780
	₱14,164,581,097	₱11,773,345,292

All transactions outstanding as at December 31, 2020 and 2019 were subsequently settled in January 2021 and 2020, respectively. Accordingly, no failed trades occurred from these transactions.



33. Employee Stock Purchase Plans

2015 ESPP

On March 25, 2015 and May 2, 2015, the Parent Company's BOD and at least two thirds of the stockholders of the Parent Company approved to offer 150,000 ESPP shares for 3 years.

On December 23, 2015, the Parent Company submitted a request from SEC to be exempted from the registration requirements of the SRC. The Parent Company received the reply from the SEC stating that the Commission, in its meeting on January 21, 2016, ruled that the proposed ESPP is exempt from registration requirements of the SRC on January 26, 2016. Also, such approval commences the effectivity date of ESPP.

On February 16, 2016, the initial offering of ESPP was announced with the following terms and conditions:

- a. the number of shares allotted for the offering is 150,000 shares or about 0.20% of the outstanding capital stock of the Parent Company. Each offering shall consist of 50,000 shares;
- b. the program shall be administered by a five-member ESPP Committee headed by the President and CEO of the Parent Company, the Corporate Governance & Compliance Officer, the Chief Operating Officer of the Parent Company, the General Counsel of the Parent Company, and the Chief Operating Officer of SCCP. The Secretariat of the ESPP Committee will be led by the Head of the Human Resources & Administration Division of the Parent Company;
- c. all regular employees, who are not under any suspension of the Parent Company and of the SCCP with at least one year of service shall be eligible for the ESPP;
- d. offer date shall be quarterly for a period commencing on the quarter immediately after the SEC approval is obtained until the 4th quarter of 2017. Any unavailed portion of the ESPP shares offered to the employees within any year shall be reallocated to the immediately succeeding year;
- e. offer price shall be fixed based on the Volume Weighted Average Price (VWAP) of the Parent Company shares for the month preceding the offer date less a discount of ten percent (10%). Payment terms will be through monthly salary deduction over a period of twenty four (24) months subject to salary deduction over a period of twenty four (24) months subject to payroll guidelines on net take home pay;
- f. a mandatory holding period of two (2) years from the date of subscription shall be implemented;
- g. if an employee who availed of the ESPP shares resigns within the mandatory holding period, then the Parent Company will reimburse the resigned employee for any and all contributions paid as of the latest payroll cutoff; and
- h. in case an employee dies pending completion of the full payment over the 24-month period, any remaining unpaid balance will be considered by the Parent Company as fully paid.

2018 ESPP

On April 11, 2018, the Parent Company's BOD approved to offer 300,000 ESPP shares for 3 years.

On November 16, 2018, the SEC approved Parent Company's request to be exempted from the registration requirements of the SRC. Also, such approval commences the effectivity date of ESPP.



On December 27, 2018, the initial offering of ESPP was announced with the following terms and conditions:

- a. the number of shares allotted for the offering is 300,000 shares or about 0.35% of the outstanding capital stock of the Parent Company. Each offering shall consist of 100,000 shares;
- b. the program shall be administered by a five-member ESPP Committee headed by the President and CEO of the Parent Company, the Head of Market Operations Division of the Parent Company, the Chief Operating Officer of the Parent Company, the General Counsel of the Parent Company, and the Chief Operating Officer of SCCP. The Secretariat of the ESPP Committee will be led by the Head of the Human Resources & Administration Division of the Parent Company;
- c. all Officers and employees, who are not under any suspension of the Parent Company and of the SCCP with at least one year of service shall be eligible for the ESPP;
- d. offer date shall be annually for a period commencing on the year immediately after the SEC approval is obtained until 2021. Any unavailed portion of the ESPP shares offered to the employees within any year shall be reallocated to the immediately succeeding year;
- e. offer price shall be fixed based on the Volume Weighted Average Price (VWAP) of the PSE shares for the month preceding the offer date less a discount of twenty percent (20%). Payment terms will be through monthly salary deduction over a period of thirty six (36) months subject to payroll guidelines on net take home pay;
- f. a mandatory holding period of three (3) years from the date of subscription shall be implemented;
- g. one-third (1/3) of the subscription will vest every year such that 33.3% of the ESPP shares subscribed by him/her will vest on the 12th month after the date of execution of the stock purchase agreement covering the ESPP shares; 66.7% on the 24th month, and 100% on the 36th month from execution of the stock purchase agreement;
- h. if an employee who availed of the ESPP shares resigns within the mandatory holding period, then the Parent Company will reimburse the resigned employee for any and all contributions paid as of the latest payroll cutoff; on the other hand, the resigned employee shall be required to return to the Parent Company the covered ESPP shares including the dividends earned thereon; and
- i. in case an employee dies pending completion of the full payment over the 36-month period, any remaining unpaid balance will be considered by the Parent Company as fully paid.

2021 ESPP

On October 1, 2020, the Board of Directors of the Exchange approved the renewal of the ESPP which will have a duration of three (3) years from 2021 to 2023.

On November 2, 2020, the Stockholders, by a vote of the majority of the outstanding capital stock registered, approved the renewal of the ESPP and the amendment of the holding period to two (2) years from the date of purchase.

The proposed ESPP has the following terms and conditions:

- a. the plan shall be effective from the adoption date until December 31, 2023;
- b. the number of shares allotted for the offering is 300,000 shares or about 0.37% of the outstanding capital stock of the Parent Company as of December 31, 2020. Each offering shall consist of 100,000 shares;



- c. the program shall be administered by a five-member ESPP Committee headed by the President and CEO of the Parent Company, the Head of Market Operations Division of the Parent Company, the Chief Operating Officer of the Parent Company, the General Counsel of the Parent Company, and the Chief Operating Officer of SCCP. The Secretariat of the ESPP Committee will be led by the Head of the Human Resources & Administration Division of the Parent Company;
- d. all Officers and employees, who are not under any suspension of the Parent Company and of the SCCP with at least one year of service shall be eligible for the ESPP;
- e. offer date shall be annually for a period commencing on the year immediately after the SEC approval is obtained until 2023. Any unavailed portion of the ESPP shares offered to the employees within any year shall be reallocated to the immediately succeeding year;
- f. offer price shall be fixed based on the Volume Weighted Average Price (VWAP) of the PSE shares for the month preceding the offer date less a discount of twenty percent (20%). Payment terms will be through monthly salary deduction over a period of thirty-six (36) months subject to payroll guidelines on net take home pay;
- g. a mandatory holding period of two (2) years from the date of subscription shall be implemented;
- h. one-third (1/3) of the subscription will vest every year such that 33.3% of the ESPP shares subscribed by him/her will vest on the 12th month after the date of execution of the stock purchase agreement covering the ESPP shares; 66.7% on the 24th month, and 100% on the 36th month from execution of the stock purchase agreement;
- i. if an employee who availed of the ESPP shares resigns within the mandatory holding period, then the Parent Company will reimburse the resigned employee for any and all contributions paid as of the latest payroll cutoff; on the other hand, the resigned employee shall be required to return to the Parent Company the covered ESPP shares including the dividends earned thereon; and
- j. in case an employee dies pending completion of the full payment over the 36-month period, any remaining unpaid balance will be considered by the Parent Company as fully paid.

The movement in the number of ESPP shares is as follows:

	2018 ESPP	2015 ESPP
Total number of ESPP shares granted:		
2016	—	100,000
2017	—	50,000
2018	100,000	—
2019	100,000	—
2020	100,000	—
Availed shares in:		
2016	—	(31,437)
2017	—	(13,859)
2018	(82,123)	—
2019	(64,326)	—
2020	(144,427)	—
Forfeited shares in 2017	—	(8,000)
Expired shares in 2017	—	(96,704)
Expired shares in 2020	—	—
Outstanding ESPP shares as at December 31, 2020	9,124	—



Total additional paid-in capital and employee benefit expense arising from ESPP amounted to ₱4.88 million, (₱0.79) million and ₱0.59 million in 2020, 2019 and 2018, respectively.

In 2019 and 2018, 13,809 shares and 23,437 shares from the 2015 ESPP with a subscription price amounting ₱2.97 million and ₱5.47 million, respectively, have vested following the completion of the two (2) year mandatory period. The said shares were issued to the employees and were recorded in the “Capital stock” and “Additional paid-in capital” accounts in the 2019 and 2018 statement of changes in equity (see Note 19).

The exercise prices of the shares granted during 2019 and 2018 amounted ₱139.55. The fair value of shares granted during 2019 and 2018 based on the Exchange’s daily stock quotation amounted to ₱139.90 and ₱178.50, respectively.

The exercise prices of the shares granted during 2020 range from ₱128.08 to 132.20. The fair value of shares granted based on the Exchange’s daily stock quotation amounted to ₱154.20 to ₱158.10.

34. Client Monies

Clearing and Trade Guaranty Fund (CTGF)

The CTGF is a risk management tool designed to protect the market against the settlement risks of trading participants. Each active trading participant’s monthly contribution is equivalent to 1/500 of 1% of the members’ trade value, net of block sales and cross transactions of the same flag.

The CTGF was presented off balance sheet and is not included within the noncurrent assets and noncurrent liabilities in the consolidated statement of financial position since these are not assets and liabilities of SCCP. This presentation is to better reflect the clearing members’ contribution as trust monies and does not result in a change in net assets of SCCP.

The CTGF consists of:

	2020	2019
Principal contributions from:		
Trading participants:		
Balance at beginning of year	₱737,053,487	₱688,660,120
Contributions	50,964,110	48,393,367
Balance at end of year	788,017,597	737,053,487
The Parent Company	80,000,000	80,000,000
	868,017,597	817,053,487
Accumulated income:		
Balance at beginning of year	422,877,413	388,187,805
Interest income - net of management fee of ₱1.36 million and ₱1.25 million in 2020 and 2019, respectively	39,299,599	34,689,609
Balance at end of year	462,177,012	422,877,414
Net unrealized gain on financial assets at FVOCI	36,960,087	7,730,435
	499,137,099	430,607,848
	₱1,367,154,696	₱1,247,661,335



Contributions

In order for the SCCP to effectively implement its Fails Management function, the CTGF must be adequate to cover any unsettled trade by any member on any settlement day. Fails Management aims to settle a failed trade due to nonpayment of cash and/or nondelivery of securities by clearing members. In this regard, SCCP continuously builds up the CTGF through the monthly contributions collected from the clearing members and collection of initial contributions from new and returning clearing members.

During its regular meeting held on March 15, 2017, the SCCP Board approved the refund of the contributions to the members upon cessation of business operations by the Clearing Member and/or upon termination of membership with the Corporation, provided that all liabilities of such Clearing Member at the time of termination, whether actual or contingent, shall have been satisfied or paid in full, (taking into account any pending and previous applications of the Clearing Fund at the time of such termination), subject to the approval of the SEC.

SCCP Management was notified by the SEC on May 10, 2018 that during its meeting held on March 13, 2018, the Commission en banc resolved to approve SCCP's proposed amendments to SCCP Rule 5.2 and Operating Procedure 4.3.1.3, making contributions to the Clearing Fund refundable as trade-related assets to a Clearing Member upon cessation of business of the Clearing Member and/or upon termination of its membership with the SCCP, subject to the conditions mentioned above. The return of contributions shall be made after a reasonable processing time. SCCP Management notified its Clearing Members of the said approval by the Commission through Memo for Brokers No. 01-0718 dated July 25, 2018. The said revisions to SCCP Rule 5.2 and Operating Procedure 4.3.1.3 became effective on August 1, 2018.

Assets of CTGF

The assets of the CTGF consist of:

	2020	2019
Financial assets at amortized cost:		
Cash in banks	₱10,007,620	₱16,410,072
Accounts receivable	5,248,721	3,379,228
Accrued interest receivable	8,379,904	9,705,277
Placement in time deposit	300,157,980	—
Financial assets at FVOCI - debt securities:		
Principal amount	1,003,836,600	1,209,107,600
Net unamortized premium	3,932,307	2,577,633
Net unrealized loss on financial assets at FVOCI	36,960,087	7,730,435
	1,368,523,219	1,248,910,245
Less accrued management fees	1,368,523	1,248,910
	₱1,367,154,696	₱1,247,661,335

Under the SCCP's rules, the CTGF may only be invested in the following:

- Securities issued or guaranteed by the Republic of the Philippines; and
- Such other investments as the SCCP's BOD may approve, taking into consideration the liquidity requirements of the clearing fund.



As at December 31, 2020 and 2019, financial assets at FVOCI with face value of ₱301.10 and ₱331.46 million, respectively, will mature within one year from reporting date. Net unrealized loss from CTGF investments held as financial assets at FVOCI follows:

	2020	2019
Balance at beginning of year	₱7,730,435	(₱59,133,623)
Change in fair value	29,229,652	66,864,058
Balance at end of year	₱36,960,087	₱7,730,435

For the management and administration of CTGF, the SCCP is entitled to a management fee computed at 0.1% of CTGF fund level as at the close of year. Management fee amounting to ₱1.37 million, ₱1.25 million, and ₱1.10 million in 2020, 2019 and 2018, respectively, is included under “Other revenues” account in the consolidated statements of comprehensive income.

Any proceeds from the CTGF shall not be used for any purpose other than for:

- Payment of the net money obligations of a defaulting buying member in order to settle a failed trade;
- Buy-in of relevant securities due from a defaulting selling member in order to settle a failed trade;
- The satisfaction of losses, liabilities and expenses of the SCCP incidental to the operation of its clearing and settlement functions and the management of the CTGF;
- For use as collateral in securing credit facilities from the Settlement Banks for the purpose of settling a Failed Trade;
- For use as collateral in borrowing securities through the Securities Borrowing and Lending Facility; and
- Payment of premium on any insurance policy taken for the CTGF.

Funds of Suspended Trading Participants (TPs)

The funds of the suspended TPs are trust monies. These are presented off balance sheet and are not included within the noncurrent assets and noncurrent liabilities in the statements of financial position since these are not assets or liabilities of the Company.

Suspension of trading operations may either be voluntary or involuntary. In voluntary suspension, the TP applies for the suspension trading operations. In involuntary suspension, the Exchange or the SEC initiates and orders the suspension of the trading operations of the TP in accordance with the securities laws.

Under Section 33 of the Securities Regulation Code, when the Exchange shall have found that the financial condition of its member firm has so deteriorated that it cannot readily meet the demands of its customers for the delivery of securities and/ or payment of sales proceeds, the Exchange shall, upon order of the Commission, take over the operation of the insolvent member firm and immediately proceed to settle the member firm’s liabilities to its customers.

In August 1997, November 2003, and September 2008, the Exchange, through its Market Regulation Division, imposed an involuntary suspension of the operations of Marino Olondriz Y Cia, Asian Capital Equities, Inc., and HK Securities, Inc., respectively. Subsequently, the SEC issued takeover orders against the above TPs. Further, in December 2002 and October 2003, Pryce Securities, Inc. and Wise Securities, Inc. correspondingly suspended their operations voluntarily.

In May 2010, the BOD of the Exchange approved the creation of CMIC, a wholly-owned subsidiary that will function as the independent audit, surveillance and compliance unit of the Exchange with authority to adopt, enforce, implement and interpret rules, guidelines, and securities laws applicable



to the operations and dealings of trading participants and other market participants of the Exchange. Thus, CMIC succeeded the Market Regulation Division of the Exchange after the BOD of the Exchange approved the spinoff of the said division into a separate independent corporation.

Following the grant of the SEC of its self-regulatory organization status, the Exchange, in August 2014, turned over to CMIC the fund balances of the five (5) suspended TPs totaling ₱23.38 million, broken down as follows:

Pryce Securities, Inc.	₱8,365,421
HK Securities, Inc.	5,582,686
Wise Securities Philippines, Inc.	4,471,976
Asian Capital Equities, Inc.	2,594,393
Marino Olondriz Y Cia	2,367,458
	₱23,381,934

The responsibilities of CMIC with regard to the funds of the suspended TPs include handling the customer accounts, disbursing and settling of any customer claims, and managing the money balances.

In 2017, the BOD of CMIC proposed the imposition of a custodial fee of 1/2 of 1% per annum on the fund balances of the suspended TPs. The proposal has been presented to the SEC for approval. The proposed custodial fees from August 2017 to December 31, 2020 amounted to ₱590,361. This amount has not been deducted from the fund balances shown below.

As at December 31, 2020 and 2019, the fund balances of the five (5) suspended TPs, are as follows:

	2020	2019
Pryce Securities, Inc.	₱9,787,080	₱9,488,050
HK Securities, Inc.	7,122,194	6,935,011
Wise Securities Philippines, Inc.	4,995,650	4,924,071
Asian Capital Equities, Inc.	7,048,003	6,664,869
Marino Olondriz Y Cia	5,005,462	4,697,491
	₱33,958,389	₱32,709,492

As at December 31, 2020, ₱31.28 million out of the total funds of ₱33.96 million is placed in time deposit for 90 days to mature on February 22, 2021 with an interest rate of 0.50% per annum and subsequently, the maturity proceeds thereof amounting to ₱31.31 million was rolled over for 88 days to mature on May 21, 2021 with an interest rate of 0.375% per annum. As at December 31, 2019, ₱30.33 million out of the total fund of ₱32.71 million is placed in time deposit for 77 to 84 days to mature on March 6, 2020 with an interest rate of 3.50% per annum.

35. Note to the Consolidated Statements of Cash Flows

Changes in Liabilities arising from Financing Activities

In 2020 and 2019, changes in liabilities arising from financing activities follow:

	January 1, 2020	Cash flows	Others (Note 26)	December 31, 2020
Lease liabilities	₱73,455,393	(₱17,321,418)	₱4,308,718	₱60,442,693



	January 1, 2019	Cash flows	Others (Notes 19 and 26)	December 31, 2019
Dividends payable	₱—	(₱747,998,266)	₱747,998,266	₱—
Lease liabilities	74,259,768	(19,346,724)	18,542,349	73,455,393
	₱74,259,768	(₱767,344,990)	₱766,540,615	₱73,455,393

Other pertains to the cash dividends declared during the year and interest expense on and additions to lease liabilities. The Group classifies interest paid as cash flows from operating activities.

Noncash transaction under Financing Activities and Investing Activities

The principal noncash transaction under financing activities pertains to fully vested 2015 and 2018 ESPP shares which were availed in from 2018 to 2020 amounting to ₱29.37 million in 2020, ₱2.97 million in 2019 and ₱5.47 million in 2018 (see Note 33).

The principal noncash transactions under investing activities pertains to the retained earnings adjustment for the depreciation of Ayala property amounting to ₱124.55 million in 2019, and acquisition of property and equipment on account amounting to ₱71.36 million, ₱97.88 million and ₱44.76 million in 2020, 2019 and 2018, respectively (see Notes 12 and 13).

36. Events After the Reporting Period

Declaration of Cash Dividends

On February 24, 2021, the Parent Company's BOD declared cash dividend at ₱8.00 per share to stockholders of record as of March 22, 2021 payable not later than April 15, 2021. As at March 22, 2021, the number of outstanding common shares as of record date is 81,892,289 shares resulting to dividends declaration of ₱655.14 million (see Note 19).

Corporate Recovery and Tax Incentives for Enterprises Law

President Rodrigo Duterte signed into law on March 26, 2021 the Corporate Recovery and Tax Incentives for Enterprises (CREATE) Act to attract more investments and maintain fiscal prudence and stability in the Philippines. Republic Act (RA) 11534 or the CREATE Act introduces reforms to the corporate income tax and incentives systems. It takes effect 15 days after its complete publication in the Official Gazette or in a newspaper of general circulation or April 11, 2021.

The following are the key changes to the Philippine tax law pursuant to the CREATE Act which have an impact on the Company:

- Effective July 1, 2020, regular corporate income tax (RCIT) rate is reduced from 30% to 25% for domestic and resident foreign corporations. For domestic corporations with net taxable income not exceeding Php5 million and with total assets not exceeding Php100 million (excluding land on which the business entity's office, plant and equipment are situated) during the taxable year, the RCIT rate is reduced to 20%.
- Minimum corporate income tax (MCIT) rate reduced from 2% to 1% of gross income effective July 1, 2020 to June 30, 2023.
- Imposition of improperly accumulated earnings tax (IAET) is repealed.



As clarified by the Philippine Financial Reporting Standards Council in its Philippine Interpretations Committee Q&A No. 2020-07, the CREATE Act was not considered substantively enacted as of December 31, 2020 even though some of the provisions have retroactive effect to July 1, 2020. The passage of the CREATE Act into law on March 26, 2011 is considered as a non-adjusting subsequent event. Accordingly, current and deferred taxes as of and for the year ended December 31, 2020 continued to be computed and measured using the applicable income tax rates as of December 31, 2020 (i.e., 30% RCIT / 2% MCIT) for financial reporting purposes.

Applying the provisions of the CREATE Act, the Company would have been subjected to lower regular corporate income tax rate of 25% effective July 1, 2020.

- This will result in lower provision for current income tax for the year ended December 31, 2020 and lower income tax payable as of December 31, 2020, which will be reflected in the Company's 2020 annual income tax return but will only be recognized for financial reporting purposes in its 2021 financial statements. Pending clarification from the tax authorities on how the taxable income for the period beginning July 1, 2020 will be computed, the Company has not quantified the impact of the lower corporate income tax rate on the 2020 current income tax.
- This will result in lower deferred tax assets and liabilities as of December 31, 2020 and provision for deferred tax for the year then ended by ₱45.18 million and ₱43.99 million respectively. These reductions will be recognized in the 2021 financial statements.



INDEPENDENT AUDITOR'S REPORT ON SUPPLEMENTARY SCHEDULES

The Stockholders and the Board of Directors
The Philippine Stock Exchange, Inc. and Subsidiaries
6th to 10th Floors, PSE Tower
5th Avenue cor. 28th Street
Bonifacio Global City, Taguig City

We have audited in accordance with Philippine Standards on Auditing, the financial statements of The Philippine Stock Exchange, Inc. and Subsidiaries as at December 31, 2020 and 2019 and for each of the three years in the period ended December 31, 2020, included in this Form 17-A and have issued our report thereon dated March 26, 2021. Our audits were made for the purpose of forming an opinion on the basic financial statements taken as a whole. The schedules listed in the Index to the Financial Statements and Supplementary Schedules are the responsibility of the Company's management. These schedules are presented for purposes of complying with the Revised Securities Regulation Code Rule 68, and are not part of the basic financial statements. These schedules have been subjected to the auditing procedures applied in the audit of the basic financial statements and, in our opinion, fairly state, in all material respects, the financial information required to be set forth therein in relation to the basic financial statements taken as a whole.

SYCIP GORRES VELAYO & CO.



Mariecris N. Barbaso

Partner

CPA Certificate No. 97101

SEC Accreditation No. 1513-AR-1 (Group A),

November 16, 2018, valid until November 15, 2021

Tax Identification No. 202-065-716

BIR Accreditation No. 08-001998-108-2020,

November 27, 2020, valid until November 26, 2023

PTR No. 8534222, January 4, 2021, Makati City

March 26, 2021



THE PHILIPPINE STOCK EXCHANGE, INC. AND SUBSIDIARIES
INDEX TO THE CONSOLIDATED FINANCIAL STATEMENTS AND
SUPPLEMENTARY SCHEDULES
DECEMBER 31, 2020

Annex 68 - E

A. Financial Assets	Attached
B. Amounts Receivable from Directors, Officers, Employees, Related Parties and Principal Stockholders (Other than Related Parties)	Attached
C. Amounts Receivable from Related Parties which are Eliminated during the Consolidation of Financial Statements	Attached
D. Long-term Debt	Not applicable
E. Indebtedness to Related Parties (Long-term Loans from Related Companies)	Not applicable
F. Guarantees of Securities of Other Issuers	Not applicable
G. Capital Stock	Attached

Additional Components

i) Reconciliation of Retained Earnings Available for Dividend Declaration	Attached
ii) Map of Relationship of the Companies within the Group	Attached
iii) Schedule of Financial Soundness Indicators	Attached

THE PHILIPPINE STOCK EXCHANGE, INC. AND SUBSIDIARIES
SUPPLEMENTARY SCHEDULES REQUIRED BY ANNEX 68-E
DECEMBER 31, 2020

Schedule A. Financial Assets

Name of Issuing Entity and Association of Each Issue	Number of Shares or Principal Amounts of Bonds and Notes	Market Value Quotation	Amount Shown in the Statement of Financial Position	Income Received and Accrued
Cash and cash equivalents				
Cash on hand	—	₱69,358	₱69,358	₱—
Cash in banks:				
Citibank - Dollar	—	47,033,262	47,033,262	
BDO - Tektite	—	100,291	100,291	
BPI - Ayala Triangle	—	393,752	393,752	
RCBC Peso	—	13,714,405	13,714,405	
BDO - Ayala Triangle	—	1,029,617	1,029,617	
BDO Dollar - Ayala Triangle	—	304,719	304,719	
MBTC SA	—	165,811	165,811	
BDO Dollar - BGC	—	1,766,588	1,766,588	
BDO PSE - BGC	—	85,161,260	85,161,260	
Unionbank - Tektite	—	519,825	519,825	
Deutsche Bank	—	60	60	
	—	150,258,948	150,258,948	375,578
Cash equivalents:				
BDO	—	158,406,924	158,406,924	
Chinabank	—	367,456,402	367,456,402	
	—	525,863,326	525,863,326	29,783,813
	—	₱676,122,274	₱676,122,274	₱30,159,391
Financial assets at Fair Value Through Profit or Loss (FVTPL)				
BDO - Trust and Investments Group	3,812,565	₱ 130,474,711	₱130,474,711	
MBTC	3,329,416	157,961,048	157,961,048	
Equity Securities	1	1,500,000	1,500,000	
	7,141,982	₱289,935,759	₱289,935,759	₱124,529
Financial assets at Fair Value through Other Comprehensive Income (FVOCI)				
Debt securities				
Republic of the Philippines	₱3,526,094,750	₱3,349,571,193	₱3,349,571,193	
Other Companies	59,579,437	269,515,262	269,515,262	
	₱3,585,674,187	₱3,619,086,455	₱3,619,086,455	₱101,738,954

**Schedule B - Amounts Receivable from Directors, Officers, Employees, Related Parties and Principal Stockholders
(Other than Related Parties)
As at December 31, 2020**

Name and Designation of Debtor	Balance as at January 1, 2020	Additions	Deductions		Current	Not Current	Balance as at December 31, 2020
			Amount Collected	Amount Written Off			
Trading participants	₱55,060,087	₱177,089,867	(₱162,970,194)	₱—	₱69,179,760	₱—	₱69,179,760
Advances to officers and employees	2,886,125	349,220,185	(346,139,715)	—	5,966,595	—	5,966,595

There are no receivables which are considered outside of the Company's ordinary course of business as at December 31, 2020.

Schedule C - Amounts Receivable from Related Parties which are Eliminated during the Consolidation of Financial Statements
As at December 31, 2020

Name and Designation of Debtor	Balance as at January 1, 2020	Additions	Deductions		Current	Not Current	Balance as at December 31, 2020
			Amount Collected	Amount Written Off			
Securities and Clearing Corporation of the Philippines	₱1,085,121	₱3,267,548	(₱1,085,121)	₱—	₱3,267,548	₱—	₱3,267,548
Premier Software Enterprise, Inc.	1,777,770	4,403,944	(3,241,714)	—	2,940,000	—	2,940,000

Schedule D - Long Term Debt
As at December 31, 2020

Title of Issue and Type of Obligation	Amount Authorized by Indenture	Amount shown under caption "Current portion of long term debt" in related balance sheet	Amount shown under caption "Long term debt" in related balance sheet
Not Applicable: The Company has no long-term debt as at December 31, 2020.			

Schedule E - Indebtedness to Related Parties (Long-Term Loans from Related Companies)
As at December 31, 2020

Name of Related Party	Balance, January 1, 2020	Balance, December 31, 2020
Not Applicable: The Company has no indebtedness to related parties as at December 31, 2020.		



Schedule F - Guarantees of Securities of Other Issuers
As at December 31, 2020

Name of Issuing Entity of Securities Guaranteed by the Company for which this statement is filed	Title of Issue of Each Class of Securities Guaranteed	Total Amount Guaranteed and Outstanding	Amount Owned by Person for which the Statement is Filed	Nature of Guarantee
Not Applicable: The Company has no guarantees of securities of other issuers as at December 31, 2020.				



Schedule G - Capital Stock
December 31, 2020

Title of Issue	Number of Shares Authorized	Number of Shares Issued and Outstanding at Shown Under Related Balance Sheet Caption*	Number of Shares Reserved for Options, Warrants, Conversions, and Other Rights	Number of Shares Held By		
				Related parties	Directors, Officers and Employees	Others
Common	120,000,000	81,794,567	—	7,762,978	376,251	73,655,338

**Net of treasury stock totaling 3,513,951 shares.*

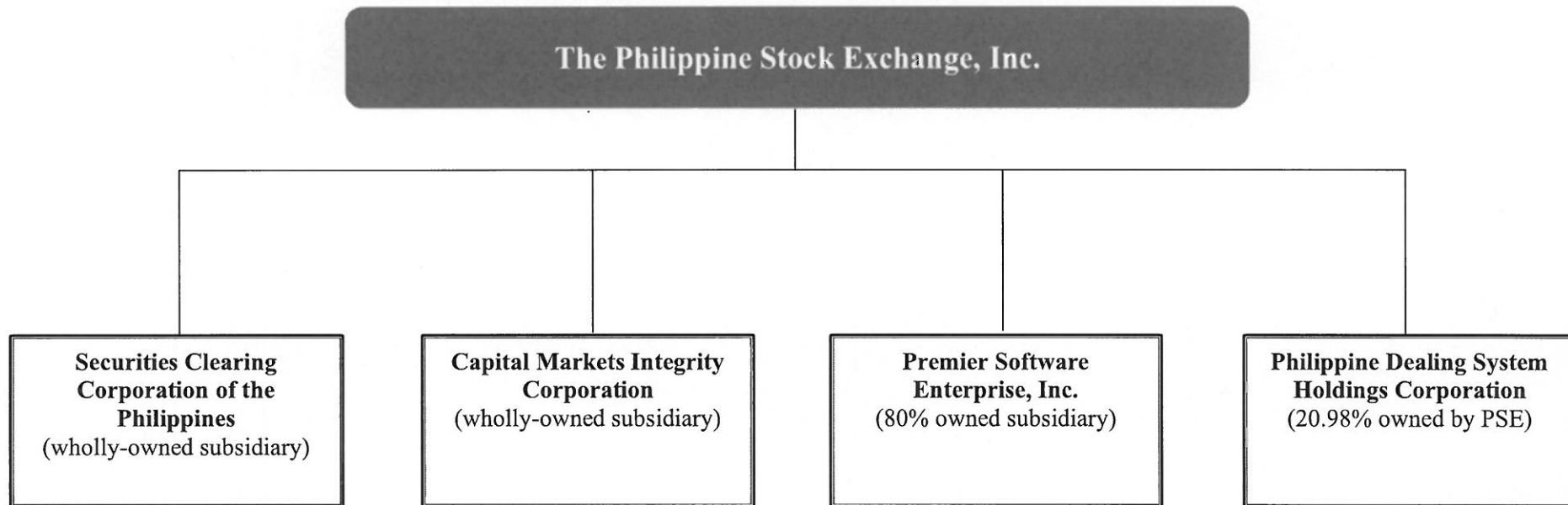
**Including 290,876 subscribed Employee Stock Purchase Plan shares.*

**RECONCILIATION OF RETAINED EARNINGS
AVAILABLE FOR DIVIDEND DECLARATION
AS AT DECEMBER 31, 2020**

**The Philippine Stock Exchange, Inc.
6th to 10th Floors, The PSE Tower, 5th Avenue cor. 28th Street
Bonifacio Global City, Taguig City**

Unappropriated retained earnings as of January 1, 2020	₱299,117,518
Add: Net income closed to retained earnings	615,711,075
Add: Dividend received from an associate during the period	62,940,000
Less: Equity in net income of associate for the year	(82,095,920)
Add: Decrease in recognized deferred tax assets	31,010,218
Net income actually earned during the period	627,565,373
Less: Treasury shares	(43,552,944)
UNAPPROPRIATED RETAINED EARNINGS, AS OF DECEMBER 31, 2020	
AVAILABLE FOR DIVIDEND DECLARATION, AS ADJUSTED	₱883,129,947

THE PHILIPPINE STOCK EXCHANGE, INC. AND SUBSIDIARIES
MAP OF THE RELATIONSHIPS OF THE COMPANIES WITHIN THE GROUP



INDEPENDENT AUDITOR'S REPORT ON COMPONENTS OF FINANCIAL SOUNDNESS INDICATORS

The Stockholders and the Board of Directors
The Philippine Stock Exchange, Inc. and Subsidiaries
6th to 10th Floors, PSE Tower
5th Avenue cor. 28th Street
Bonifacio Global City, Taguig City

We have audited in accordance with Philippine Standards on Auditing, the financial statements of The Philippine Stock Exchange, Inc. and Subsidiaries as at December 31, 2020 and 2019 and for each of the three years in the period ended December 31, 2020, and have issued our report thereon dated March 26, 2021. Our audits were made for the purpose of forming an opinion on the basic financial statements taken as a whole. The Supplementary Schedule on Financial Soundness Indicators, including their definitions, formulas, calculation, and their appropriateness or usefulness to the intended users, are the responsibility of the Company's management. These financial soundness indicators are not measures of operating performance defined by Philippine Financial Reporting Standards (PFRS) and may not be comparable to similarly titled measures presented by other companies. This schedule is presented for the purpose of complying with the Revised Securities Regulation Code Rule 68 issued by the Securities and Exchange Commission, and is not a required part of the basic financial statements prepared in accordance with PFRS. The components of these financial soundness indicators have been traced to the Company's financial statements as at December 31, 2020 and 2019 and for each of the three years in the period ended December 31, 2020 and no material exceptions were noted.

SYCIP GORRES VELAYO & CO.



Mariecris N. Barbaso

Partner

CPA Certificate No. 97101

SEC Accreditation No. 1513-AR-1 (Group A),

November 16, 2018, valid until November 15, 2021

Tax Identification No. 202-065-716

BIR Accreditation No. 08-001998-108-2020,

November 27, 2020, valid until November 26, 2023

PTR No. 8534222, January 4, 2021, Makati City

March 26, 2021



THE PHILIPPINE STOCK EXCHANGE, INC. AND SUBSIDIARIES

SCHEDULE OF FINANCIAL SOUNDNESS INDICATORS

FOR THE YEARS ENDED DECEMBER 31, 2020 and 2019

Financial Ratio	Description	December 31	
		2020	2019
Current ratio	Current Assets	6.45	5.67
	Current Liabilities		
Solvency	After-tax-net-profit + depreciation and amortization	0.61	0.58
	Total Liabilities		
Debt-to-equity	Total Liabilities	0.25	0.31
	Total Equity		
Assets-to-equity	Total Assets	1.25	1.31
	Total Equity		

Financial Ratio	Description	Year Ended December		
		2020	2019	2018
Return on equity	Net Income	12%	14%	12%
	Total Equity			
Return on assets	Net Income	10%	11%	11%
	Total Assets			
Gross profit margin	Gross Profit	79%	78%	81%
	Revenue			
Net income margin	Net Income	50%	53%	46%
	Revenue			

Supporting Computations

Financial Ratio	Description	2020
Current ratio	Current Assets	4,146,557,827
	Current Liabilities	642,892,238
Solvency	After-tax-net-profit depreciation and amortization	814,124,529
	Total Liabilities	1,341,342,528
Debt-to-equity	Total Liabilities	1,341,342,528
	Total Equity	5,464,757,325
Assets-to-equity	Total Assets	6,806,099,853
	Total Equity	5,464,757,325
Return on equity	Net Income	656,812,425
	Total Equity	5,464,757,325
Return on assets	Net Income	656,812,425
	Total Assets	6,806,099,853
Gross profit margin	Gross Profit	1,032,219,871
	Revenue	1,314,362,972
Net income margin	Net Income	656,812,425
	Revenue	1,314,362,972